

BEFORE THE CORPORATION COMMISSION OF THE STATE OF OKLAHOMA

APPLICATION OF PUBLIC SERVICE)
COMPANY OF OKLAHOMA (PSO) FOR AN)
ORDER OF THE COMMISSION)
PREAPPROVING THE ACQUISITION AND) CASE NO. PUD2025-000064
COST RECOVERY OF GENERATION)
FACILITIES TO ALLOW PSO TO MEET ITS)
OBLIGATIONS PURSUANT TO OAC 165:35-)
25-3(e).)

HEARING: February 17-19, 2026, in Concourse Theater, Suite C50
(live and video teleconference)
Will Rogers Memorial Office Building
2401 North Lincoln Boulevard, Oklahoma City, Oklahoma 73105
Before Carly M. Ortel, Administrative Law Judge

APPEARANCES: Jack P. Fite, Lauren D. Willingham, Kenneth A. Tillotson, and Noelle J. Coates, Attorneys *representing* Public Service Company of Oklahoma
Natasha Scott, Chief Legal Counsel, Michael L. Velez, Mike S. Ryan, E.J. Thomas, and Kyle Vazquez, Deputy General Counsels
representing Public Utility Division, Oklahoma Corporation Commission
Thomas L. Grossnicklaus, Deputy Attorney General, and Ashley N. Youngblood and Justin Cullen, Assistant Attorneys General
representing Office of Attorney General, State of Oklahoma
Thomas P. Schroedter, Attorney *representing* Oklahoma Industrial Energy Consumers
Adam J. Singer, Attorney *representing* AARP
J. David Jacobson, Attorney *representing* The Petroleum Alliance of Oklahoma
A. Chase Snodgrass, Attorney *representing* Oklahoma Gas and Electric Company
Dustin R. Fredrick and Deborah R. Thompson, Attorneys *representing* Oklahoma Natural Gas Company, a Division of ONE Gas, Inc.
C. Eric Davis and Peter K. Wright, Attorneys *representing* Oklahoma Sustainability Network
Douglas D. Vernier, Attorney *representing* International Brotherhood of Electrical Workers, Local 1002, AFL-CIO
Jim A. Roth, C. Eric Davis and Peter K. Wright, Attorneys *representing* U.S. Energy Storage Coalition

REPORT AND RECOMMENDATION OF THE ADMINISTRATIVE LAW JUDGE

This Case comes before the Corporation Commission (“Commission”) of the State of Oklahoma on the Application of Public Service Company of Oklahoma for an Order of the Commission Preapproving the Acquisition and Cost Recovery of Generation Facilities to Allow PSO to Meet its Obligations Pursuant to OAC 165:35-25-3(e) (“Application”).

Upon thorough review of the Application, live and pre-filed testimony, and Statements of Position, the undersigned Administrative Law Judge (“ALJ”) respectfully submits this Report and Recommendation of the Administrative Law Judge (“ALJ Report”) to the Commission. The ALJ’s recommended findings of fact and conclusions of law are set forth herein.

I. RECOMMENDATION

The ALJ respectfully submits this Report with the following summarized recommendations:

- i. Wind Energy Purchase Power Agreements (“PPAs”): Approve, with costs to be recovered through the Fuel Adjustment Clause (“FAC”) utilizing an energy allocator.
- ii. Five-Year Kiamichi Capacity Purchase Agreement (“CPA”): Approve, with costs to be recovered through the FAC utilizing a demand allocator.
- iii. Battery Energy Storage Systems (“BESS”) Purchase Sale Agreement (“PSA”) Projects: Deny.
- iv. Northeastern Units 5&6 (“NE 5&6”) Project: Deny.
- v. Energy Security Rider (“ESR”): The ESR is requested to be utilized for the BESS and NE 5&6 projects. Because the recommendation for these projects is denial, the issue of the ESR is moot.
- vi. Construction Work in Progress (“CWIP”) Recovery: CWIP is requested in relation to the NE 5&6 project. Because the recommendation for this project is denial, the issue of CWIP is moot.

The resources, cost recovery mechanisms, and their accompanying recommendations are discussed in more thorough detail below.

II. INTRODUCTION

Public Service Company of Oklahoma (“PSO” or “Company”) is a corporation organized under the laws of the State of Oklahoma and is a public utility subject to the regulatory authority of the Commission. PSO owns and operates properties and facilities that are used for supplying electric power in the State of Oklahoma.¹

On September 12, 2025, PSO filed its Application under the provision of 17 O.S. § 286(C), which allows regulated utilities to seek preapproval from the Commission before taking certain actions with respect to generation capacity. The statute also provides a legal basis for the Commission to consider cost recovery related to such electric generation facilities outside the parameters of its general jurisdiction at 17 O.S. §§ 151 and 152.

The Application stated that, as a regulated utility, PSO is subject to the rules and regulations of this Commission. Specifically, PSO is subject to this Commission’s Electric Utility Rules found at OAC 165:35-1-1, *et. seq.* The Application set forth the Commission’s standard for electric utility generation capacity requirements found at OAC 165:35-25-3(e):

¹ Application p. 1, paragraph II(a).

Reliability of Supply. The generation capacity of a utility's plant, supplemented by the electric power regularly available from other sources or firm contracts for electric power by a utility which operates no generation plants, must be sufficiently large to meet all normal demands for service and provide a reasonable reserve for emergencies.²

PSO asserted in its Application and accompanying testimony that the Company has a need for additional capacity and energy. In addition, PSO stated that the Company has taken steps to maintain sufficient generation to provide for the normal demands for service while also providing reasonable reserve margins, as required by this Commission and the Southwest Power Pool ("SPP").³

In its Application, PSO states that on November 20, 2023, PSO issued an All-Source Request for Proposals ("RFP") for 1,500 MW of SPP accredited generation capacity, inclusive of energy.⁴ PSO states that the RFP was issued and conducted pursuant to the Commission's competitive procurement rules.⁵ Bids were due to PSO on January 29, 2024. The Commission approved the retention and compensation of an Independent Evaluator ("IE") to monitor the RFP and the competitive bidding process as provided by OAC 165:35-34-3(b). PSO further stated that the Company received a robust response of over 300 bids that included wind, solar, BESS and thermal facilities, as well as purchased power and capacity contracts.⁶ PSO evaluated 150 bids after eligibility and threshold testing was conducted.⁷ Notifications were sent to shortlisted bidders in early September 2024.⁸

PSO went on to state in its Application that while continuing to negotiate contracts for projects selected on the initial shortlist, the Company began to project additional growth due to economic development activity. In November 2024, PSO contacted the IE to solicit input on conducting a bid refresh of the 22 highest ranking bids to expand its shortlist. PSO proceeded to conduct the bid refresh in December 2024. Refreshed bids were received on December 20, 2024.⁹ From September 2024 through September 2025, PSO engaged in negotiations with selected bidders to finalize agreements.¹⁰

On June 4, 2025, the Commission approved the purchase of the Green Country Generation Facility ("Green Country") pursuant to Order No. 749854 in Case No. PUD2024-000057.¹¹ PSO alleges that due to the load growth in the service territory of the Company, the additional capacity and energy from Green Country did not negate the need for PSO to procure additional capacity "to meet all normal demands for service and provide a reasonable reserve for emergencies."¹² PSO further alleges that the proposed generation resources are necessary to ensure it has sufficient generation capabilities to comply with Commission standards.¹³

² Application p. 1, paragraph II(b).

³ Application p. 1, paragraph II(c).

⁴ Application p. 1, paragraph II(c).

⁵ Application p. 1, paragraph II(c); OAC 165:35-34-1 *et. seq.*

⁶ Application p. 1, paragraph II(c).

⁷ Horeled Direct 13:2.

⁸ Horeled Direct 11:13.

⁹ Application pp. 1-2, paragraph II(d); Horeled Direct 11:13-15.

¹⁰ Horeled Direct 11:15-17.

¹¹ Application p. 2, paragraph II(e); PUD2024-000057, Docket Entry No. 192.

¹² OAC 165:35-25-3(e).

¹³ Application p. 2, paragraph II(f).

In its Application and accompanying testimony, PSO states that seven of the resources were selected short-listed solicitations from the September 2023 All-Source Request for Proposals (“2023 All-Source RFP”).¹⁴ The 2023 All-Source RFP capacity consists of seven proposed projects: three PSAs for BESS resources – Northeastern 1 & 2 (“NE 1&2”), Rock Falls, and Dover; three wind PPAs – Caddo, King Plains, and Weatherford; and one five-year thermal CPA – Kiamichi.¹⁵ In his Direct Testimony, PSO witness Horeled stated that the PSO RFP shortlisted projects consist of 849 MW of nameplate capacity and will result in 434.7 MW of 2029 Accredited Summer Capacity.¹⁶

In his Responsive Testimony, Petroleum Alliance witness Dr. Dismukes provided an overview of the differences between a CPA, PPA, and PSA. A CPA is a contract under which the utility pays a third-party supplier for the right to utilize a specific amount of generating capacity without taking ownership of the physical generation asset. The contract financial terms are based upon capacity-based financial payment over a fixed contract term. A PPA is a contract based on the purchased energy alone (rather than capacity) and is produced by a third-party owned resource at agreed upon terms over a specific period. A PSA is an ownership transaction under which the utility purchases and acquires the supply resource that is developed by an independent third party. Once the resource is ready for commercial operation, it is transferred to the utility who assumes full operational control, ownership, and long-term maintenance responsibilities.¹⁷

PSO is also requesting approval and cost recovery of two self-build combustion turbines that are each 225 MW and expected to be in service no later than December 2028 – NE 5&6.¹⁸ Mr. Horeled testified that with the inclusion of NE 5&6, PSO will be adding a total of 871.2 MW of 2029 Accredited Summer Capacity to the system.¹⁹

In his Rebuttal Testimony, PSO witness Bolan provided the following table to illustrate the top 20 bids, and where the selected resources ranked in comparison to the 150 qualifying bids:²⁰

Figure 1: PSO’s Top 20 Shortlisted Bids

Bid Number	Technology Type	Offered Capacity - Nameplate	PSA/PPA	Final Rank	Result
2	Wind	80	PPA	1	Selected, negotiated, and filed
1	Simple Cycle	450	PSA	2	Selected, negotiated, and filed
201	Combined Cycle	150	CPA	3	Selected, negotiated, and filed
210	Solar (SAT)	250	PPA	4	Withdrawn by bidder

¹⁴ Application p. 2, paragraph II(g); Horeled Direct 4:24-5:2.

¹⁵ Horeled Direct 13:17-20.

¹⁶ Horeled Direct 13:16-17.

¹⁷ Dismukes Responsive 9:2-10.

¹⁸ Horeled Direct 5:2-4.

¹⁹ Horeled Direct 13:20-22.

²⁰ Bolan Rebuttal p. 9, Table 1.

237	Wind	147	PPA	5	Selected, negotiated, and filed
206	Solar (SAT)	200	PPA	6	Withdrawn by bidder
314	Combined Cycle	50	CPA	7	Not Selected
205	Solar (SAT)	102	PPA	8	Withdrawn by bidder
121	Wind	248	PPA	9	Selected, negotiated, and filed
101	Solar (SAT)	250	PSA	10	Negotiations reached impasse
298	Wind	166.5	PSA	11	Negotiations reached impasse
61	Solar (SAT)	300	PSA	12	Negotiations reached impasse
188	Storage Standalone	100	PSA	13	Selected, negotiated, and filed
93	Solar (SAT)	150	PPA	14	Pricing as of December 2024
190	Storage Standalone	74	PSA	15	Selected, negotiated, and filed
123	Solar (SAT)	500	PPA	16	Pricing as of December 2024
217	Solar (SAT)	200	PSA	17	Pricing as of December 2024
204	Solar (SAT)	80	PSA	18	No response to refresh
166	Solar (SAT)	155	PSA	19	Pricing as of December 2024
192	Storage Standalone	50	PSA	20	Selected, negotiated, and filed

In total, PSO has entered into contracts to acquire eight different generation resources. All eight generation resources are located within the state of Oklahoma.²¹ Mr. Horeled provided the following table in his Direct Testimony to further detail the proposed generation resources:²²

Figure 2: Proposed Generation Resources

Bidder	Location	Project Name	Technology Type	Offered Capacity – Nameplate (MW)	2029 Accredited Summer Capacity (MW)	PSA/PPA	PSA Capital - "All In" (\$M)
Tenaska	Oklahoma	Kiamichi	Combined Cycle	150	150	CPA	
Allete	Oklahoma	Caddo	Wind	80	10	PPA	
NextEra	Oklahoma	Weatherford	Wind	147	19	PPA	

²¹ Bolan Direct 6:1.

²² Horeled Direct p. 14, Table 2.

Engie	Oklahoma	King Plains	Wind	248	31	PPA	
Jupiter	Oklahoma	Northeastern 1&2	Storage Standalone	100	97	PSA	\$312
Jupiter	Oklahoma	Rock Falls	Storage Standalone	50	48	PSA	\$165
Jupiter	Oklahoma	Dover	Storage Standalone	74	72	PSA	\$238
Self-Build	Oklahoma	Northeastern 5&6	NG CT	450	437	PSA	\$540
			Total:	1,299	864		\$1,255

Mr. Horeled testified that the total cost of the selected projects, including purchase price and owner's costs, is expected to be \$1.255 billion. He further stated that the total estimated retail impact in 2029, once all of the generation resources have entered commercial operation, is \$157.1 million.²³ At the Hearing on the Merits ("Hearing"), Mr. Horeled testified that in less than two years, PSO has requested the Commission to approve the expenditure of close to two billion dollars to purchase or construct new generating capacity.²⁴

In addition to PSO, parties to this Case include the Commission's Public Utility Division ("PUD"), the office of the Attorney General of the State of Oklahoma ("AG" or "Attorney General"), AARP, the International Brotherhood of Electrical Workers, Local 1002, AFL-CIO ("IBEW"), Oklahoma Industrial Energy Consumers ("OIEC"), Oklahoma Sustainability Network ("OSN"), and The Petroleum Alliance of Oklahoma ("PAO" or "Petroleum Alliance") (collectively referred to herein as "Intervenors").

PUD, AG, OIEC, PAO, and AARP all filed testimonies. The IBEW and OSN filed Statements of Position. The testimony and positions of the Intervenors will be discussed in detail below.

III. JURISDICTION AND NOTICE

PSO is a corporation organized under the laws of the State of Oklahoma and is a public utility subject to the regulatory authority of the Commission. PSO owns and operates properties and facilities that are used for supplying electric power in the State of Oklahoma. The Commission has jurisdiction over this Case by virtue of the provisions of Article IX, § 18 of the Constitution of the State of Oklahoma and 17 O.S. §§ 151, 152, and 286(C).

On December 30, 2025, PSO filed the Affidavit of Tracy J. Harper stating that PSO provided individual customer notice as required by OAC 165:5-7-51. An example of the notice provided to customers was attached to the Affidavit. The required Proof of Publication from the Oklahoma Press Service was also attached to the Affidavit.

Notice is proper and given as provided by law, the rules of the Commission and Commission Order No. 753135.

²³ Horeled Direct 14:3-6.

²⁴ 2/17/2026 Tr. 110:13-16.

IV. PROCEDURAL HISTORY

On September 12, 2025, pursuant to 17 O.S. §§ 151, 152 and 286(C), PSO filed its Application for an Order of the Commission preapproving the acquisition and cost recovery of generation to facilities to allow PSO to meet its obligations pursuant to OAC 165:35-25-3(e). The procedural history is incorporated herein and attached hereto as Attachment “A”.

V. INTERNATIONAL BROTHERHOOD OF ELECTRICAL WORKERS, LOCAL 1002, AFL-CIO’S MOTION TO INTERVENE

On December 10, 2025, IBEW filed its Motion to Intervene (“IBEW’s Motion”). A Notice of Hearing was not filed with the Motion. On February 11, 2026, a Prehearing Conference was held pursuant to Commission Order No. 752678 at which IBEW’s Motion came on for hearing. No party objected to the requested intervention. After hearing the arguments of counsel, the ALJ recommended IBEW’s intervention be granted without condition. On February 12, 2026, the Oral Recommendation of the ALJ was filed reflecting the same. The ALJ recommends the Commission adopt the Oral Recommendation of the Administrative Law Judge filed on February 12, 2026.

VI. PENDING MOTION TO MAKE CONFIDENTIAL THE SUMMARY OF THE REBUTTAL TESTIMONY OF MICHAEL J. DILLEY

On January 16, 2026, PSO filed the Summary of the Rebuttal Testimony of Michael J. Dilley (“Dilley Rebuttal Summary”).²⁵ On January 20, 2026, text Docket Entry No. 167 was entered stating, “Docket Item 163 temporarily obscured pending a motion to make it confidential. 1/20/2026 CHP.” As of the filing of this ALJ Report, no motion has been filed. Docket Entry No. 163 remains obscured, and Docket Entry No. 167 is listed as pending.

Out of an abundance of caution to prevent the inadvertent disclosure of confidential information, the ALJ recommends Docket Entry No. 163 be designated “Confidential” and that PSO should file the non-confidential Redacted Summary of the Rebuttal Testimony of Michael J. Dilley. Should PSO determine the “Confidential” designation is no longer necessary, the ALJ recommends that PSO coordinate with the Court Clerk to ensure that Docket Entry No. 163, the Summary of the Rebuttal Testimony of Michael J. Dilley, is once again public facing and viewable in ECF.

Due to the current obstruction of the Dilley Rebuttal Summary, the full Amended Rebuttal Testimony of Michael J. Dilley²⁶ is included in Attachment “B” in its place.

VII. OG&E’S MOTION TO INTERVENE

On January 23, 2026, OG&E filed its Motion to Intervene (“OG&E’s Motion”) along with a Notice of Hearing setting OG&E’s Motion for hearing on February 5, 2026.

On February 4, 2026, the Attorney General, Petroleum Alliance, and AARP filed the Joint Objection to OG&E’s Motion to Intervene.

²⁵ PUD2025-000064, Docket Entry No. 163.

²⁶ PUD2025-000064, Docket Entry No. 168.

On February 5, 2026, OG&E's Motion came on for hearing. After hearing the arguments of counsel and the objections thereto, the ALJ recommended OG&E's Motion with the conditions that OG&E shall not file testimony nor cross-examine witnesses at the Hearing. On February 6, 2026, the Oral Recommendation of the Administrative Law Judge was filed reflecting the same. The ALJ recommends the Commission adopt the Oral Recommendation of the Administrative Law Judge filed on February 6, 2026.

VIII. U.S. ENERGY STORAGE COALITION'S MOTION FOR LIMITED INTERVENTION

On January 29, 2026, U.S. ESC filed its Motion for Limited Intervention ("U.S. ESC's Motion") along with a Notice of Hearing setting U.S. ESC's Motion for hearing on February 5, 2026. On February 5, 2026, U.S. ESC's Motion came on for hearing. No party objected to the limited intervention. After hearing the arguments of counsel, the ALJ recommended U.S. ESC's limited intervention be granted. On February 6, 2026, the Oral Recommendation of the Administrative Law Judge was filed reflecting the same. The ALJ recommends the Commission adopt the Oral Recommendation of the Administrative Law Judge filed on February 6, 2026.

IX. PSO'S ORAL MOTION TO ASSOCIATE COUNSEL

On February 11, 2026, PSO made an oral Motion to Associate Counsel ("Oral Motion") at the Prehearing Conference. Counsel for PSO stated that the Company was seeking an order permitting Noelle J. Coates to practice in this matter. The Oral Motion was supported by the Certificate of Compliance from the Oklahoma Bar Association. Counsel for PSO further stated that a similar Motion to Associate Counsel for Ms. Coates was approved in PUD2024-000057.

After reviewing the documentation and hearing no objection to the Oral Motion, the ALJ recommended the Oral Motion. On February 12, 2026, the Oral Recommendation of the Administrative Law Judge was filed reflecting the same. The ALJ recommends the Commission adopt the Oral Recommendation of the Administrative Law Judge filed on February 12, 2026.

X. IBEW'S MOTION TO ASSOCIATE COUNSEL

On February 16, 2026, IBEW filed its Motion to Associate Counsel ("IBEW's Motion to Associate"). An accompanying Notice of Hearing was not filed. The Prehearing Conference was held on February 11, 2026, pursuant to Order No. 752678, to provide parties with the opportunity to present all pretrial motions. Additional opportunities to address pretrial matters were provided each morning of the Hearing. Counsel for IBEW did not appear at, nor participate in, the Hearing. IBEW's Motion to Associate was never presented for hearing and is therefore dismissed as moot.

XI. THE JOINT MOTION OF THE ATTORNEY GENERAL, AARP, PETROLEUM ALLIANCE AND OIEC FOR PARTIAL SUMMARY JUDGMENT FOR LACK OF SUBJECT MATTER JURISDICTION

On January 22, 2026, the Joint Motion of the Attorney General, AARP, Petroleum Alliance and OIEC for Partial Summary Judgment for Lack of Subject Matter Jurisdiction ("Joint Motion") was filed, along with a Notice of Hearing setting the Joint Motion for hearing on February 5, 2026.

On February 3, 2026, PSO filed its Response to the Joint Motion for Partial Summary Judgment for Lack of Subject Matter Jurisdiction (“PSO’s Response”).

Also on February 3, 2026, OG&E filed its Concurrent Response in Opposition to the Joint Motion to Dismiss and the Joint Motion for Partial Summary Judgment.²⁷

On February 4, 2026, U.S. ESC filed its Response in Opposition to the Joint Motion for Partial Summary Judgment.

On February 5, 2026, the Joint Motion came on for hearing. After hearing the arguments of counsel, the ALJ took the Joint Motion under advisement.

The Attorney General, AARP, Petroleum Alliance, and OIEC (collectively, “Movants”) assert in the Joint Motion that the Commission lacks subject matter jurisdiction to grant preapproval of the purchase of the three BESS projects proposed in this Case. The Movants assert that battery storage is not a new electric generating facility pursuant to 17 O.S. § 286(C)(1) which reads, in pertinent part:

An electric utility subject to rate regulation by the Corporation Commission may elect to file an application seeking approval by the Commission to construct a **new electric generating facility**, to purchase an existing electric generation facility or enter into a long-term contract for purchased power, capacity and energy, subject to the provisions of this subsection. (emphasis added).

To be granted, a motion for summary judgment must meet the threshold set forth in 12 O.S. § 2056(C), which provides:

The judgment sought should be rendered if the pleadings, the discovery and disclosure materials on file, and any affidavits show that there is no genuine issue as to any material fact **and** that the movant is entitled to judgment as a matter of law. (emphasis added).

The Oklahoma Supreme Court has provided that “summary judgment is proper when a party is entitled to judgment ‘as a matter of law’ based upon the submitted evidentiary materials.” *Boyle v. ASAP Energy, Inc.*, 2017 OK 82, ¶ 7, 408 P.3d 183, 188. In contrast, “summary judgment is improper when reasonable persons may reach different inferences or conclusions from the undisputed facts.” *Id.* Additionally, “all inferences and conclusions to be drawn must be viewed in a light most favorable to the party opposing the motion.” *Id.*

Movants submit three purportedly undisputed material facts to support their claim that there are no genuine issues of material fact in this matter: 1) unique characteristics—bidirectional capability to both inject and receive energy from the grid; 2) BESS resells converted energy from other generation; and 3) FERC has ordered the RTO/ISOs to remove barriers for energy storage resources. Movants assert that each of these undisputed material facts are supported by the testimony of PSO witness Dr. Hagerman.

²⁷ The referenced Motion to Dismiss was filed in PUD2025-000084.

In PSO's Response to the Joint Motion, the Company disputed the undisputed material facts presented by the Movants. PSO identified five separate testimonies with statements classifying the eight proposed projects, including the BESS units, as generation resources.²⁸ None of Movants' witnesses filed testimony disputing PSO's position that BESS are generation facilities. Furthermore, none of the Movants cross-examined Dr. Hagerman, or any of the additional referenced witnesses, at the Hearing regarding the classification of BESS as generation facilities.

OAC 165:35-1-2 defines "generation facility" as a "machine or machines capable of producing capacity, energy, or other electricity projects."

At the hearing on the Joint Motion, the Attorney General introduced Exhibit M3, a document from the U.S. Energy Information Administration titled "Batteries are a fast-growing secondary electricity source for the grid",²⁹ into the record. Notably, the document stated the following:

Secondary sources of electricity such as **batteries** are included in our Annual Electric Generator Report and in our preliminary monthly electric generator inventory data because **they provide the capacity** to meet load even though energy storage systems do not generate electricity directly. (emphasis added).

This exhibit in tandem with the Commission's definition of "generation facility" provides enough evidence to dismantle the Movants' argument that there is no genuine issue as to any material fact and that the Movants are entitled to judgment as a matter of law. Movants did not raise this issue in responsive testimony, nor did they cross-examine witnesses on this issue at the Hearing. Multiple PSO witnesses testified as to the classification of BESS as generation facilities. Any reasonable person may reach different inferences or conclusions from the undisputed facts presented in the Joint Motion; therefore, summary judgment is improper.³⁰ Movants have not met their burden to show that they are entitled to judgment as a matter of law based upon the submitted evidentiary materials.³¹

For these reasons, the ALJ recommends that the Joint Motion of the Attorney General, AARP, Petroleum Alliance and OIEC for Partial Summary Judgment for Lack of Subject Matter Jurisdiction be denied.

XII. SUMMARY OF THE EVIDENCE

Documents filed in this Case are contained in the records maintained by the Court Clerk of the Commission. Testimony was offered through written pre-filed testimony (direct, responsive, and rebuttal), along with certain oral testimony at the Hearing. The entirety of the live testimony and arguments offered are contained in the transcripts of these proceedings. All pre-filed testimony is attached hereto as Attachment "B" and is incorporated herein by reference.

²⁸ Horeled Direct 4:6-24; Horeled Direct p. 14, Table 2; Hagerman Direct 10:3-13; Lozier Direct 13:17; Bolan Direct 5:21-6:6; Hayat Direct p. 5, fn 2.

²⁹ PUD2025-000064, Exhibit M3, Docket Entry No. 214.

³⁰ *Boyle* at ¶ 7.

³¹ *Id.*

Any and all confidential filings and exhibits that were admitted into the record at the Hearing are contained in the records maintained by the Court Clerk of the Commission and incorporated herein. Though confidential in nature and unavailable to the public, all filings and exhibits admitted into the record have been reviewed and relied upon by the ALJ.

XIII. ANALYSIS

Pursuant to 17 O.S. § 286(C), a regulated electric utility may request Commission approval “to construct a new electric generating facility, to purchase an existing electric generation facility” or even to “enter into a long-term contract for purchased power, capacity and energy.” To secure approval, the Company must provide evidence for the Commission to “determine[] there is a need for construction or purchase of the electric generating facility or long-term purchase power contract, the generating facility or contract . . . after consideration of reasonable alternatives.”³² If the Commission grants approval, the facility or contract “shall be considered used and useful and its costs shall be subject to cost recovery rules promulgated by the Commission.”³³

Hence, the Commission must address if the requested projects are eligible resources, whether PSO has established that a need exists for additional generation capacity, whether PSO has compared the proposed generation resources to reasonable alternatives, and if so, what sort of cost recovery will apply.

RESOURCE AND COST OVERVIEW

PSO is requesting preapproval of a portfolio of eight proposed resources that would add a total of 871.2 MW of 2029 Accredited Summer Capacity to the Company’s system.³⁴ The resources proposed by PSO consist of:

- (i) Three wind PPAs— Caddo, Weatherford, and King Plains;
- (ii) A five-year CPA— Kiamichi;
- (iii) Three BESS PSAs— NE 1&2, Rock Falls, and Dover; and
- (iv) A self-build natural gas combustion generation facility PSA – NE 5&6.³⁵

OIEC witness Norwood testified that the proposed resources chosen by PSO will have a total cost of \$1.255 billion, which does not include interest costs incurred during construction (“AFUDC”) for the PSA projects, charges incurred for capacity and energy supplied under the wind energy PPAs, or the charges for capacity under the Kiamichi CPA. He further testified that the total cost of the proposed resources also does not include cost increases related to changes in law, project schedule delays, import tariffs, and other cost pass-through provisions for the three BESS PSAs and NE 5&6.³⁶

OIEC witness Garrett testified that PSO’s current rate base is approximately \$4.5 billion, so the proposed resource projects will increase PSO’s rate base by approximately 28%.³⁷

³² 17 O.S. § 286(C).

³³ *Id.*

³⁴ Horeled Direct 13:16-22.

³⁵ Horeled Direct 13:16-22; Horeled Direct p. 14, Table 2.

³⁶ Norwood Responsive 10:13-18; Norwood Responsive p. 10, Table 1.

³⁷ Garrett Responsive 7:9-10.

PSO witness Schwarz testified that PSO estimates the forecasted total Company net revenue requirement to be approximately \$169.1 million in 2029. Of this amount, approximately \$169.0 million is attributable to the PSO retail jurisdiction. She further testified that this corresponds to a 9.19% increase in the total bill for retail customers. The estimated average retail rate increase for 2029 is 6.28%.³⁸

Ms. Schwarz testified that in 2029, once all facilities are operational, the forecasted impact reflects a net increase of \$15.29 per month, representing a 10.30% increase in the total monthly bill. This estimate incorporates the combined effects of the selected facilities. Ms. Schwarz stated that the estimated typical residential customer bill is forecasted to increase by \$10.38 per month, representing a 6.95% increase.³⁹

RESOURCE ELIGIBILITY

PSO seeks approval of a portfolio of generation resources under 17 O.S. § 286(C), which provides that the Commission may grant preapproval of the resources to the extent the Commission determines there is a need for the resources sought and after consideration of reasonable alternatives, in which case the resources will be considered used and useful. Title 17, Section 286(C)(1) provides:

An electric utility subject to rate regulation by the Corporation Commission **may** elect to file an application seeking approval by the Commission to construct **a new electric generating facility**, to purchase an existing electric generation facility or enter into a long-term contract for purchased power, capacity and energy, subject to the provisions of this subsection. If, and to the extent that, the Commission determines there is **a need** for construction or purchase of the electric generating facility or long-term purchase power contract, the generating facility or contract shall be considered used and useful and its costs shall be subject to cost recovery rules promulgated by the Commission. The Commission shall enter an order on an application filed pursuant to this subsection within two hundred forty (240) days of the filing of the application, following notice and hearing and **after consideration of reasonable alternatives**, unless the electric generation facility utilizes natural gas as its primary fuel source. If the electric generation facility uses natural gas as its primary fuel source, then the Commission shall enter an order on an application filed pursuant to this subsection within one hundred eighty (180) days of the filing of the application, following notice and hearing and after consideration of reasonable alternatives. (emphasis added).

Before making a determination of need and consideration of reasonable alternatives, the Commission must first decide whether or not BESS fall under the definition of “new electric generating facility.” In their Joint Motion, Movants argued that BESS are not generation facilities and that the Commission lacks subject matter jurisdiction to grant preapproval of ownership of the three proposed BESS projects in this Case. All parties agree that the remaining proposed resources fall squarely within the scope of the statute.

³⁸ Schwarz Rebuttal 15:6-14.

³⁹ Schwarz Rebuttal 16:5-13; Schwarz Rebuttal, RAS Figure 6, p. 17.

The fundamental purpose of statutory construction is to ascertain and give effect to the intent of the Legislature. *Rickard v. Coulimore*, 2022 OK 9, ¶ 5, 505 P.3d 920, 923. To do this, we first look to the language of the statute. *Id.* “If the statutory language is clear and unambiguous,” then we must “apply the plain and ordinary meaning of the words.” *Id.* Only when the legislative intent cannot be determined from the statutory language due to ambiguity or conflict should the rules of statutory construction be employed. *Id.* When the Commission ignores the plain language of a statute, or attempts to impose a meaning which is not supported by any recognized rule of statutory interpretation, the Commission’s conclusion may be categorized as one which is not sustained by law. *Oklahoma Gas and Electric Company v. Oklahoma Corporation Commission*, 2025 OK 43, ¶ 5, 571 P.3d 729, 731 (citing *Oklahoma Gas and Electric Company v. State ex rel. Oklahoma Corporation Commission*, 2025 OK 15, ¶ 24, 565 P.3d 418, 426).

In the recently decided *Oklahoma Gas and Electric Company*,⁴⁰ the Oklahoma Supreme Court performed an analysis to interpret the phrase “connected load for initial full operation.” *Oklahoma Gas and Electric Company* at ¶10. The Court stated that ‘connected load’ is “a term of art in the retail electric industry” and that although it is not defined in the Retail Energy Supplier Certified Territory Act (“RESCTA”), presumably “the Legislature knew this industry specific term” when drafting the statute. *Id.* at ¶11. Ultimately, the Court determined that “connected load” should be “given its plain and ordinary meaning—that used and understood in the retail electric industry.” *Id.*

Much like “connected load”, “generating facility” is a term of art in the retail electric industry; therefore, we must use its plain and ordinary meaning as it is used and understood within the industry. To determine this, we may look to the Commission’s rules as well as the evidentiary record in this Case.

While 17 O.S. § 286 does not itself define “generation facility,” the law enacting Section 286, H.B. 1910 (2005), directed the Commission “to promulgate rules to implement the provisions of [Section 286].” The law required the Commission to transmit rules to the Legislature on or before April 1, 2006.⁴¹ On January 20, 2006, the OCC transmitted rules to the Legislature and created a definition of “generation facility,” thereby defining an undefined term in the statute. The current definition took effect July 1, 2006.⁴²

Per the Commission’s rules, “generation facility” means a machine or machines capable of producing capacity, energy or other electricity products.⁴³

In Oklahoma, where a state agency charged with implementing a statute contemporaneously interprets that statute, that interpretation is longstanding, and the Legislature never takes issue with the agency’s interpretation, then the Legislature’s nonaction amounts to legislative approval and ratification of the agency’s interpretation. This is especially true where industries have acted in reliance on the interpretation and would be prejudiced by a subsequent change. The Oklahoma Supreme Court reflected this in *McCain v. State Election Bd.*:

⁴⁰ *Oklahoma Gas and Electric Company v. Oklahoma Corporation Commission*, 2025 OK 43, 571 P.3d 729.

⁴¹ H.B. 1910 (2005), https://www.oklegislature.gov/cf_pdf/2005-06%20ENR/hB/HB1910%20ENR.PDF.

⁴² OAC 165:35-1-2.

⁴³ *Id.*

Where a judicial construction has been placed upon the language of a statute for a long period of time, so that there has been abundant opportunity for the lawmaking power to give further expression to its will, the failure to do so, it has been declared, amounts to legislative approval and ratification of the construction placed upon the statute by the courts. * * * So too, the construction which has been placed upon a statute by the officer or governmental department charged with the carrying out of the provisions of the law is to be accorded due consideration by the courts in construing the statute.

It is a well settled rule that the contemporaneous construction of a statute by those charged with its execution and application, especially when it has long prevailed, while not controlling, is entitled to great weight and should not be disregarded or overturned except for cogent reasons, and unless it be clear that such construction is erroneous. The courts are especially reluctant to overturn a long-standing executive or departmental construction where great interests have grown up under it and will be disturbed or destroyed by the announcement of a new rule, or where parties who have contracted with the government upon the faith of such construction will be prejudiced.⁴⁴

In addition to the Commission's longstanding definition of "generation facility," the evidentiary record in this Case supports the definition of BESS as a generation resource and discusses its capability to produce capacity.

Exhibit M3, a report from the U.S. Energy Information Administration introduced by the Attorney General at the hearing on the Joint Motion on February 5, 2026, provides that "batteries are included in our Annual Electric Generator Report and in our monthly electric generator inventory data because *they provide capacity* to meet load" despite the fact they "do not generate electricity directly."⁴⁵ (emphasis added).

In her Direct Testimony, PSO witness Dr. Hagerman discussed the BESS projects and their characteristics at length. Dr. Hagerman testified that the BESS projects "will each contribute Firm Capacity and will meet SPP's requirement of being capable of supplying its accredited capacity for a minimum of four continuous hours."⁴⁶ Dr. Hagerman further testified that the "benefits of a diverse generation portfolio mix begin at the fundamental need for supply (generation) to equal demand (load) for power system reliability" and that "[t]he ability for BESS to instantaneously charge or discharge is a valuable tool to help maintain system reliability."⁴⁷ Dr. Hagerman concludes her Direct Testimony by stating that, "As both the generation mix and load profile evolve over time, BESS assets can strengthen PSO's overall ability to maintain reliable and affordable power."⁴⁸ No witness rebutted Dr. Hagerman's testimony regarding the classification of the BESS projects as generation resources.

As provided above, four other PSO witnesses characterized BESS as generation facilities, including PSO witness Horeled in his Direct Testimony when he stated that, "This case was filed

⁴⁴ *McCain v. State Election Bd*, 1930 OK 323, ¶17, 289 P. 759, 762-763.

⁴⁵ PUD2025-000064, Exhibit M3, Docket Entry No. 214.

⁴⁶ Hagerman Direct 8:7-9.

⁴⁷ Hagerman Direct 10:5-8.

⁴⁸ Hagerman Direct 10:11-13.

seeking preapproval of generating facilities to be owned by PSO and purchase power and a capacity contract with third parties.”⁴⁹ No witness rebutted the testimony of Mr. Horeled or the additional three witnesses that classified BESS as generation facilities.

The Commission’s rules are clear that generation facilities are machines capable of producing capacity, energy or other electricity products.⁵⁰ Not only is the phrase “new generating facility” in Section 286 clear and unambiguous, but the Commission has promulgated rules defining this term of art. There is ample, unrebutted evidence in this Case to support the assertion that BESS are generation facilities and subject to the Commission’s jurisdiction under 17 O.S. § 286(C).

For these reasons, the ALJ recommends that the Commission find that all projects requested in the Application are eligible resources pursuant to 17 O.S. § 286(C)(1).

NEED

PSO asserts that the Company’s generation resource portfolio will not meet the Commission’s requirement that it be “sufficiently large to meet all demands for service and provide a reasonable reserve for emergencies” without the additional generation resources that are the subject of this filing.⁵¹ PSO witness Horeled testified that even with the addition of Green Country⁵² and the continuation of the Northeastern Unit 3 (“NE 3”) on natural gas, without acquiring additional SPP accredited capacity resources, PSO forecasts that its summer capacity position will be deficient 10 MW in 2027, 470 MW in 2028, and 1766 MW in 2029.⁵³ PSO witness Demmy testified that the Company’s deficit will grow to 3124 MW by 2031.⁵⁴

Mr. Horeled testified that new loads, mostly from commercial and industrial customers, are driving the increase in demand for electric service, and that load growth in the residential class of service is minor in comparison.⁵⁵ For example, he stated that PSO has signed a Letter of Agreement (“LOA”) with a new customer that could eventually result in a load of over 1000 MW. For most of PSO’s history, the largest single customer was 130 MW. At the time of filing his Direct Testimony on September 12, 2025, Mr. Horeled stated that PSO had 11 customers under LOAs or contracts that are 50 MW or larger.⁵⁶

In addition to the Commission’s requirement that the Company maintain sufficient generation capacity to meet the needs of its customers, PSO must also meet the standards for participation as a member of the SPP. Mr. Demmy testified that SPP’s resource adequacy methodology is based on a peak demand Planning Reserve Margin (“PRM”) requirement. The PRM methodology establishes the minimum amount of capacity that utilities are required to own or control based upon the Company’s forecasted peak load plus the PRM.⁵⁷

⁴⁹ Horeled Direct 4:6-8.

⁵⁰ OAC 165:35-1-2.

⁵¹ Horeled Direct 9:17-20.

⁵² See PUD2024-000057.

⁵³ Horeled Direct 9:14-17.

⁵⁴ Demmy Direct 8:7-8.

⁵⁵ Horeled Direct 8:7-9.

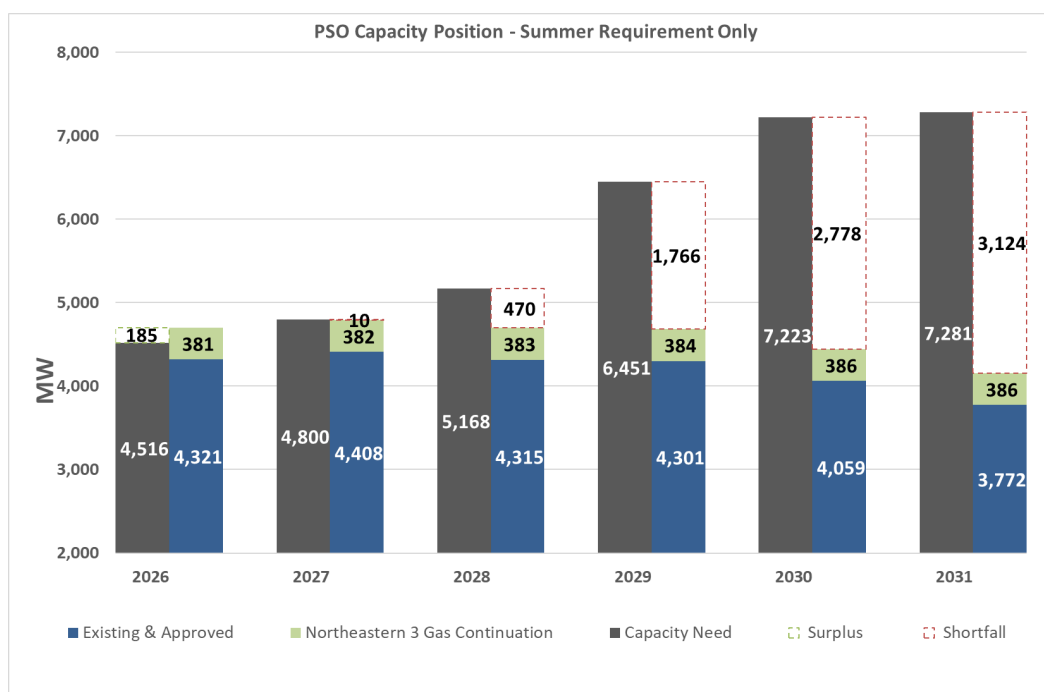
⁵⁶ Horeled Direct 8:14-17.

⁵⁷ Demmy Direct 5:7.

Mr. Demmy further testified that prior to 2023, SPP's base PRM requirement was 12%. It then increased to 15% effective through the current 2025-2026 planning year. In August 2024, SPP's board approved increases in the summer base PRM to 16% starting June 1, 2026, and the winter base PRM to 36% starting December 1, 2026. These PRMs will be effective through 2029. After making the Accredited Capacity ("ACAP") methodology adjustments, the summer base PRMs of 16% and 17% will become ACAP PRMs of 7.16% and 8.16%, respectively. The 2028 and 2029 winter base PRMs of 36% and 38% will become 14.52% and 16.52%. A process has also recently been approved by which these requirements for 2030 and beyond will be subject to adjustment annually.⁵⁸

In his Direct Testimony, Mr. Demmy provided following table, which reflects the Company's capacity obligation (inclusive of the load requirement and the required PRM) without inclusion of the generation resources requested for approval in this Case:⁵⁹

Figure 3: Summer Capacity Position Excluding Selected Resources



Mr. Demmy testified that the load forecast utilized in Figure 3 above was prepared in September 2025.⁶⁰ The projections of capacity need do not include a risk adequacy or "PRM risk adder" planning assumption.⁶¹

Mr. Demmy provided the following figure to present that the proposed generation resources provide 1,299 MW of nameplate capacity and 863 MW of summer accredited capacity using each resource's first summer capacity year.⁶²

⁵⁸ Demmy Direct 6:2-13.

⁵⁹ Demmy Direct 8:3-8.

⁶⁰ Demmy Direct 8:3-4.

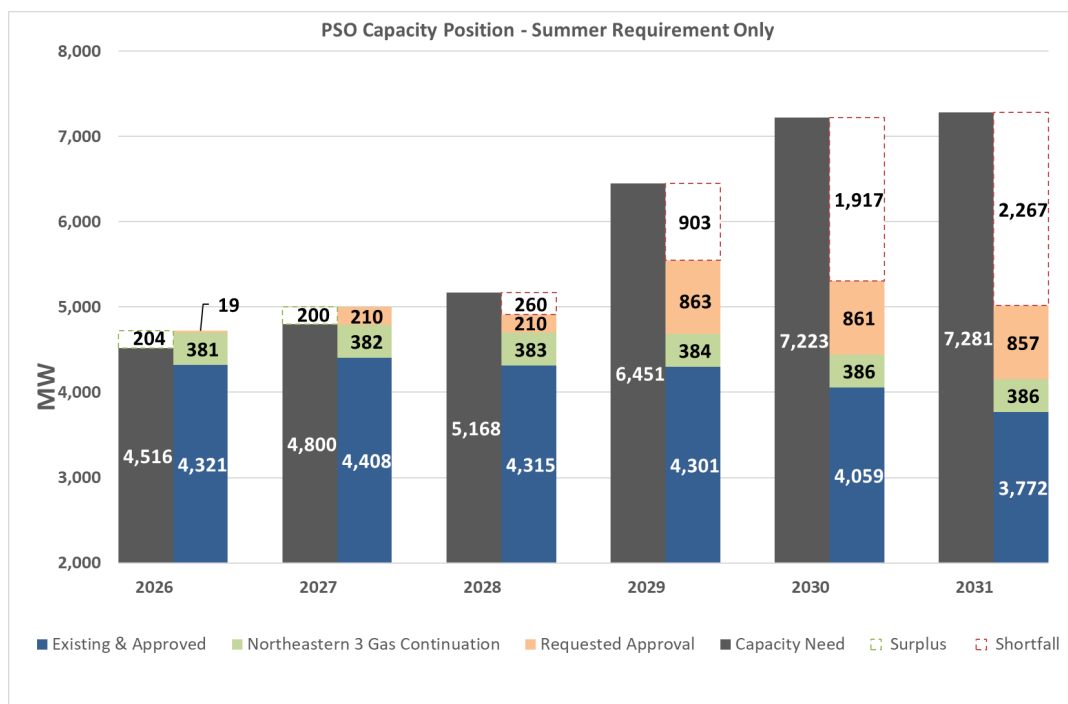
⁶¹ Demmy Direct 9:8-10.

⁶² Demmy Direct p. 10, Table 1.

Figure 4: Accredited Capacity Forecast

Project	Resource Type	First Summer Capacity Year	Nameplate Capacity MW	Summer Accredited First Year MW	Winter Accredited First Year MW
Weatherford	Wind	2026	147	19	30
Caddo	Wind	2027	80	10	16
King Plains	Wind	2027	248	31	51
Kiamichi	Contracted	2027	150	150	150
NE 5&6 Project	Natural Gas	2029	450	437	391
Northeastern 1&2	BESS	2029	100	97	75
Dover	BESS	2029	74	72	56
Rock Falls	BESS	2029	50	48	38
Total			1,299	863	808

The Company asserts that all eight generation resources are needed to meet its capacity requirements.⁶³ Even with the addition of the eight generation resources, PSO projected in its direct testimony that it will continue to have a capacity deficiency of 260 MW beginning in 2028, growing to as much as 2,267 MW in 2031.⁶⁴ Mr. Demmy provided the following chart showing PSO's projected summer capacity need even with approval of the eight generation resources sought in this Case:⁶⁵

Figure 5: Summer Capacity Including Selected Resources

⁶³ Horeled Direct 4:23-24.

⁶⁴ Demmy Direct p. 10, Figure 3.

⁶⁵ Demmy Direct p. 10, Figure 3.

PSO does not include all of the capacity from the new large loads in its forecast. The Company only includes 50% capacity for loads that have a signed LOA, and 80% capacity for loads that have a signed Contract for Electric Service (“CES”).⁶⁶ Mr. Horeled testified that once a company has decided to locate in PSO’s service territory, PSO works with the company to execute an LOA outlining how PSO will work to serve the site. The LOA includes a detailed scope of initial work and a list of long lead materials to be procured by PSO, as well as what financial security will be paid by the customer within 30 days of executing the LOA.⁶⁷ If a customer wishes to take service from PSO, they will then sign a CES.⁶⁸ In the CES, PSO requires a minimum term, cancellation notice, termination fee, and minimum collateral that is proportional to the size of the load. Minimum billing amounts are required to be at least 80% of the load’s contracted capacity.⁶⁹ Mr. Horeled testified that in his experience at PSO, every LOA has become a CES.⁷⁰

OIEC witness Norwood expressed concerns with PSO’s forecasted capacity requirements. He stated that PSO’s forecasted capacity requirements, excluding the proposed resources, are greater than the forecasted capacity requirements provided in the IE Report. According to Mr. Norwood, if the capacity needs forecast presented in the IE Report proves to be correct, PSO’s capacity needs in the 2030 to 2031 period would be significantly diminished.⁷¹ Nevertheless, Mr. Norwood testified that considering the potential for delays in the planned in-service dates of the proposed resources and the risk that PSO will not gain approval to convert Northeastern Unit 6 [*sic*] to burn natural gas, he believes there is reasonable justification that the 871 MW of accredited capacity that would be supplied by the proposed resources would be needed.⁷²

AG witness Beling testified that PSO has indicated that it has a forecasted need for generation capacity in the coming years, with a forecasted need of 3124 MW in 2031.⁷³ Mr. Beling further stated that a significant portion of the Company’s forecasted need for accredited planning capacity is driven by new large loads, but that the Company also forecasts a need without new large loads.⁷⁴ Mr. Beling testified that PSO would still have a forecasted capacity need in 2031 even if the new large loads were excluded.⁷⁵

PUD witness Mossburg testified that the seven RFP resources “essentially meet the projected need based solely on executed CESs” and that “approving only the RFP resources, in conjunction with the NE 3 fuel switch, would allow PSO to meet their obligations.” He went on to state that the NE 5&6 project is only needed to serve the more speculative load of large customers under LOAs.⁷⁶ According to Mr. Mossburg, PSO’s load forecast is solely based on potential customers who have executed an LOA or CES.⁷⁷

Mr. Mossburg expressed concern that the vast majority of PSO’s need is driven by just 11 customers, and that the majority of those customers have yet to make significant financial

⁶⁶ Beling Responsive 54:3-5.

⁶⁷ Horeled Direct 10:9-13.

⁶⁸ Mossburg Responsive 15:13-14.

⁶⁹ Horeled Direct 11:1-3.

⁷⁰ Horeled Rebuttal 20:18-19.

⁷¹ Norwood Responsive 12:1-8; Confidential Exhibit SN-2, p. 23 of IE’s Report.

⁷² Norwood Responsive 13:6-10.

⁷³ Beling Responsive 8:17-18.

⁷⁴ Beling Responsive 58:6-8.

⁷⁵ Beling Responsive 11:8-9.

⁷⁶ Mossburg Responsive 25:2-6.

⁷⁷ Mossburg Responsive 15:14-15.

commitments.⁷⁸ Mr. Mossburg explained that the first thing to note is that the level of commitment varies widely by agreement category. The LOAs require the bidder to pay some money, chiefly for long lead time equipment procurement, but the commitments are relatively small. In contrast, the CESs appear to have larger, more binding commitments.⁷⁹

At the time of the filing of Responsive Testimony on December 12, 2025, Mr. Mossburg testified that of the 11 new customers, eight customers had signed LOAs and three had signed a CES.⁸⁰

Mr. Mossburg testified that he determined that the commitments in these LOAs are relatively small. He testified that several caveats call into question the assumption that these costs represent a serious commitment and that these loads will therefore materialize. First, these costs are very small in comparison to the capital investment required. For example, a rough cost to build a data center is about \$12 million per MW. Therefore, a 500 MW data center customer may be investing \$6 billion. He stated that in this context, a \$3.5 million investment is a small cost. Second, most of the cost is for high-demand equipment that can easily be re-sold or re-used if the project falls through, further reducing the customer's exposure. PSO confirmed that if such a situation occurred, they would look to see if the item is needed elsewhere on their system before seeking payment. Third, none of these agreements appear to require any contribution in aid of construction ("CIAC"). Fourth, if the project is cancelled, the developer only appears to owe costs spent by PSO. If equipment orders have not yet been placed, this would further reduce exposure. Fifth, nearly all agreements have some sort of ramping up mechanism, whereby capacity increases over time, meaning that even if the projects come online, they might not grow to the forecasted size.⁸¹

At the Hearing, Mr. Norwood also expressed concerns regarding the level of commitment required in the LOAs.⁸²

Mr. Mossburg explained that, in contrast, the customers signing CESs have more significant exposure. Each contract commits the developer to taking service with an initial term, minimum month bill amounts, and performance assurance security.⁸³

Mr. Mossburg testified that the load of potential customers who have signed LOAs is both very high and also very uncertain as commitments are much, much lower than for customers who have signed a CES. Moreover, many might be part of a speculative bubble. Even accounting for some discounting, as PSO does, runs the risk of procuring too much capacity and forcing ratepayers to foot the bill for stranded investments. Therefore, he proposed that a more reasonable forecast might include just existing load and the forecast load of customers who have signed a CES.⁸⁴

At the Hearing, Mr. Mossburg testified that he agrees with PSO including CES customers in its forecast.⁸⁵ He also stated that he has no objection to PSO's use of only 80% of the capacity

⁷⁸ Mossburg Responsive 15:5, 21:7-9.

⁷⁹ Mossburg Responsive 16:5-8.

⁸⁰ Mossburg Responsive 16:2.

⁸¹ Mossburg Responsive 17:5-18:2.

⁸² 2/18/2026 Tr. 212:5-213:2.

⁸³ Mossburg Responsive 18:4-8.

⁸⁴ Mossburg Responsive 23:10-16.

⁸⁵ 2/18/2026 Tr. 43:18-20.

for CES customers in its load forecast.⁸⁶ Mr. Mossburg disagreed with PSO including customers who have signed an LOA, but not yet a CES, in its load forecast.⁸⁷ Rather than using 50% of the capacity for LOA customers in its forecast, Mr. Mossburg testified that PSO should include no customers in its forecast who have signed an LOA.⁸⁸

Mr. Mossburg explained that, besides the level of commitment, there are other reasons to be wary of these forecast numbers. He testified that there is significant recent discussion over whether the current AI-driven data center buildout is a bubble. Per one recent report, 2025 AI-related capex for Microsoft, Amazon, Alphabet and Meta was about \$332 billion, versus profits of just \$28.7 billion. Per another report, in just three months of this year, 20 projects representing \$98 billion in potential investment were blocked or delayed. In the latest in a series of reports, Georgia Power reported a net decrease of 6 GW in large load customer needs over one quarter.⁸⁹

Mr. Mossburg testified that as has happened in other parts of the country, several well-capitalized companies are looking to construct large, energy-intensive projects within the next few years.⁹⁰ He stresses that because of the importance of this new supply in meeting future needs, it is vital that the Commission and all parties understand the nature of these customers, which includes how likely the load is to materialize, the timing, and the size of the increase. He further testified that the Commission must also carefully consider how to ensure these customers pay their fair share of the cost to serve them to avoid subsidization by existing customers.⁹¹

At the Hearing, Mr. Horeled testified that he was aware that the Sand Springs Planning Commission rezoned land for a data center and are now facing a lawsuit. He also testified that he is aware of complaints from citizens in Coweta and Clarendon regarding data centers. Finally, he testified that he is aware of legislation that has been introduced regarding data centers, including one bill that calls for a moratorium on data centers and one that asks the Commission to create a separate classification for big energy customers.⁹²

Mr. Mossburg argued that PSO did not split out its needs by new or existing load, as they have in other recent forums. In this Case, Mr. Mossburg contends that the need for PSO's existing resources comes from a June 2025 presentation PSO made to the Commission.⁹³ Based upon this presentation, Mr. Mossburg asserts that there is a deficit of roughly 240 MW in 2026 that grows to a deficit of about 566 MW in 2030. Factors contributing to this need include the retirement of units at Southwestern and Weleetka after 2029. Additionally, PSO is currently in the process of seeking approval to run NE 3 on natural gas, which would provide slightly more than 380 MW of capacity. Assuming this approval is granted, Mr. Mossburg states the need for the current load ranges from a surplus of about 140 MW in 2026 to a deficit of about 180 MW in 2030.⁹⁴

Mr. Mossburg testified that, under this analysis, PSO would have their needs covered through 2028 and only a small need after that. Although if we include the projected needs of new

⁸⁶ 2/18/2026 Tr. 43:21-24.

⁸⁷ 2/18/2026 Tr. 44:2-6.

⁸⁸ 2/18/2026 Tr. 44:2-6.

⁸⁹ Mossburg Responsive 20:1-21:2.

⁹⁰ Mossburg Responsive 11:7-9.

⁹¹ Mossburg Responsive 15:5-10.

⁹² 2/17/2026 Tr. 127:15-128:19.

⁹³ Mossburg Responsive 11:12-14; PUD2025-000064, Hearing Exhibit No. 22, Docket Entry No. 263.

⁹⁴ Mossburg Responsive 12:3-10.

customers, as PSO does in their filing, the resource need changes substantially. PSO's new loads drive their need from 186 MW in 2030 to nearly 2800 MW.⁹⁵

However, PSO witness Paul Demmy testified that Mr. Mossburg made his assumptions based on an outdated load forecast and that if Mr. Mossburg would have used the most recent load forecast provided in discovery, as AG witness Beling did in his Responsive Testimony, even without potential new customers, the Company would have a need of 514 MW in year 2030 and 814 MW by 2031.⁹⁶ At the Hearing, Mr. Demmy testified that by utilizing Mr. Mossburg's own methodology of including only customers who have signed a CES, while also using PSO's updated load forecast, PSO would have a need in 2028 of 176 MW, 435 MW in 2029, and 1131 MW in 2031.⁹⁷

At the Hearing, Mr. Demmy went on to testify that since the filing of this Application, there have been additional customers who had LOAs that have since converted to a CES.⁹⁸ The aggregated load ramp schedule for these two new CES customers would be approximately 500 MW in 2029 and 1100 MW in 2031.⁹⁹ He testified that using Mr. Mossburg's analysis of only including customers who have signed a CES, and including the two additional customers since the filing of this Application, PSO will have approximately 1000 MW of need in 2029.¹⁰⁰

Mr. Mossburg agreed at the Hearing that the Commission should consider these two new customers who have converted their agreements from an LOA to a CES. He stated that he agreed that PSO would have an additional need taking into account the 1100 MW of new potential CES customers.¹⁰¹

PSO's need for additional accredited capacity in this Case is predominantly based upon large load customers whose projects could potentially fail to come to fruition. While the ALJ expresses concern regarding the potential for a future "bubble burst" resulting in stranded assets, substantial testimony and evidence have been provided in this Case to demonstrate that a need does indeed exist. The ALJ recommends that the Commission find that PSO has a need pursuant to 17 O.S. § 286(C).

The ALJ further recommends that the Commission find PSO's resource planning model of only including 50% capacity for loads that have a signed LOA, and 80% capacity for loads that have a signed CES to be reasonable.

The ALJ further recommends that the Commission carefully consider a path forward to ensure that these large load customers pay their fair share of the cost to serve them to avoid subsidization by existing customers. Additional recommendations regarding cost recovery and allocation will be discussed in a later section.

The ALJ further notes that while PSO does, in fact, have a need, that need is not required to be met through a preapproval action pursuant to 17 O.S. § 286.

⁹⁵ Mossburg Responsive 13:4-10.

⁹⁶ Demmy Rebuttal 6:2-9.

⁹⁷ 2/18/2026 Tr. 128:13-23.

⁹⁸ 2/18/2026 Tr. 129:2-10.

⁹⁹ 2/18/2026 Tr. 129:11-24.

¹⁰⁰ 2/18/2026 Tr. 130:7-131:1.

¹⁰¹ 2/18/2026 Tr. 49:20-50:18.

CONSIDERATION OF REASONABLE ALTERNATIVES**Wind Resource PPAs**

PSO witness Bolan testified that PSO seeks approval of three PPAs it selected and entered into with owners of operating wind resources. Mr. Bolan further stated that the PPAs provide for the contracted amount of energy, SPP designated capacity, and environmental attributes generated at the fixed contract price.¹⁰²

Each PPA selection was a result of and compared to other resources bid into the 2023 All-Source RFP.¹⁰³ The three wind PPAs consist of the 80 MW Caddo Wind PPA, the 248 MW King Plains PPA, and the 147 MW Weatherford Wind PPA.¹⁰⁴ The PPA terms include representations and warranties, indemnifications, termination rights, and conditions precedent to proceeding, including regulatory approvals, that are typical in such transactions.¹⁰⁵ The Company's final RFP bid rankings placed the wind resources as follows:

- The 80 MW Caddo PPA, ranked 1st;
- The 147 MW Weatherford PPA, ranked 5th; and
- The 248 MW King Plains PPA, ranked 9th.¹⁰⁶

No party opposes the granting of this request.

The ALJ recommends that the Commission approve the proposed Caddo, Weatherford, and King Plains wind PPAs.

5-Year Kiamichi CPA

PSO requests approval of its selection of the five-year, 150 MW thermal Kiamichi CPA.¹⁰⁷ The Kiamichi CPA was a result of and compared to other resources bid into the 2023 All-Source RFP. In his Rebuttal Testimony, PSO witness Bolan provides a table that lists the Kiamichi CPA as 3rd in the final rankings.¹⁰⁸ At the Hearing, PUD witness Mossburg testified that the five-year, 150 MW Kiamichi CPA ranked 10th in the final scores after the bidding process.¹⁰⁹

At the Hearing, OIEC witness Norwood expressed concern with the Company's selection of the five-year, 150 MW Kiamichi CPA over the 15-year, 300 MW Kiamichi option.¹¹⁰ He stated that the 15-year, 300 MW CPA bid ranked first out of the 27 final short-listed bids.¹¹¹ Though he expressed concerns with the selection, Mr. Norwood ultimately recommended conditional approval of the five-year Kiamichi option with the condition that PSO re-initiate negotiations for the 15-year, 300 MW CPA bid, if still available. He stated that this bid would serve as a valuable

¹⁰² Bolan Direct 20:17-20; Exhibits STB-3 through STB-5; Exhibit STB 10.

¹⁰³ Mossburg Responsive 26:8-9.

¹⁰⁴ Horeled Direct 13:19; Horeled Direct p. 12, Table 2.

¹⁰⁵ Bolan Direct 21:2-4.

¹⁰⁶ Bolan Rebuttal 9:6.

¹⁰⁷ Horeled Direct 13:19-20.

¹⁰⁸ Bolan Rebuttal 9:6.

¹⁰⁹ 2/18/2026 Tr. 19:10-14.

¹¹⁰ 2/18/2026 Tr. 209:13-21.

¹¹¹ 2/18/2026 Tr. 216:3-5.

long-term hedge against future price increases in generating capacity costs and thereby greatly benefit PSO's customers.¹¹²

AG witness Beling also recommended the Commission approve the request for preapproval of cost recovery for the 150 MW Kiamichi CPA, but with the inclusion of consumer protection mechanisms.¹¹³ Mr. Beling testified that the 150 MW Kiamichi CPA scored well in the economic evaluation and provides a low-risk pricing structure to help meet the Company's capacity need.¹¹⁴ However, Mr. Beling expressed concern that the selected 150 MW Kiamichi CPA had a significantly higher price than that of the lowest-priced option.¹¹⁵ The selected 150 MW Kiamichi CPA scored the lowest in the Company's economic evaluation, while the lowest price option was the highest-scoring bid in the Company evaluation.¹¹⁶ Mr. Beling testified that the Company should have instead selected the highest scoring, lowest price CPA, not only because of its lower cost, but because it would have further contributed to the stated 470 MW capacity need in 2028. By failing to select this option, he stated PSO has not only proposed to expose its customers to a price that is much higher in the first contract year, but has also failed to secure a low-priced hedge against future capacity prices. The selection of a smaller volume and shorter term significantly increases customer exposure to capacity market prices in future years.¹¹⁷

Similar to Mr. Norwood, Mr. Beling recommended that the Company pursue the lowest-priced configuration of the Kiamichi CPA that was bid into the RFP, and that the Commission should consider the Company's failure to select an available lower-price version of this resource when evaluating Company requests for cost recovery both now and in the future. Mr. Beling did acknowledge that the highest-priced configuration that was selected still scored well in the Company's evaluation.¹¹⁸

Additionally, Mr. Beling recommended that if the Commission approves the Company's 150 MW Kiamichi CPA selection, cost recovery should be limited by a Recovery Cost Limit ("RCL"). He testified that the Company received several capacity purchase configurations for Kiamichi, and each configuration offered different pricing. The selected 150 MW CPA scored the lowest among the configurations bid, according to the Company's analysis. He stated that the RCL would limit recovery of costs based on the pricing of the highest-scoring Kiamichi CPA option that was available which, he says, the Company should have selected.¹¹⁹

Mr. Beling testified that the intent of the RCL is to limit the recovery of the five-year, 150 MW Kiamichi CPA as requested by the Company over a five-year period, based on the highest-scoring configuration that the Company did not select in its resource selection. Under the RCL, PSO would guarantee that it will not seek recovery for any cost of its selected five-year, 150 MW Kiamichi CPA resource greater than the pricing of the first five years of the highest-scoring alternative configuration of the bid.¹²⁰

¹¹² Norwood Responsive 18:17-21.

¹¹³ Beling Responsive 29:12-13.

¹¹⁴ Beling Responsive 29:17-18.

¹¹⁵ Beling Responsive 31:2-4.

¹¹⁶ Beling Responsive 31:9-11.

¹¹⁷ Beling Responsive 31:14-22.

¹¹⁸ Beling Responsive 32:4-12.

¹¹⁹ Beling Responsive 51:6-12.

¹²⁰ Beling Responsive 51:14-19.

At the Hearing, Mr. Mossburg testified that he recommends the Commission accept the 150 MW Kiamichi CPA.¹²¹ Mr. Mossburg also testified that of the qualified CPA offers referenced in his drafted IE Report, PSO selected the resource with the highest cost, shortest term, and lowest megawatt capacity.¹²² Mr. Mossburg stated that in the final scores of the bidding process, the five-year, 150 MW Kiamichi CPA ranked 10th, and the 15-year, 300 MW CPA ranked number one.¹²³ He testified that the reason for this selection was due to the fact that PSO wanted to maintain an open energy position in the future, and that Bates White, the IE, interpreted this as PSO planning for future long-term resource additions.¹²⁴ He further testified that the Company selecting the 10th ranked bid, though not the lowest reasonable cost bid, is a valid selection.¹²⁵

PSO witness Demmy testified that paying more for the five-year CPA option is a reasonable balance of risk and benefits between capacity and energy considerations.¹²⁶ He stated that the Company is not only concerned with capacity costs, but providing energy as well. A certain level of CPAs have a place in a portfolio because they provide affordable capacity and fill in short-term gaps, but they do not provide energy. In this specific Case, he explained, the 15-year option, rather than alternatives that provide both capacity and energy, is not in the long-term interest of customers.¹²⁷

PSO witness Bolan also testified that capacity purchases need to be combined with energy-based solutions to best serve PSO's customers.¹²⁸ He stated that PSO believes it is prudent to execute the five-year Kiamichi CPA and be able to adapt to changing circumstances and opportunities.¹²⁹

The ALJ finds that the Company appropriately balanced capacity and energy considerations in its selection of the five-year, 150 MW Kiamichi CPA. Therefore, the ALJ recommends that the Commission approve the five-year, 150 MW Kiamichi CPA.

Rogers County Zoning Issues: BESS NE 1&2 and NE 5&6

PUD witness Scalf testified that PSO requested a zoning change with the Rogers County Board of Adjustment ("Board") that would allow it to build the NE 5&6 and the BESS project, NE 1&2. The Board denied the request on November 18, 2025, and PSO appealed this decision on December 1, 2025. A written order from the Board was issued on December 16, 2025.¹³⁰ According to Mr. Scalf, there is no indication as to when a response to the appeal will be rendered. As such, PUD recommended that, because PSO does not know when or if these projects will ever be built, NE 1&2 and NE 5&6 should not be a part of this Case and should not be recommended for preapproval by the Commission.¹³¹

¹²¹ 2/18/2026 Tr. 12:15-18.

¹²² 2/18/2026 Tr. 17:1-11.

¹²³ 2/18/2026 Tr. 19:10-21.

¹²⁴ 2/18/2026 Tr. 22:11-19.

¹²⁵ 2/18/2026 Tr. 20:6-12.

¹²⁶ Demmy Rebuttal 18:7-9.

¹²⁷ Demmy Rebuttal 18:12-20.

¹²⁸ Bolan Rebuttal 13:14-15.

¹²⁹ Bolan Rebuttal 13:13-14.

¹³⁰ Scalf Supplemental 3:14-20.

¹³¹ Scalf Supplemental 4:12-20.

In a supplemental response to the Attorney General's ninth set of data requests issued on January 9, 2026, the Company stated, "PSO does not plan to commence construction at the Northeastern site until after the conclusion of pending relevant legal matters. PSO has filed a Notice of Appeal with the Rogers County Court Clerk, the Clerk of the Board of Adjustments, and the County Clerk to preserve its rights and options."¹³²

OIEC witness Norwood also expressed concerns due to the Board's decision. He testified that this development could significantly delay or possibly eliminate PSO's plans for development of the NE 1&2 BESS projects and the NE 5&6 project. He stated that, to the extent the delay in these projects do occur, it could have significant impacts on current cost estimates for the projects. He recommended that PSO's customers be protected from paying any additional costs above what was included in the final awarded bid prices of the proposed NE 5&6 project unless the Company is able to demonstrate that the project is the best available option for customers from a cost and overall basis after related project delay or cancellation costs are considered.¹³³

At the Hearing, PSO witness Horeled testified that the property in question has been an existing site used for generation since 1961, and that PSO is seeking to update the zoning designation for that area. It is currently zoned as agricultural.¹³⁴ PSO has owned and operated this property as a power plant since 1961.¹³⁵ Mr. Horeled testified that this zoning update would allow PSO to move forward with the projects.¹³⁶ He further testified that the Company expects resolution of these issues sometime in the spring or summer, but PSO does not intend on moving forward with construction unless and until it has received a favorable decision from the District Court of Rogers County.¹³⁷ Mr. Horeled stated that it is quite often commonplace for the developers to go through zoning designations or changes.¹³⁸

Mr. Horeled confirmed that even if the Commission grants preapproval of NE 5&6 and NE 1&2, PSO can't and won't commence construction at that site.¹³⁹ Mr. Horeled further testified that if the Commission preapproves the BESS NE 1&2, customers won't pay for the project until it comes online.¹⁴⁰

At the Hearing, Mr. Scalf testified that there is no harm to PSO customers incurred by preapproving the BESS project at NE 1&2 because none of the costs of that facility will be flowed through to customers until the facility is placed in service. He also confirmed that any CWIP that would be collected prior to the NE 5&6 project being placed into service would be refunded to customers if the facility is not built.¹⁴¹

The ALJ expresses concern for the uncertainty of the zoning change, and finds the filing of this action as it relates to NE 1&2 and NE 5&6 prior to PSO obtaining all required zoning variances to be premature. Nevertheless, the ALJ finds that customer protections are in place to avoid harm should the zoning change not come to fruition. Testimony was provided to show that

¹³² Scalf Supplemental 4:5-9; Exhibit DS-2 to Scalf Supplemental Testimony.

¹³³ Norwood Responsive 20:6-18.

¹³⁴ 2/17/2026 Tr. 12:4-8.

¹³⁵ 2/17/2026 Tr. 15:13-14.

¹³⁶ 2/17/2026 Tr. 12:12-14.

¹³⁷ 2/17/2026 Tr. 13:21-14:3.

¹³⁸ 2/17/2026 Tr. 15:15-18.

¹³⁹ 2/17/2026 Tr. 152:22-25.

¹⁴⁰ 2/17/2026 Tr. 153:13-17.

¹⁴¹ 2/19/2026 Tr. 167:2-13.

none of the costs of the NE 1&2 facility would be flowed through to customers unless and until the facility is placed in service, and any CWIP that would be collected prior to the NE 5&6 project being placed into service would be refunded to customers if the facility is not built.

The ALJ recommends that if the zoning variance cannot be obtained, customers should be held harmless for any and all sunk costs of the NE 1&2 and NE 5&6 projects due to the zoning variance denial.

BESS PSAs: Northeastern 1 & 2, Rock Falls, Dover

PSO selected three BESS projects, each located in Oklahoma. The BESS projects consist of three PSAs: the 100 MW NE 1&2, the 50 MW Rock Falls, and the 74 MW Dover.¹⁴² All three projects will be engineered to have a design life of 20 years.¹⁴³ The BESS projects were bid into the 2023 All-Source RFP.¹⁴⁴ Compared to other projects bid into the 2023 All-Source RFP, the BESS projects were ranked 13th (NE 1&2), 15th (Dover), and 20th (Rock Falls).¹⁴⁵

The PSAs govern the construction of the storage resources by the Seller and the Company's purchase of 100% of the equity interests of each of the project holding companies that own the rights and assets associated with each of the storage resources.¹⁴⁶ The combined base purchase price for the BESS resources is approximately \$560 million.¹⁴⁷ The total capital expenditure for the BESS resources is approximately \$715 million, or approximately \$3,192/kW. This includes associated owner's costs, AFUDC, or any contingencies for risk mitigation related to each individual project.¹⁴⁸

PSO witness Dr. Hagerman testified as to the benefits and characteristics of the BESS projects. Dr. Hagerman stated that PSO's primary purpose for the BESS projects is to help fulfill its load and planning resource obligation needs in AEP's Resources Adequacy Plan. These projects will each contribute Firm Capacity and will meet SPP's requirement of being capable of supplying its accredited capacity for minimum of four continuous hours.¹⁴⁹ She stated that BESS assets provide economic benefits in their flexibility to discharge during periods with high locational marginal prices ("LMPs") or to charge during periods with low LMPs. Dr. Hagerman testified that as both the generation mix and load profile evolve over time, BESS assets can strengthen PSO's overall ability to maintain reliable and affordable power.¹⁵⁰

Dr. Hagerman further testified that there is a total of 708 MW of accredited BESS capacity for the 2026 Summer Season in SPP. Furthermore, the SPP interconnection queue illustrates a significant uptick in BESS deployment interest, growing to over 33,800 MW by the end of 2029.¹⁵¹

¹⁴² Lozier Direct p. 7, Table 1.

¹⁴³ Lozier Direct 7:6-8:9.

¹⁴⁴ Horeled Direct 13:17-19.

¹⁴⁵ Bolan Rebuttal p. 9, Table 1.

¹⁴⁶ Bolan Direct 16:19-17:1.

¹⁴⁷ Bolan Direct 17:13-14.

¹⁴⁸ Bolan Direct 17:18-21.

¹⁴⁹ Hagerman Direct 8:6-9.

¹⁵⁰ Hagerman Direct 10:8-13.

¹⁵¹ Hagerman Rebuttal 5:14-17.

As discussed in further detail above, the NE 1&2 BESS projects are to be located in Rogers County in an area that is zoned agricultural. The Rogers County Board of Adjustment rejected PSO's request for a zoning variance and, therefore, the NE 1&2 BESS projects cannot commence construction unless and until PSO receives a favorable ruling.

Following the issuance of the RFP, the Company claims a cybersecurity risk associated with BESS resources related to hacking concerns from foreign entities based on communication capabilities of BESS components sources from certain manufacturers was identified. The Company became aware of these risks after the RFP was issued, but before the scoring phase began. As a result of this risk, PSO decided to eliminate BESS PPA proposals from consideration.¹⁵² It is the Company's belief that it would not have enough oversight under the ownership structure of a PPA. In contrast, under a PSA, PSO would have the ability to control activities and equipment purchases, allowing sufficient mitigation of the risks.¹⁵³

Although PUD witness Mossburg recommended the Commission accept the three BESS projects at the Hearing, he took issue with the Company's decision to eliminate all BESS PPAs and hybrid storage agreements from the RFP.¹⁵⁴ The RFP eliminated a significant source of competition when PSO made the decision to eliminate all BESS PPAs and hybrid storage agreements proposing PPAs due to a cyber-hacking risk.¹⁵⁵ In his Responsive Testimony, he stated that PSO cited the decommissioning of BESS units placed at Camp LeJune by Duke Energy that used batteries from Chinese supplier CATL as the supportive reason. PSO also noted difficulties in contracting with BESS resources. He clarified that not all projects were proposing to use CATL batteries—this was a decision made based on transaction type alone. He emphasized that this was not justified, does not reflect best practices in procurement, and is not a practice followed by any other utility that he is aware of.¹⁵⁶ In his IE Report, Mr. Mossburg concluded that PSO did not provide adequate justification for eliminating the PPA BESS facilities.¹⁵⁷

The Attorney General, OIEC, and the Petroleum Alliance recommend that PSO's request for approval of the BESS PSAs be rejected based upon the high cost, low bid ranking, and lack of consideration of reasonable alternatives.

Petroleum Alliance witness Dr. Dismukes recommended rejection of the BESS Projects due to their low ranking in bid score results, the Company's unnecessarily high weight on non-price factors in bid scoring, and the explicit technology bias in favor of BESS PSA resources in the RFP. Dr. Dismukes testified that these flaws allowed PSO to justify the selection of three BESS PSAs with an average cost of \$3,192 per kW, more than twice the cost of the Company's proposed natural gas PSA project.¹⁵⁸

OIEC witness Norwood recommended that the Commission reject PSO's request for approval of the BESS projects due to the very high capital cost of the projects, the Company's elimination of all BESS PPA proposals, the risk of cost increases due to schedule delays or factors such as import tariff impacts, and the uncertainty that exists regarding these projects related to the

¹⁵² Bolan Rebuttal 6:5-10.

¹⁵³ Bolan Rebuttal 6:16-19.

¹⁵⁴ 2/18/2026 Tr. 12:10-14.

¹⁵⁵ Mossburg Responsive 28:10-12.

¹⁵⁶ Mossburg Responsive 28:12-29:4.

¹⁵⁷ 2/18/2026 Tr. 60:7-12.

¹⁵⁸ Dismukes Responsive 6:15-7:11.

lack of operating history of six hour battery projects.¹⁵⁹ Mr. Norwood testified that the IE Report generally concluded that PSO's 2023 RFP and bid selection process were reasonable; however, the IE Report was critical of the Company's decision to exclude BESS PPAs from the resources eligible for selection based on express concerns that these resources were subject to cybersecurity risks.¹⁶⁰

AG witness Beling recommended that the Commission should deny the request for the BESS projects. He stated that the Company categorically disqualified a specific ownership structure of BESS projects for a reason that was not identified as a requirement in the 2023 All-Source RFP. Mr. Beling alleges that without considering all ownership structures of BESS projects, the Company has not considered reasonable alternatives to its BESS selections.¹⁶¹

Mr. Beling testified that both ownership and non-ownership structures were requested in the 2023 RFP document, which included PPA, CPA, and PSA options specified in Section 9 of the 2023 All-Source RFP.¹⁶² Based on the Company Threshold Analysis, 150 bids of the 314 project proposals were deemed eligible to proceed to preliminary evaluation and the remainder of the bids were disqualified from further evaluation.¹⁶³ While most of the disqualifications in the Threshold Analysis were based on the RFP criteria, there was a subset of the eliminations that were not based on any criteria defined in the RFP document.¹⁶⁴ The Company disqualified a set of BESS bids in its Threshold Analysis that had the PPA structure.¹⁶⁵ The Company indicated that all BESS PPAs were disqualified from the RFP due to the risk of "hacking exposure from foreign entities based on the communication capabilities of BESS components sourced from certain manufacturers."¹⁶⁶

Mr. Beling conceded that addressing security concerns is a valid consideration, but the manner in which the Company enforced an undisclosed requirement did not provide bidders clear information about the requirements of how the RFP would be administered.¹⁶⁷ Mr. Beling testified that the Company could have addressed its cybersecurity concern in several acceptable ways, including disclosing the concern to bidders through the RFP document to allow bidders an opportunity to propose mitigations or propose a different manufacturer.¹⁶⁸ At the Hearing, Mr. Beling again expressed that his concern was that bidders were unaware of the particular requirement so they did not have a chance to either provide some sort of alternative type of bid or some sort of mitigation for the cybersecurity risk.¹⁶⁹ He further stated that if the RFP had included the requirement to manage the cybersecurity risk, "that would have been okay because then all the bidders would have been on equal footing, and the PPAs would have known that if they're bidding a PPA, they need to have those types of controls or mitigations in place."¹⁷⁰

Mr. Beling further testified at the Hearing that the reason that he believed reasonable alternatives were not considered was that an entire ownership structure was summarily thrown out

¹⁵⁹ Norwood Responsive 9:4-9.

¹⁶⁰ Norwood Responsive 13:19-14:2.

¹⁶¹ Beling Responsive 23:4-9.

¹⁶² Beling Responsive 23:16-18.

¹⁶³ Beling Responsive 24:3-5.

¹⁶⁴ Beling Responsive 24:9-11.

¹⁶⁵ Beling Responsive 24:15-16.

¹⁶⁶ Beling Responsive 25:14-16.

¹⁶⁷ Beling Responsive 26:11-13.

¹⁶⁸ Beling Responsive 25:19-26:5.

¹⁶⁹ 2/19/2026 Tr. 133:19-134:2.

¹⁷⁰ 2/19/2026 Tr. 135:11-16.

of the evaluation, and they were not thrown out for any reason that was initially indicated in the RFP. He stated that because they were all thrown out, not considered, and not allowed to be refreshed, in his view the reasonable alternatives were not considered in the selection of the BESS PSAs.¹⁷¹

With regard to the elimination of all BESS PPAs due to cyber-hacking risk concerns, PSO witness Bolan admitted at the Hearing that in future RFPs, PSO could require a stipulation as part of the RFP that would require bidders to use manufacturers that would not be affected by cyber-hacking.¹⁷²

OAC 165:35-34-1(f) provides that, “The soliciting utility shall issue an all-source Request for Proposal and **shall not exclude proposals for purchase power agreements**. All-source refers to all reasonably available sources of electric generation for the contemplated project location(s).” (emphasis added). Substantial evidence was presented to show that while both ownership and non-ownership structures for BESS resources were originally requested in the 2023 RFP document, the Company eliminated all BESS PPAs not based on any criteria defined in the RFP document. Despite PSO’s ability to provide information to bidders to mitigate cyber-hacking concerns, an entire ownership structure was excluded from consideration.

The ALJ finds that the Company acted imprudently by omitting all BESS PPAs from consideration without providing the opportunity for bidders to mitigate cyber-hacking concerns. Although the Company received 314 bids in response to the RFP and evaluated 150 bids after eligibility and threshold testing was conducted,¹⁷³ reasonable alternatives were not considered as all BESS PPAs were eliminated from consideration in the RFP without adequate justification.

The ALJ further finds that the BESS resources ranked poorly in comparison to other projects bid into the 2023 All-Source RFP at 13th (NE 1&2), 15th (Dover), and 20th (Rock Falls).¹⁷⁴ Furthermore, the projects have a very high cost with the combined base purchase price of approximately \$560 million, and a total capital expenditure of approximately \$715 million.¹⁷⁵ For context, the approximately \$3,192/kW is more than twice the \$1,237 kW cost of the requested NE 5&6 project.¹⁷⁶ The BESS resources account for more than half of the total capital expenditures in this Case, and only provide for a total of 224 MW in nameplate capacity.

For these reasons, the ALJ recommends that the Commission deny preapproval of the three BESS PSAs. The ALJ further recommends that the Commission order the Company to act with enhanced transparency in future RFPs regarding cybersecurity concerns. Should the Company feel that certain resources present heightened security risks, the ALJ recommends that PSO explicitly state this stance at the outset of the RFP, or upon immediate discovery of the perceived risk, to provide an opportunity for bidders to mitigate cyber-hacking concerns.

Investment Tax Credits (“ITCs”)

PSO witness Trapp explained in his Direct Testimony that the BESS projects are expected to be eligible for federal income tax credits that will benefit customers by reducing the Company’s

¹⁷¹ 2/19/2026 Tr. 115:12-25.

¹⁷² 2/17/2026 Tr. 232:15-19.

¹⁷³ Horeled Direct 12:14-13:2.

¹⁷⁴ Bolan Rebuttal p. 9, Table 1.

¹⁷⁵ Bolan Direct 17:13-14, 17:18-21.

¹⁷⁶ Dismukes Responsive 7:9-11.

cost of providing electric utility service. The BESS projects are expected to generate an ITC of approximately \$222 million, or \$286 million if the projects receive the Domestic Content bonus credit, in the years which they are placed in service. He testified that the Company recommends that the benefit of the ITC should be provided to customers ratably over the book depreciable life of the BESS projects.¹⁷⁷

PSO witness Schwarz testified as to the estimated rate impact and how it does not reflect cost changes unrelated to the proposed resources. She further testified that the analysis assumes that customers benefit from the 40%, 30%, and 30% ITC rates for the NE 1&2, Dover, and Rock Falls BESS projects, respectively. The Company recommends that these benefits be distributed over the useful life of each resource, rather than being fully recognized in the first year of operation. She stated that these benefits will flow through the non-fuel revenue requirement, supporting long-term rate stability and aligning with prudent ratemaking practices.¹⁷⁸

PUD witness Scalf testified that if PSO is unsuccessful in their appeal from the Rogers County zoning variance denial, the value of the ITCs would be significantly reduced. The ITCs generated would be \$109 million (a reduction of \$113 million), or \$145 million (a reduction of \$141 million) if the projects receive the Domestic Content bonus credit, in the years in which they are placed in service.¹⁷⁹

PUD witness Purvis testified that PUD is concerned with the customer impact based on economic development that may or may not come online as well as Renewable Energy Certificates (“RECs”), ITCs, and off-system sales that may be impacted by zoning issues.¹⁸⁰

Mr. Scalf testified that the Company plans on selling all the ITCs generated from the BESS projects and, therefore, the ITCs should not be amortized over a 20-year period. He explained that this period could end long after the ITCs have been sold to a third party and that PSO’s proposal would allow the Company to retain all cash proceeds from the ITC sales for an extended period before returning the associated benefits to its customers. Mr. Scalf testified that PUD recommends that the proceeds from the sale of ITCs be credited to customers through the ESR contemporaneously as those sales occur and that until the sales transactions occur, the ITCs be amortized through the ESR over a 5-year period. He confirmed that it is possible that this recommendation could result in total amortization and sale proceeds being over-credited, but this recommendation will ensure that customers receive full value for the ITCs generated by the BESS projects as the ITCs are sold at a discount.¹⁸¹

The ALJ recommends denial of the BESS projects and, thus, the issue of the ITCs is moot.

Northeastern Units 5 & 6

In his Direct Testimony, PSO witness Horeled testified that PSO initially bid a project to construct gas combustion turbines at the Northeastern site into the 2023 All-Source RFP. The project was designed to reuse the generation interconnection currently being utilized by NE 3.

¹⁷⁷ Trapp Direct 4:7-13.

¹⁷⁸ Schwarz Direct 5:12-23.

¹⁷⁹ Scalf Responsive 15:13-17.

¹⁸⁰ Purvis Responsive 26:9-11.

¹⁸¹ Scalf Responsive 21:1-16.

After PSO learned that it might be able to continue running NE 3 on natural gas, the Company could no longer use the same interconnection rights at NE 3 for its project, which led it to withdraw the bid. The Company then developed a new project, NE 5&6, which includes, among other modifications, a place in the SPP transmission interconnection queue.¹⁸²

Company witness Dilley testified that the original affiliate bid was withdrawn in 2024 after NE 3 was selected to continue operations in the 2024 PSO Integrated Resource Plan (“IRP”). He stated that the team developed the new NE 5&6 project that is a part of this proceeding, which is distinct from the previous project.¹⁸³

AG witness Beling testified that the “other modifications” made to the original bid, as mentioned by Mr. Horeled, include a different scope of work, schedule, and project cost to reflect the new interconnection and associated requirements. Furthermore, NE 5&6 is scheduled to be in service December 2028, approximately one year later than the original withdrawn affiliate bid’s Commercial Operation Date (“COD”). Additional changes include demineralization and service water tanks rather than the use of existing plant service water tanks.¹⁸⁴ He testified that it is not possible to consider NE 5&6 an update to the withdrawn affiliate bid.¹⁸⁵

Company witness Bolan testified that the NE 5&6 project will construct a 450 MW simple cycle natural gas facility to be located at PSO’s existing Northeastern Generation Station. The project will consist of two gas combustion turbines and all other necessary equipment.¹⁸⁶ He states that a combustion turbine configuration like NE 5&6 offers the benefit of dispatchability, and that it is located within PSO’s footprint, putting it close to the load it would serve. Additionally, the overall cost of the project is reduced because PSO can utilize the former Northeastern Unit 4 bay and breaker position, existing gas infrastructure, existing water infrastructure, and other existing site improvements.¹⁸⁷

The estimated total project capital cost for the NE 5&6 project is approximately \$539,800,000, which includes direct costs, indirect costs, and owner’s costs for the project.¹⁸⁸ PSO witness Dilley testified that this cost estimate was developed with support from a reputable third-party engineering firm, Burns & McDonnell, and was further informed and updated with input from a similar project in Southwestern Electric Power Company (“SWEPCO”) that is further along in engineering and design.¹⁸⁹

PSO asserts that the Company needs the capacity of the NE 5&6 project no later than December 2028. The Company further alleges that the NE 5&6 project ranks high in comparison to the December 2024 All-Source RFP bid refresh, ranking as 2nd when compared to all other bids.¹⁹⁰ Mr. Horeled testified that the evaluation employed in the current Case is similar to the evaluation in the Green Country case, PUD2024-000057.¹⁹¹

¹⁸² Horeled Direct 11:19-12:4.

¹⁸³ Dilley Direct 22:11-18.

¹⁸⁴ Beling Responsive 14:4-8.

¹⁸⁵ Beling Responsive 14:9-11.

¹⁸⁶ Bolan Direct 22:11-13.

¹⁸⁷ Bolan Direct 22:18-23:2.

¹⁸⁸ Dilley Direct 20:2-4.

¹⁸⁹ Dilley Rebuttal 5:12-17.

¹⁹⁰ Horeled Direct 12:6-12.

¹⁹¹ 2/17/2026 Tr. 89:9-10; PUD2024-000057.

At the Hearing, Mr. Horeled testified that the updated NE 5&6 project was submitted to him for review, and then the evaluation team reviewed it on February 7, 2025. He stated that no bids were provided or received in the RFP after January 29, 2024, but that PSO has never contended that the NE 5&6 project was a conforming bid or an official bid.¹⁹²

OIEC witness Norwood recommended that the Commission grant PSO's request for preapproval of the NE 5&6 PSA, subject to some concerns, in light of the reasonable estimated capital cost of the project.¹⁹³ Mr. Norwood's concern is due to the denial of the zoning variance by the Rogers County Board of Adjustment. Mr. Norwood stated that the denial could significantly delay, or possibly eliminate, PSO's plans for development of the Northeastern BESS and CT PSA bids, and that this delay could have significant impacts on current cost estimates for the two projects. To combat this, Mr. Norwood recommended that PSO's customers be protected from paying additional costs above what was included in the final awarded bid price of the proposed NE 5&6 self-build project unless the Company is able to demonstrate that the project is the best available option for customers from a cost and overall basis after related project delay or cancellation costs are considered.¹⁹⁴

PSO witness Horeled did not provide a definitive answer when asked if ratepayers would be charged for PSO's sunk costs in connection with NE 5&6 if its appeal to the District Court of Rogers County is unsuccessful. He testified that it would depend on the definition of "sunk costs" and whether or not some of that equipment, for example, can be repurposed and used at another facility. He expressed that it is PSO's intent that if the NE 5&6 and NE 1&2 BESS projects are not built, customers will be held harmless and will not pay for the projects.¹⁹⁵

PUD witness Mossburg recommended rejection of the NE 5&6 project. He testified that given the questionable nature of the need for the project, the biased and limited nature of the comparison to other resources, and the extremely limited development status, it would make sense for the Commission to reject preapproval of NE 5&6 at this time.¹⁹⁶

Mr. Mossburg stated that PSO justifies the selection of the NE 5&6 project, in part, by comparing it to bids in the RFP using the RFP scoring system. In their evaluation, PSO claims the project would have placed 2nd had it been evaluated in the RFP.¹⁹⁷ However, the project was not eligible to be bid into the RFP. Among other things, the RFP required projects to be participating in SPP Queue Cluster 2021-001 or earlier. The NE 5&6 project is in a later queue.¹⁹⁸

Mr. Mossburg is a consultant for Bates White, the IE for the 2023 All-Source RFP. He testified that while Bates White is generally supportive of the RFP outcome, it has some specific objections to utilizing the RFP scoring system to justify the selection of a natural gas-fired facility.¹⁹⁹

¹⁹² 2/17/2026 Tr. 100:2-13.

¹⁹³ Norwood Responsive 20:1-3.

¹⁹⁴ Norwood Responsive 20:8-18.

¹⁹⁵ 2/17/2026 Tr. 22:17-23:5.

¹⁹⁶ Mossburg Responsive 31:12-15.

¹⁹⁷ Mossburg Responsive 26:15-17.

¹⁹⁸ Mossburg Responsive 27:1-3.

¹⁹⁹ Mossburg Responsive 27:5-7.

Mr. Mossburg explained that first, the RFP scoring system was very favorable to natural gas fired facilities, particularly in-state facilities. Offers were given up to 40 points as part of the non-price score.²⁰⁰ The effect of this system was that a gas CT, such as the NE 5&6 project, began the evaluation with a minimum five-point advantage over storage technologies and a nine-to-ten-point advantage over wind and solar offers. Projects located in PSO's service territory received ten points for location, while projects otherwise located in the state received five points, and projects outside the state received zero location points.²⁰¹

In contrast to his Responsive Testimony, Mr. Mossburg's IE Report found that the "scoring and ranking of the remaining offers appears to be reasonable and [Bates White was] able to roughly validate PSO's rankings."²⁰² The IE report did not conclude that the RFP scoring system favored natural gas and in-state facilities.²⁰³ Mr. Mossburg admitted that the scoring system was established prior to bids being received.²⁰⁴

Mr. Mossburg testified that had a natural gas CT been bid into the RFP, Bates White would have tried to do additional analysis to make sure that it was a good bid.²⁰⁵ Because the original affiliate bid was pulled from the RFP, Mr. Mossburg claimed there was no need to "do anything additional or write a whole treatise on natural gas resources" in the IE Report.²⁰⁶ He further stated that had a natural gas CT been bid into the RFP and received a very high score, the IE should have known that there were advantages built in to the scoring for natural gas, so an additional analysis would have been performed to confirm whether or not it was a good bid. This process is standard procedure.²⁰⁷

Mr. Mossburg's next concern was that the RFP evaluation did not examine the effect of changes in natural gas prices on the bid rankings. He states that when comparing amongst non-gas-fired resources, this is not necessarily a problem, but the price of gas makes a significant and obvious impact on the cost to customers and relative value of a gas-fired resource.²⁰⁸

PSO responded to this concern by demonstrating that sensitivities in energy and natural gas prices were evaluated in the 2023 All-Source RFP. PSO witness Demmy testified that the Company evaluated different fuel and energy prices using Base, High, and Low fundamental forecasts, and that the results containing these different pricing scenarios were sent to Mr. Mossburg while he was performing his evaluation as the IE.²⁰⁹

Mr. Mossburg also expressed concerns with PSO's economic analysis as well as the fact that the NE 5&6 project is not as developed as the RFP resources.²¹⁰ All RFP resources have final, signed contracts for output from facilities or for the construction and subsequent purchase of finished resources. This provides some assurances regarding project cost and performance. The

²⁰⁰ Mossburg Responsive 27:8-9.

²⁰¹ Mossburg Responsive 26:15-27:3.

²⁰² 2/18/2026 Tr. 60:13-18.

²⁰³ 2/18/2026 Tr. 60:19-22.

²⁰⁴ 2/18/2026 Tr. 61:21-25.

²⁰⁵ 2/18/2026 Tr. 62:15-21.

²⁰⁶ 2/18/2026 Tr. 62:21-25.

²⁰⁷ 2/18/2026 Tr. 64:7-16.

²⁰⁸ Mossburg Responsive 28:6-9.

²⁰⁹ Demmy Rebuttal 10:7-12.

²¹⁰ Mossburg Responsive 29:8, 30:2-3.

NE 5&6 project has no EPC contract and has not finished its interconnection process. This is far less firm than the final signed contracts for the RFP resources.²¹¹

PSO witness Dilley offered testimony to show that key pieces of major equipment have been secured and are under contract, including the General Electric (“GE”) gas turbines, main power transformers, and high voltage breakers, which represents a “fairly significant portion of the total project cost estimate.”²¹² Additionally, there are executed agreements for engineering and design services.²¹³ Mr. Dilley also testified that the project is participating in SPP’s one-time Expedited Resource Adequacy Study, which will effectively move up the interconnection timeline leading to an executed interconnection agreement by March 2026, if SPP stays on schedule.²¹⁴ Finally, Mr. Dilley testified that PSO will not use an EPC delivery model, but will instead deliver the project through a multi-prime execution delivery model. Pursuant to this model, labor and material procurements will be competitively bid in phases as they are designed and executed. He stated that a benefit of this model is that PSO will competitively source all facets of the project, which will help get the best results for customers.²¹⁵

At the Hearing, PSO witness Bolan did not dispute Mr. Mossburg’s characterization of NE 5&6 ranking 13th from a quantitative perspective.²¹⁶ He also admitted that he did not rebut Mr. Mossburg’s testimony that PSO’s RFP did not examine the effect of natural gas price changes on bid rankings, and he further admitted that gas prices impact operating costs of gas resources.²¹⁷

Mr. Mossburg testified as to an additional concern that the NE 5&6 project appears to have a more reasonable and immediate opportunity to prove its worth. At the time of filing his Responsive Testimony on December 12, 2025, PSO had recently announced a 2026 All-Source RFP, which looks for resources with a COD of 11/30/2029 with proposals due in March. Mr. Mossburg argued that while the RFP was still in draft form at the time, it appeared that the NE 5&6 project could simply bid into that RFP and be evaluated. The project would then have more time to develop, secure more tangible guarantees of cost and performance, and have its performance evaluated in a manner that recognizes the risk of a natural gas fired plant. This would also give parties time to observe whether the current run of LOAs would materialize into real service requests and give the Commission time to consider a broader strategy for the inclusion of large load customers on PSO’s system.²¹⁸

At the Hearing, PSO witness Dilley testified that since PSO can’t or won’t build NE 5&6 until after conclusion of pending relevant legal matters, bidding NE 5&6 into the 2026 All-Source RFP could give PSO time to resolve the zoning issues with Rogers County. Mr. Dilley further testified that, as it stands today, PSO is still on schedule and there is no impact to the January 2027 start date, so there is no need to bid the project into the 2026 RFP.²¹⁹ Mr. Dilley confirmed the

²¹¹ Mossburg Responsive 30:3-16.

²¹² Dilley Rebuttal 5:17-20.

²¹³ Dilley Rebuttal 6:21-7:1.

²¹⁴ Dilley Rebuttal 7:1-8.

²¹⁵ Dilley Rebuttal 7:8-14.

²¹⁶ 2/17/2026 Tr. 230:6-9.

²¹⁷ 2/17/2026 Tr. 230:12-231:2.

²¹⁸ Mossburg Responsive 31:1-10.

²¹⁹ 2/18/2026 Tr. 172:18-173:4.

2026 All-Source RFP contemplates an initial regulatory filing on August 14, 2026, and that PSO controls that date.²²⁰

Competitive Bidding Concerns

PSO is subject to the Commission's Rules on competitive procurement found at OAC 165:35-34-1, *et seq.* No allegations are being made that PSO conducted its RFP in a way that is non-compliant with these Rules. However, NE 5&6 was not bid into the RFP and, therefore, additional scrutiny is warranted as to its selection process.

PUD witness Mossburg testified that PSO is looking for preapproval of roughly 863 MW of SPP-accredited capacity. Of this, about half (427 MW) comes from resources selected through the 2023 All-Source RFP, and 437 MW comes from the NE 5&6 self-build project that was omitted from the RFP.²²¹

AG witness Beling recommended that the Commission deny PSO's request for NE 5&6 because the Company did not consider reasonable alternatives and because the Company did not follow the competitive procurement process for selecting the resource.²²²

Mr. Beling testified that NE 5&6 was evaluated outside the 2023 All-Source RFP because the project scope was not developed and finalized until February 7, 2025, which was well after the 2023 RFP due date of January 29, 2024. Mr. Beling claims that, as a result, it could not have been evaluated alongside the bids received in the 2023 RFP.²²³ PSO witness Horeled confirmed that the NE 5&6 project that was brought forward in this preapproval Case was not bid within the RFP.²²⁴

Company witness Bolan confirmed that the NE 5&6 proposal was received while PSO was already in the negotiation phase with the short-listed projects from the December 2024 refresh.²²⁵ He admitted that PSO simply made the assumption that NE 5&6 could be graded and scored in comparison to other bids that were actually in the RFP.²²⁶

Mr. Beling further testified that the comparison to reasonable alternatives is very important and central to the competitive procurement process. He stated that one of the main goals of the procurement process is to make sure that the resource being selected is the best resource that can be selected for consumers. To ensure this occurs, a company must compare a resource to all the reasonable alternatives, and the procurement rules indicate exactly how to accomplish this. He testified that a company must bid a self-build resource into an RFP, which PSO did not; to make sure that the bid is submitted at the same time as all the other bids, which NE 5&6 was not; and then to limit cost recovery to the actual bid, which Mr. Beling claims is not being proposed by the Company.²²⁷

²²⁰ 2/18/2026 Tr. 173:5-13.

²²¹ Mossburg Responsive 11:2-4.

²²² Beling Responsive 12:8-11.

²²³ Beling Responsive 16:6-9.

²²⁴ 2/17/2026 Tr. 110:7-9.

²²⁵ 2/17/2026 Tr. 253:24-254:5.

²²⁶ 2/17/2026 Tr. 254:12-17.

²²⁷ 2/19/2026 Tr. 113:6-22.

Mr. Beling stated that his first and biggest concern with NE 5&6 is that it didn't consider reasonable alternatives. In other words, the bid was not included as a part of the RFP with the other bids.²²⁸ He explained that the second problem is that the competitive bidding rules provide that, once submitted, a bid can't then later be changed for a "self-bid" [*sic*].²²⁹ In particular, there is additional language for "self-bids" [*sic*] that make it very clear that a "self-bid" [*sic*] proposal can't be changed in terms of the costs.²³⁰ He concluded by saying that the third problem is that the competitive bidding rules provide an even higher level of standard that the cost recovery for a "self-bid" [*sic*] should not exceed the price of the bid.²³¹

Although the Company has provided an estimated capital cost of \$540 million, Mr. Dilley testified that labor and material procurements will be competitively bid in phases as they are designed and executed. Competitively bidding the labor and material procurements in phases presents the potential to modify the self-build proposal by exceeding the price of the original proposal of \$540 million. Once submitted, a self-build proposal may not be modified by the soliciting utility.²³²

Mr. Beling specifically referenced OAC 165:35-38-5(c), which reads:

If the soliciting utility wishes to consider an option for full or partial ownership of a self-build option, the utility **must** submit its construction proposal ("Self-build Proposal") to provide all or part of the capacity requested in the RFP stated in 165:35-34 **at the same time the bids are requested.** (emphasis added).

Mr. Beling further testified as to the differences between Green Country and NE 5&6 being evaluated outside of the RFP. He stated that the Green Country resource was evaluated outside the RFP because it arose from an external acquisition opportunity on a different market timeline, while the NE 5&6 self-build project was evaluated outside the RFP because the Company did not develop and finalize the project scope until more than a year after the due date of the 2023 All-Source RFP.²³³

PSO witness Horeled confirmed that the previously approved Green Country was an acquisition from a third party, whereas NE 5&6 is a self-build opportunity.²³⁴

At the Hearing, Mr. Horeled was asked whether OAC 165:35-38-5(c) requires a self-build option to be bid into the RFP. Mr. Horeled responded with his interpretation of the rule that "if it's a bid, it needs to be bid in at the same time as other options and reviewed accordingly. But as we've said repeatedly today, the Northeastern 5&6 project is not an official bid in the RFP, so it's not entirely applicable in this circumstance."²³⁵ Although the Company claims it is not characterizing NE 5&6 as an official bid, it is still a self-build proposal before the Commission in an action filed pursuant to 17 O.S. § 286(C) and, therefore, it is subject to this rule. Additionally,

²²⁸ 2/19/2026 Tr. 124:20-25.

²²⁹ Presumably, all references in quotations to "self-bid" should instead be "self-build."

²³⁰ 2/19/2026 Tr. 125:5-12.

²³¹ 2/19/2026 Tr. 125:13-17.

²³² OAC 165:35-38-5(d).

²³³ Beling Responsive 16:13-16.

²³⁴ 2/17/2026 Tr. 112:16-18.

²³⁵ 2/17/2026 Tr. 172:18-173:1.

it should be noted that NE 5&6 was listed as “Bid Number 1” in Table 1 in PSO witness Bolan’s Rebuttal Testimony.²³⁶

The finalized NE 5&6 self-build proposal was received more than a year after the final bids were due in the RFP. PSO is asking the Commission to find that reasonable alternatives were considered by comparing NE 5&6 against the bids within the RFP. However, the self-build proposal was not properly submitted at the same time the bids were requested in the RFP in accordance with OAC 165:35-38-5(c).

Mr. Horeled testified that he is aware of the competitive bidding rules at OAC 165:35-34-3(b)(1) which state, in relevant part, that “the Commission shall retain an IE to monitor the RFP and competitive bidding process . . . when it is anticipated that the utility may participate as a bidder in the competitive bidding process.”²³⁷ Though an IE was appropriately retained to monitor the RFP process, the IE was unable to review the self-build NE 5&6 project as it was not competitively bid into the RFP.

In his Responsive Testimony, PUD witness Givens argued that the fact that the Company states that NE 5&6 was compared against the bids received in the 2023 All-Source RFP and that it would have scored second highest does not alleviate his concerns about the lack of competitive bidding. Mr. Givens testified that the reason the Company gave that NE 5&6 was not bid into the 2023 All-Source RFP is that it “would not have been eligible to bid into the RFP, which required new projects to have an interconnection application and queue position with the SPP.” Mr. Givens stated that the fact that other bidders with the exact same project could not have submitted bids means that PSO’s comparison was apples-to-oranges at best. Mr. Givens explained that if those bidders could have participated in the RFP, NE 5&6 might have still scored second highest—or it might have scored 20th highest behind multiple other projects without the required SPP queue position. He stated that we simply cannot know, meaning that the Commission cannot fulfill the statutory requirement to consider reasonable alternatives.²³⁸

Mr. Givens testified that PUD recommends that the Commission deny preapproval of NE 5&6 for the reasons outlined in his testimony and in the Responsive Testimony of PUD witness Mossburg.²³⁹

In his Rebuttal Testimony, Mr. Horeled testified that Mr. Givens argued that the Commission should not compare the NE 5&6 project against bids received in the 2023 All-Source RFP because he assumed that there were other bidders with the same project that could submit bids.²⁴⁰ Mr. Horeled testified that these recommendations are what he has termed as “form over substance regulation.” He argued that because the NE 5&6 project was not part of the formal RFP conducted pursuant to the Commission’s competitive bidding rules, witnesses Givens and Beling advocate the Commission ignore the evidence that PSO has presented as to how the NE 5&6 project compares to other proposed projects in the market.²⁴¹

²³⁶ Bolan Rebuttal p. 9, Table 1.

²³⁷ 2/17/2026 Tr. 115:13-25.

²³⁸ Givens Responsive 14:13-15:4.

²³⁹ Givens Responsive 15:17-18.

²⁴⁰ Horeled Rebuttal 8:14-16.

²⁴¹ Horeled Rebuttal 8:18-21.

Mr. Horeled testified that there is no statute, rule, or prior Commission order that supports the recommendations made by AG witness Beling and PUD witness Givens. Furthermore, he asserted that these recommendations threaten the Company's ability to move at the speed of business and meet its obligation to serve.²⁴²

In Order No. 749854, the Final Order in the Green Country case, the Commission stated that it "considers this to be an unusual situation where PSO was compelled to participate in the competitive sale of Green Country as a bidder, and where bidding the plant into PSO's 2023 RFP was not practicable."²⁴³ The Commission acknowledged that the competitive bidding rules are not mandatory, nor do they automatically create a presumption of prudence in cases filed under Section 286(C).²⁴⁴ However, the Commission also noted that the competitive procurement rules are intended to "create an open, transparent, fair and nondiscriminatory competitive bidding process for the utility to meet its needs" and to "establish[] reasonable standards of conduct for transactions between utilities and their affiliates."²⁴⁵ Because of this, the Commission stated that it "strongly encourages regulated utilities to use the competitive bidding process *and to actually bid desired contracts and self-build options into such competitive solicitations.*"²⁴⁶

Unlike the unusual circumstance presented in the Green Country case where PSO was "compelled to participate in the competitive sale . . . as a bidder"²⁴⁷, NE 5&6 is a self-build proposal. While Green Country was on a procurement timeline mostly dictated by outside actors, the timeline for the procurement of NE 5&6 is overwhelmingly driven by PSO themselves.

When asked if PSO was circumventing the rules, as well as the Commission, by comparing NE 5&6 outside an RFP, Mr. Horeled again responded that this is what he is referring to as "form over substance." He explained, "The form being NE 5&6 was no longer an official bid in the RFP. But then the substance of the matter is, it was evaluated for reasonable alternative comparison against all these 300 plus bids that [PSO] did receive, all the bids that were available for generation projects within the '27/'28 timeframe." He testified that he thinks this is a perfectly reasonable approach, and he did not know what else PSO would do differently.²⁴⁸

Mr. Beling testified that the Company's recent request for approval of the Green Country generation facility and NE 5&6 in this Application show repeated occurrences of acting outside the competitive bidding process.²⁴⁹ He recommended that the Commission order the Company to strictly adhere to the competitive bidding rules outlined in subchapter 34 of the Electric Utility Rules and that the Commission should deny any application that does not strictly adhere to the rules.²⁵⁰

The ALJ acknowledges that the competitive bidding rules are not mandatory and that PSO "may exercise managerial discretion and enter into contracts . . . without seeking a presumption of

²⁴² Horeled Rebuttal 8:21-25.

²⁴³ PUD2025-000064, Hearing Exhibit 9, p. 9, Docket Entry No. 251; PUD2024-000057, Final Order No. 749854, p. 9.

²⁴⁴ PUD2025-000064, Hearing Exhibit 9, p. 8, Docket Entry No. 251; PUD2024-000057, Final Order No. 749854, p. 8.

²⁴⁵ PUD2025-000064, Hearing Exhibit 9, p. 8, Docket Entry No. 251; PUD2024-000057, Final Order No. 749854, p. 8; OAC 165:35-34-1.

²⁴⁶ PUD2025-000064, Hearing Exhibit 9, p. 8, Docket Entry No. 251; PUD2024-000057, Final Order No. 749854, p. 8.

²⁴⁷ PUD2024-000057, Final Order No. 749854.

²⁴⁸ 2/17/2026 Tr. 119:7-20.

²⁴⁹ Beling Responsive 48:15-17.

²⁵⁰ Beling Responsive 48:12-15.

prudence.”²⁵¹ Nevertheless, the competitive procurement process is a mechanism to “establish a fair, just, and reasonable process that best serves the public interest of all electricity consumers and that will complement and improve the state’s economic growth . . .”²⁵² PSO has shown repeated occurrences of acting outside of the competitive bidding process through both the proceeding at hand and the Green Country case, PUD2024-000057.

The NE 5&6 project was not competitively bid into the 2023 All-Source RFP and was, therefore, unable to be properly reviewed and evaluated by the IE. In fact, the project scope was not developed and finalized until February 7, 2025, which was more than 12 months after the 2023 All-Source RFP due date of January 29, 2024. If a soliciting utility wishes to consider an option for full or partial ownership of a self-build option, the utility must submit its construction proposal at the same time the bids are requested.²⁵³ Waiting to submit a self-build proposal until well after all RFP bids are reviewed provides an opportunity to develop the project scope in such a way that it could have an advantage over all other bids submitted in the RFP.

The Company claims that NE 5&6 would have ranked 2nd had it been officially bid into the RFP. However, it is unreasonable to claim that proper consideration of reasonable alternatives has been given due to the lag between the RFP bid due date and the finalization of the NE 5&6 project scope. NE 5&6 could very well be an excellent addition to the PSO generation fleet, but it is not ripe for preapproval in this matter. Presenting the NE 5&6 project for review in this Case is not akin to bidding the self-build proposal into the RFP at the same time as the remaining bids.

Testimony was provided that PSO could have properly bid NE 5&6 into its 2026 All-Source RFP, but it chose not to do so. Furthermore, the Company retains the ability to acquire the assets and seek recovery through a traditional base rate case. PSO still has the opportunity to obtain NE 5&6 outside of the elective preapproval process.

For these reasons, the ALJ recommends that the Commission deny preapproval of NE 5&6.

COST RECOVERY AND ALLOCATION

Kiamichi CPA

PSO recommended that the costs from the CPA should be recovered through the FAC.²⁵⁴ PSO witness Schwarz also testified that CPA costs are appropriately allocated on a demand basis because they secure firm capacity to meet peak demand and ensure reliability.²⁵⁵ There was no opposition to PSO’s proposal.

The ALJ therefore recommends that the Kiamichi CPA costs should be allocated on a demand basis and recovered through the Company’s FAC.

Wind Resource PPAs

PSO is requesting that the three wind PPAs be recovered through the Company’s FAC.²⁵⁶ In his Responsive Testimony, AG witness Beling recommended that the cost and benefits of the

²⁵¹ OAC 165:35-34-1(a).

²⁵² OAC 165:35-34-1(a).

²⁵³ OAC 165:35-38-5(c).

²⁵⁴ Horeled Direct 17:20.

²⁵⁵ Schwarz Rebuttal 9:1-2.

²⁵⁶ Horeled Direct 17:20.

wind resources should flow through the Company's FAC.²⁵⁷ PUD witness Purvis also recommended that the costs from the PPAs be collected through the FAC.²⁵⁸

PSO is also seeking recovery of costs attributable to the wind resource PPAs through PSO's FAC using an energy allocator.²⁵⁹ PSO witness Schwarz testified that renewable PPA costs are energy-related and should be recovered through the Fuel Cost Adjustment ("FCA") on a kilowatt-hour basis.²⁶⁰ Ms. Schwarz further testified that allocating renewable PPA costs on a demand basis would be inconsistent with established Commission precedent and would shift costs onto lower-load factor customers.²⁶¹

OIEC witness Garrett testified that the Commission should require that wind PPA costs should be allocated to customer classes using PSO's last established production demand allocator. He went on to state that the projects would not be economically viable for large high-load-factor customers if they were allocated on an energy basis. Mr. Garrett also stated that the Commission in its prior orders has made clear that wind costs should be allocated with a demand allocation.²⁶²

At the Hearing, Ms. Schwarz testified that allocating PPA costs on a demand basis would increase the rate impact to residential customers.²⁶³

The ALJ recommends that the costs from the three wind PPAs be collected through the Company's FAC utilizing an energy allocator.

Renewable Energy Certificates

PSO requests that any proceeds from the sale of RECs shall flow through the Company's FAC.²⁶⁴

PUD witness Purvis testified that PUD recommends that PSO should be accountable for, among other things, all forecasted assumptions related to RECs. She stated that PUD is concerned that the cumulative effect of recent and projected rate increases imposes an increasingly significant financial burden on PSO customers, and that implementing recommended customer protection measures is crucial to address these affordability issues.²⁶⁵ Supply and demand changes, policy changes, and lowered demand can all impact assumptions related to RECs, revenues that result from the off-system sales in the SPP energy market ("OSS"), ITCs, Bonus ITCs, and forecasted revenues.²⁶⁶ Ms. Purvis testified that the RECs, OSS, ITCs, and Bonus ITCs are important components that offset costs and help to lessen the customer impact. Therefore, Ms. Purvis stated that PUD recommends that PSO be held accountable for any revenue received that is less than forecasted. If the forecasted revenue is greater than forecasted, it should be credited to the customers to further offset any rate increase.²⁶⁷

²⁵⁷ Beling Responsive 50:18-20.

²⁵⁸ Purvis Responsive 29:7-8.

²⁵⁹ Schwarz Rebuttal 9:2-15.

²⁶⁰ Schwarz Rebuttal 9:2-4.

²⁶¹ Schwarz Rebuttal 9:13-15.

²⁶² Garrett Responsive 41:5-10.

²⁶³ 2/19/2026 Tr. 40:15-19.

²⁶⁴ Horeled Direct 17:14-15.

²⁶⁵ Purvis Responsive 2:19-3:7.

²⁶⁶ Purvis Responsive 19:4-7.

²⁶⁷ Purvis Responsive 19:7-11.

AG witness Beling testified that he did not recommend any additional consumer protections for wind resources, and that the cost and benefits of the wind resources should flow through the Company's FAC.²⁶⁸

Title 17, Section 252 of the Oklahoma Statutes requires the Commission to "continually monitor and oversee the application of the fuel adjustment clauses" and that if the Commission determines in the course of the public hearing that "the charges or credits are not based upon the actual prices paid for fuel, purchased gas or purchased power, or are not properly computed in accordance with the applicable adjustment clause," the Commission "shall recompute the charges or credits" and "direct the public utility to take such action as may be required to insure that the charges or credits properly reflect the actual prices paid for fuel, purchased gas or purchased power" and that the charges and credits are "properly computed in accordance with the applicable adjustment clause for the applicable period." The public hearings are held "whenever the Commission deems it necessary, but no less frequently than once every twelve (12) months."²⁶⁹

The ALJ recommends that any proceeds from the sale of the RECs shall flow through the Company's FAC. While the ALJ agrees that monitoring and maintaining customer affordability is necessary, the ALJ recommends that the Commission find that sufficient oversight is provided through the FAC regarding any proceeds from the sale of RECs. PSO will already be held accountable as the proceeds flow through the FAC and, therefore, additional safeguards would be redundant.

ESR and CWIP

PSO requests approval of the ESR as a mechanism to allow for cost recovery of the BESS and NE 5&6 projects to begin after the generation resources are placed in service until they are later included in PSO's base rates.²⁷⁰ The ESR would include depreciation, return, Operation and Maintenance ("O&M") expense, and property taxes.²⁷¹ PSO also requests that the ESR include recovery of costs of financing during construction of the NE 5&6 project.²⁷² PSO witness Schwarz testified that the amount of CWIP that will be collected in the total revenue requirement and retail jurisdiction revenue requirement for NE 5&6 is \$7,372,350 for 2026; \$20,565,844 for 2027; \$41,505,547 for 2028; and \$11,557,482 for 2029.²⁷³

The ESR features an annual determination provision, which includes a true-up of ESR revenues to actual costs. According to Ms. Schwarz, PSO will adhere to traditional over/under deferral accounting, comparing actual costs incurred for the facilities to the revenues received through the rider. Any net under-recovery will be recorded as a regulatory asset, and any net over-recovery will be recorded as a regulatory liability. These will be included for future recovery or refund through the proposed true-up to actual costs in subsequent rider factor filings.²⁷⁴

OIEC witness Garrett testified that he recommended that the Commission deny ESR rider recovery for all generation investment costs after the assets are placed in service. Instead, the

²⁶⁸ Beling Responsive 50:18-20.

²⁶⁹ 17 O.S. § 252.

²⁷⁰ 2/17/2026 Tr. 33:25-34:4; Horeled Direct 17:23-26.

²⁷¹ Horeled Direct 17:26-27.

²⁷² Horeled Direct 17:8-12.

²⁷³ 2/18/2026 Tr. 187:5-188:4.

²⁷⁴ Schwarz Direct 16:4-9.

recovery of these costs should be addressed through a comprehensive rate case, where the prudence of overall expenditures and their impact on customers can be fully examined, and where the costs of these assets can be synchronized with the other costs and revenues of the utility. He stated that this approach ensures compliance with statutory and constitutional standards and best protects the public interest to ensure just and reasonable rates.²⁷⁵

AARP witness Bacalao testified that PSO's preapproval Application should be rejected as it requires the Commission and all interested parties to these proceedings to rush an audit and evaluation based on projections rather than actual facts and results, and it undermines the quality of the regulatory review.²⁷⁶ He stated that to the extent the Commission does grant preapproval of any of PSO's requested projects, he recommended strict cost caps to hold PSO accountable for its projections.²⁷⁷ Additionally, he recommended the Commission deny PSO's request for CWIP recovery and instead allow recovery of construction financing costs through AFUDC.²⁷⁸ Rather than using an ESR mechanism, he recommended that the financing cost recovery mechanisms associated with the proposed generation investment program be reviewed and approved in PSO's next rate case.²⁷⁹

The Attorney General recommended the Commission deny preapproval of NE 5&6 and the BESS projects, so no rider was needed for cost recovery. However, in the alternative, AG witness Beling testified that there are several consumer protections that should be put into place if the Commission were to approve a rider for cost recovery. Mr. Beling recommended a cost cap on NE 5&6 at the price of the bid, which he stated is reasonable because the project bid pricing already included contingency costs. He also recommended that CWIP collections be tracked separately for each rate class and that a true-up process be implemented to ensure costs are fairly shared once the units are operational.²⁸⁰

PUD also recommended that the Commission deny PSO's request for preapproval of NE 5&6. However, PUD witness Purvis testified that should the Commission grant preapproval of NE 5&6 and the BESS facilities, PUD recommends that PSO be held accountable for the projections and assumptions used in the analysis and bear the costs of future capital and O&M expenses above a capped amount.²⁸¹ Ms. Purvis further testified that PUD recommended that the Commission reject the inclusion of NE 5&6 in the Company's ESR, disallow recovery through the ESR of all O&M expenses except those related to property taxes, and add additional language for an annual modification to the class production demand allocator and a CWIP true-up.²⁸²

In her Responsive Testimony, Ms. Purvis recommended a hard cost cap for the BESS projects of \$715 million less community outreach and internal labor costs and benefits. She testified that any costs above this cap should be the responsibility of the Company and not its customers. For future capital and non-fuel O&M spending, the cap should be based upon the budgeted expenditures identified in PSO witness Lozier's HSC Exhibit BEL-5.²⁸³ At the Hearing,

²⁷⁵ Garrett Responsive 41:14-42:4.

²⁷⁶ Bacalao Responsive 29:12-15.

²⁷⁷ Bacalao Responsive 30:5-7.

²⁷⁸ Bacalao Responsive 29:7-9.

²⁷⁹ Bacalao Responsive 30:1-4.

²⁸⁰ Beling Responsive 60:6-17.

²⁸¹ Purvis Responsive 3:14-19.

²⁸² Purvis Responsive 4:14-18.

²⁸³ Purvis Responsive 18:13-18.

Ms. Purvis offered that despite PUD's recommendation for hard cost caps, PUD believes that PSO could ask the Commission at any time for cost recovery over the hard cost caps if circumstances required.²⁸⁴

PSO witness Lozier testified that she did not agree that capital and O&M budgets should be capped. According to Ms. Lozier, the forecasted capital and O&M budgets are based on the best information at the time the forecast was created. She testified that there are many things outside of the Company's control that would affect a forecasted capital and O&M budget but would not have been captured in any due diligence review. She stated that, for example, a due diligence review of a facility would not capture the effects of an abnormally high inflation rate on future costs of labor and materials; supply chain issues caused by things such as war or pandemics; Acts of God such as lightning strikes, tornadoes or floods; future additional North American Electric Reliability Corporation ("NERC") cybersecurity requirements that mandate upgrades to plant software, gates and doors; or future equipment improvements and upgrades required to be made based on OEM or industry lessons learned. Facilities' budgets might vary each year to account for the unknown and unplanned. For all these reasons, she asserted that it would not be prudent or appropriate to cap the facilities' budgets to a set amount. Ms. Lozier testified that the Company must be granted the flexibility to prudently invest in operating its generating assets in order to provide reliable, economic, compliant, and safe service to its customers.²⁸⁵

In response to the recommended cost caps, PSO witness Dilley also testified that with all major power generation projects, there are potential unknown risks that could increase costs that cannot be precisely accounted for in a cost estimate, such as market disruption events associated with supply chain, labor availability, hyperinflation, and changes in law. He admitted that a \$44 million contingency is included in the cost estimate to minimize the impact for some of these unknowns, but he asserted that it does not account for all of them nor does it account for extreme circumstances.²⁸⁶ PSO witness Horeled similarly testified that there are many variables that are beyond the control of PSO that can change the cost to operate a generating facility such as natural disasters, changes in governmental policies, or changes in SPP requirements.²⁸⁷

PUD witness Givens recommended that community outreach and start-up fuel net of generation costs should not be recovered through the ESR.²⁸⁸ When asked at the Hearing if he would agree to stipulate that the budgeted costs of community outreach and start-up fuel should be recovered through the ESR like every other capital cost, Mr. Givens testified that if ordinary accounting procedures and FERC rules permit that for the start-up fuel, and if community outreach includes permits and other necessary items, then he would not oppose them being capitalized and recovered as project costs.²⁸⁹

Regarding exclusion of internal labor and benefits, Mr. Givens argued that internal labor should be excluded because of the potential to double recover salaries in base rates.²⁹⁰

²⁸⁴ 2/19/2026 Tr. 228:23-25, 229:1-8.

²⁸⁵ Lozier Rebuttal 5:3-17.

²⁸⁶ Dilley Rebuttal 9:19-10:5.

²⁸⁷ Horeled Rebuttal 16:6-9.

²⁸⁸ Givens Responsive 12:5-13:1.

²⁸⁹ 2/19/2026 Tr. 185:18-186:4.

²⁹⁰ Givens Responsive 13:5-13.

Mr. Givens further testified that PUD recommends that the Commission exclude all O&M expenses other than property taxes from recovery through the ESR.²⁹¹ He stated that the projected amounts are not well-supported by the evidence, which is vague and sometimes contradictory, and excluding them aligns their treatment with that of other expenses incurred between rate cases.²⁹² At the Hearing, Mr. Givens was provided additional review of certain workpapers, cost breakdowns, and documents supporting O&M calculations and projections. Upon cross-examination, Mr. Givens admitted he appeared to have overlooked certain discovery responses received by PUD.²⁹³ However, Mr. Givens stated that although he did overlook certain evidence, it would not change his ultimate recommendation.²⁹⁴

Ms. Purvis further testified that the non-fuel revenue requirements will be allocated through the ESR using the most current jurisdictional and class production demand allocation factors approved at the time the ESR commences, and these allocations will be updated as approved by the Commission. The class-allocated revenue requirement will be divided by the relevant billing determinants – either kWh usage (for most accounts) or kW (for Industrial Service Levels 1-3) – to determine the corresponding cost per unit, also known as the ESR Factors.²⁹⁵ Ms. Purvis testified that PUD agrees with the class production demand allocator. The class production demand allocator utilizes the 4 Coincident Peak Average and Excess allocator, which is consistent with prior Commission approval for dispatchable resource allocation.²⁹⁶

Ms. Purvis testified that PUD does not agree that the class production demand allocation factors should only change during a base rate case. As new loads come online and ramp up, the allocation factors may shift, and an update is necessary to prevent some customer classes inadvertently subsidizing these new loads. She stated that, therefore, PUD recommends that PSO annually conduct a revised cost of service study for the purpose of adjusting the class production demand allocator. Such an adjustment will allow for the ESR costs to be reallocated according to the latest load data. She testified that PSO should submit to PUD and the AG all workpapers prior to the implementation of the annual production demand allocator update.²⁹⁷

In his Rebuttal Testimony Mr. Horeled testified that PSO has recently filed a base rate case. That case includes new generation facilities that are currently not in base rates. He stated that the cost allocation issue, and whether an annual determination needs to be made, can be addressed in the base rate case.²⁹⁸

Ms. Purvis testified that from the inception of the ESR, all CWIP collections should be tracked separately by rate class and subject to a true up between rate classes. Once NE 5&6 reaches commercial operation and is placed in service, the Company should redetermine the class production demand allocator to reallocate the CWIP costs in the ESR according to the latest load data. Ms. Purvis further explained that the redetermination of the class production demand allocator performed at the time NE 5&6 reaches commercial operation and is placed into service should be used to true up the Company's CWIP collection between rate classes from the inception

²⁹¹ Givens Responsive 20:19-20.

²⁹² Givens Responsive 20:20-21:2.

²⁹³ 2/19/2026 Tr. 196:17-197:5.

²⁹⁴ 2/19/2026 Tr. 197:6-18.

²⁹⁵ Purvis Responsive 22:5-11.

²⁹⁶ Purvis Responsive 23:3-5.

²⁹⁷ Purvis Responsive 23:12-18.

²⁹⁸ Horeled Rebuttal 14:15-20.

of the ESR to the time NE 5&6 reaches commercial operation and is placed into service.²⁹⁹

In her Rebuttal Testimony, PSO witness Schwarz disagreed with Ms. Purvis's recommendation and testified that the proposal to track CWIP return by customer class and later true up those amounts is inconsistent with how riders and true-up mechanisms are applied in practice. She stated that riders are designed to recover costs at the system level, using allocation factors approved in the most recent Cost of Service Study. She explained that when a true-up occurs, it reconciles total dollars collected versus actual costs incurred, not class-specific balances. Class-level responsibility is determined in a base rate case or through dynamic updates to class allocators in rider updates. Furthermore, she stated that the Company has already made a proposal in its recent base case filing that addresses the AG's and PUD's concerns in this regard.³⁰⁰

Ms. Purvis testified that although PUD recommends that the Commission reject NE 5&6, the CWIP true-up language should still be included as the ESR can include future generation resources, which may include a CWIP provision.³⁰¹

Ms. Purvis testified that should the BESS projects be approved, PUD recommends that the proceeds from the sale of ITCs be credited to customers through the ESR rider contemporaneously as those sales occur, and that until the sales transactions occur, the ITCs be amortized through the ESR over a five-year period. Although the ITC credit calculation is not directly stated in the proposed ESR tariff, the record should reflect the recommended calculation.³⁰²

The ALJ recommends denial of the NE 5&6 and BESS projects and that the costs of the Kiamichi CPA and Wind Resource PPAs flow through the Company's FAC. Therefore, the ESR is not needed, and the determination of the issue is moot.

Depreciation

PUD provided additional recommendations should the NE 5&6 and BESS projects be recommended for preapproval. Mr. Givens testified that if NE 5&6 and the BESS projects are preapproved, PUD recommends that the Commission order PSO to provide proposed depreciation rates for each project in its next Chapter 70 base rate case, even if the assets are not yet in service, in order to allow for a review of the rates that will be used to recover depreciation through the ESR. He testified that such proposed rates should include reasonable estimates of future interim and terminal net salvage, and PSO should explain how such estimates were developed in the Direct Testimony and/or Depreciation Study filed with its rate case Application.³⁰³

In his Rebuttal Testimony, Mr. Horeled testified that PSO recently filed a base rate case, PUD2025-000075, and that the depreciation study prepared in that case is based upon 2024 data. He stated that PSO will include NE 5&6 and the BESS projects in its depreciation study that will be a part of the next base rate case filed after the current base case.³⁰⁴

²⁹⁹ Purvis Responsive 24:2-9.

³⁰⁰ Schwarz Rebuttal 7:11-8:4.

³⁰¹ Purvis Responsive 27:8-9.

³⁰² Purvis Responsive 27:1-5.

³⁰³ Givens Responsive 21:14-20.

³⁰⁴ Horeled Rebuttal 18:3-6.

The ALJ recommends denial of NE 5&6 and the BESS projects. Therefore, the determination of this issue is moot.

Rising Electric Prices and Large Load Rate Class Considerations

PUD witness Purvis testified that the driver for PSO's projected need is new large loads, particularly after 2028.³⁰⁵ She stated that capacity procurement going forward will be exclusively for the benefit of large load customers, and these resource additions increase costs for existing customers.³⁰⁶ Ms. Purvis testified that PUD is concerned that the cumulative effect of recent and projected rate increases, including the costs from the Green Country generating facility and the anticipated base rate case (PUD2025-000075), imposes an increasing significant financial burden on PSO customers. She expressed that implementing recommended customers protection measures is crucial to address these affordability issues.³⁰⁷

Ms. Purvis explained that in the current environment of large load growth and the uncertainty that surrounds it, careful attention must be given to cost causation and recognition that drivers of large loads should be paid by the appropriate cost causers. Large loads can be thought of as assets to the grid, but the benefits should be appropriately allocated and safeguards put in place.³⁰⁸

AARP witness Bacalao recommended that the cost allocation methodology applied to retail customer classes be reviewed and amended in the next base rate case so that residential customers are allocated a fair and reasonable share of the costs, based on the benefits accruing to them. He testified that the Commission should consider the potential merits of directing that a new tariff be designed that would apply to a new class of customers characterized by their very large load requirements.³⁰⁹

Ms. Purvis further testified that, given the uncertainty surrounding large load growth, PUD recommends the Commission require PSO to develop a large load tariff or place large loads on special contracts that are to be reviewed and approved by the Commission. Although the structure of the CES currently offers protections similar to those seen in most large load tariffs, there is no requirement for Commission approval. Ms. Purvis stated that the structure of these tariffs or Commission-approved contracts should strike a balance between protecting the Company's existing ratepayers and encouraging large load development while allowing for input from the Commission and other parties. She further testified that PUD recommends any financial commitments and/or investments made by PSO in relation to large loads that do not offer sufficient customer protections be the responsibility of the Company.³¹⁰ Once the data is available, she stated that a Cost of Service Study must be conducted to include a large load rate class to ascertain the cost of providing service and to ensure fair and equitable rates.³¹¹

AG witness Beling also discussed the challenges of serving new large loads on the Company system. He explained that adding a large volume of resources in a short period of time

³⁰⁵ Purvis Responsive 16:5.

³⁰⁶ Purvis Responsive 16:2-4.

³⁰⁷ Purvis Responsive 4:3-7.

³⁰⁸ Purvis Responsive 12:6-13:7.

³⁰⁹ Bacalao Responsive 20:8-13.

³¹⁰ Purvis Responsive 14:8-19.

³¹¹ Purvis Responsive 15:16-18.

can create upward rate pressure for existing customers and that this is not a fair or equitable outcome. To combat this, he recommended that the Commission should require the Company to provide a guarantee that adding resources to serve new large loads would not raise rates on existing customers. He further recommended the creation of a new large load tariff.³¹²

OIEC witness Garrett also expressed concerns with the potential rate impacts of PSO's filings and new large loads and proposed that the Commission recommend legislation to allow large customers to provide a portion of their own generation needs. He stated that this would take pressure off the utility to single-handedly build all facilities and remove the unfairness of ratepayers being forced to finance facilities that are being built to serve other customers.³¹³ He further testified that the Commission should authorize customer supplied power for large data centers coming onto the system as a way of attracting these customers to the system as soon as possible without increasing rates to other customers.³¹⁴ The only way he knows to accomplish this, he says, is to "BYOP"—bring your own power.³¹⁵

With the increasing demand from large load customers, it is imperative that consideration is given to separating large loads into a distinct class and allocating costs appropriately. The ALJ recommends that the Commission direct PUD to open a notice of inquiry docket to address the influx of new large load customers and associated issues.

The ALJ further recommends that the Commission find legislation is necessary to accommodate the changing landscape of the industry due to large load customers. The specifics of the legislation needed may be discovered through the aforementioned notice of inquiry docket.

The ALJ further recommends that PSO should develop a large load tariff with proper cost allocation methodology to prevent subsidization and protect affordability. PSO currently has an ongoing base rate case in PUD2025-000075 in which these issues may be thoroughly and sufficiently addressed.

IRP UPDATE

In Final Order No. 749854 in PUD2024-000057, the Commission provided its expectation for "PSO to continue monitoring its planning assumptions to determine if an updated integrated resource plan should be filed during 2025." The Commission further stated the following:

The Commission recognizes that as Oklahoma seeks to attract economic development, the natural result will be additional load growth for Oklahoma's electric utilities. Additional load growth, in turn, will lead electric utilities to seek increased capacity. Hence, the Commission may need to explore requiring more frequent reporting of load forecast updates and/or updates to utilities' integrated resource plans . . . in the foreseeable future . . .³¹⁶

In her Responsive Testimony, PUD witness Purvis testified that PSO's 2024 IRP was

³¹² Beling Responsive 60:19-61:6.

³¹³ Garrett Responsive 43:15-19.

³¹⁴ 2/19/2026 Tr. 97:23-98:5.

³¹⁵ 2/19/2026 Tr. 98:6-9.

³¹⁶ PUD2024-000057, Final Order No. 749857, p. 7.

submitted in compliance with OAC 165:35-37-4 and according to the prescribed triennial schedule. Its purpose was to identify future needs and identify the resource mix that allows PSO to meet its capacity obligations at the lowest reasonable cost. For the 2024 IRP, PSO identified four main objectives: customer affordability, rate stability, maintaining reliability, and sustainability.³¹⁷ Ms. Purvis testified that the 2024 IRP projected PSO's retail sales to grow at 0.9% per year. This growth was projected to be from the commercial and industrial classes, as the residential class was projected to decline at a rate of 0.2% per year over the forecasted period.³¹⁸

OAC 165:35-37-1 states, in pertinent part:

(a) The purpose of this Subchapter is to establish fair, just, and reasonable rules and procedures for Commission review of the resource plans of utilities. The utility resource plans establish additional bases for substantial investment and expenses incurred by utilities to provide electric supply to retail consumers. The practices and policies embodied in a utility's resource plan have direct, substantial effects on the costs and reliability of the electric supply to be provided to retail consumers in Oklahoma. Resource planning is a complex process affecting decisions that account for a substantial portion of the total cost of electricity over the long term, including investments in generation and transmission facilities, purchases of power and fuel supply, price volatility mitigation, and investments in energy efficiency. Recognizing the significance of the costs incurred based on resource plans, the Commission believes it is in the best interest of retail ratepayers and the utilities providing regulated retail electric supply to establish regular review of the utilities resource plans to ensure that the utilities' resource planning and resulting investment are reasonably and prudently conducted and that the overall cost of power supply to retail ratepayers is fair, just, and reasonable.

(b) This Subchapter establishes fair, just, and reasonable procedures for:

- (1) Setting standards for prudent resource planning;
- (2) Conducting periodic reviews of utility resource plans;
- (3) Participation of stakeholders, particularly those representing ratepayer interests, to review and have input into the utility's resource plans and the Commission's resource planning policies;

OAC 165:35-37-4(b) states:

(b) Each utility shall have an ongoing obligation to monitor markets and inputs and to notify the Commission when material changes in planning assumptions occur. As the integrated resource plan changes from year to year, the utility shall submit updates to the Commission. The Commission may require the utility to submit an interim, updated integrated resource plan to reflect material change(s) in planning assumptions.

Ms. Purvis further testified that since the issuance of the 2024 PSO IRP, there have been

³¹⁷ Purvis Responsive 8:2-6, citing 2024 PSO IRP p. 8.

³¹⁸ Purvis Responsive 8:7-10, citing 2024 PSO IRP p. 8.

three events that were impactful in altering PSO's 2024 IRP capacity and energy forecasts.³¹⁹ First, less than thirty days after PSO submitted its final IRP, due to a Sedgwick County Commission decision to pass an ordinance banning solar in the project location in Kansas, PSO terminated the Chisholm Trail Solar Project, a 103.5 MW facility for which this Commission granted preapproval in Case No. PUD2022-00121. Second, SPP resource adequacy requirements were restructured, which increased PSO's capacity need. These include changes to the summer and winter seasonal requirements, higher base PRM requirements, and implementation of an Accredited Capacity PRM and capacity accreditation methodology. Third, since the 2024 IRP, PSO alleges that unprecedented levels of economic development, including data centers, manufacturers, and other industrial businesses, began expressing interest in investing in PSO's service territory.³²⁰

Ms. Purvis testified that PSO has not updated its 2024 IRP to reflect these changes. Rather, PSO provided an updated load forecast in the instant Case.³²¹

Ms. Purvis stated that her understanding of why PSO chose not to update its IRP and instead provide an update in the instant Case is from PSO's response to data request PUD 4-5, admitted in this Case as Hearing Exhibit 12.³²² In this response, PSO witness Horeled stated the following:

PSO filed its IRP Refresh with the Commission in November 2023, approximately one month prior to issuing the 2023 All-Source RFP. PSO filed its 2024 IRP in October 2024, approximately two months prior to the bid refresh. The 2024 IRP included a Large Economic Development Opportunity sensitivity, which contemplated additional large loads on PSO's system. Due to the Commission's requirement in OAC 165:35-34-1 for all source RFPs, PSO no longer structures its RFP process to select resources aligned with a preferred plan. While the IRP process remains an important consideration in assessing PSO's resource needs, it is no longer necessary to determine resource selection within the RFP process. Consequently, updating planning assumptions would not have provided meaningful benefits to customers, particularly when weighed against the significant cost of conducting a new IRP less than one year after the 2024 IRP filing. PSO provided an updated load forecast in this Case. The Commission has not required PSO to submit an interim, updated IRP in accordance with OAC 165:35-37-4.³²³

Ms. Purvis testified that, although the IRP is a "snapshot", the underlying planning process is ongoing and revised as conditions evolve. Updates ensure decisions align with current realities, not outdated assumptions. Since the 2024 IRP, the energy market has altered, and due to the emergence of large loads, future load projections have been revised. These changes impact investment and the overall cost of power supply. She stated that because of this, updating the IRP assists the Commission in determining whether the cost of power supply is fair, just and reasonable.³²⁴

³¹⁹ Purvis Responsive 8:11-14.

³²⁰ Purvis Responsive 8:15-9:8.

³²¹ Purvis Responsive 9:9-10.

³²² Purvis Responsive 10:1-8.

³²³ PUD2025-000064, Hearing Exhibit 12, Docket Entry No. 235.

³²⁴ Purvis Responsive 11:7-13.

Ms. Purvis provided the following figure to illustrate that PSO's capacity needs have changed significantly and qualify as a material change:³²⁵

Figure 6: PSO 2024 IRP vs. Updated Summer Capacity Position³²⁶

Year	2024 IRP Summer Capacity Peak (MW) ¹¹	Updated Summer Capacity Position (MW) ¹²	Difference	Percent Difference
2026	4,471	4,516	45	1.0%
2027	4,476	4,800	324	7.2%
2028	4,481	5,168	687	15.3%
2029	4,469	6,451	1982	44.4%
2030	4,468	7,223	2755	61.7%
2031	4,464	7,281	2817	63.1%

Ms. Purvis testified that an updated IRP should have been filed in 2025.³²⁷

At the Hearing, Mr. Horeled explained that because PSO is required to perform an all-source RFP, the Company is already looking at all resources and, in this particular Case, looking at all generation resources that are available in 2027 and 2028. Therefore, the Company felt that it would not provide additional, meaningful benefit to customers to run an entire IRP update.³²⁸ He explained that the Company is no longer taking planning assumptions from the IRP and saying, for instance, wind was the best choice to serve customers, so only wind will be looked at in the RFP. Rather, PSO is now looking at all sources of generation in the RFP.³²⁹ He clarified that the Company felt that it was already looking at everything that is available, so there was no need to create a whole other IRP, regardless of whether or not there is a stakeholder process.³³⁰

When asked if PSO is circumventing the rules that allow for stakeholder participation by not performing an IRP, Mr. Horeled responded that he believed "there is plenty of stakeholder interaction in this case right now, today, in review of all of the all-source generation RFP process that we had."³³¹

It is the ALJ's belief that a contested hearing is not a proxy for stakeholder involvement in the IRP process. The ALJ recommends that the Commission find that material changes in PSO's planning assumptions have occurred since its 2024 IRP and, in turn, the Company should update its IRP accordingly.

XIV. FINDINGS OF FACT AND CONCLUSIONS OF LAW

Jurisdiction, Notice, and Preliminary Issues

1. THE COMMISSION FINDS that it has jurisdiction over this Case by virtue of the provisions of Article IX, § 18 of the Constitution of the State of Oklahoma, 17 O.S. §§ 151, 152, and 286, and the Commission's Rules.

³²⁵ Purvis Responsive 11:13-14.

³²⁶ Purvis Responsive 11:15.

³²⁷ Purvis Responsive 11:14.

³²⁸ 2/17/2026 Tr. 135:11-21.

³²⁹ 2/17/2026 Tr. 135:21-136:1.

³³⁰ 2/17/2026 Tr. 136:5-10.

³³¹ 2/17/2026 Tr. 136:14-20.

2. THE COMMISSION FURTHER FINDS that notice is proper and given as provided by law, the Rules of the Commission, and Commission Order No. 753135.
3. THE COMMISSION FURTHER FINDS that PSO is an Oklahoma corporation authorized to do business in the State of Oklahoma.
4. THE COMMISSION FURTHER FINDS that PSO is a public utility with plant, property, and other assets dedicated to generation, transmission, distribution, and the sale of electric power and energy within the State of Oklahoma.
5. THE COMMISSION FURTHER FINDS that the Oral Recommendation of the ALJ to grant IBEW's Motion to Intervene is hereby adopted.
6. THE COMMISSION FURTHER FINDS that out of an abundance of caution to prevent the inadvertent disclosure of confidential information, Docket Entry No. 163 should be designated "Confidential" and PSO shall file the non-confidential Redacted Summary of the Rebuttal Testimony of Michael J. Dilley. Should PSO determine the "Confidential" designation is no longer necessary, the Company shall coordinate with the Court Clerk to ensure that Docket Entry No. 163, the Summary of the Rebuttal Testimony of Michael J. Dilley, is once again public facing and viewable in ECF.
7. THE COMMISSION FURTHER FINDS that the Oral Recommendation of the ALJ to grant OG&E's Motion to Intervene is hereby adopted.
8. THE COMMISSION FURTHER FINDS that the Oral Recommendation of the ALJ to grant U.S. ESC's Motion for Limited Intervention is hereby adopted.
9. THE COMMISSION FURTHER FINDS that the Oral Recommendation of the ALJ to grant PSO's oral Motion to Associate Counsel is hereby adopted.
10. THE COMMISSION FURTHER FINDS that IBEW's Motion to Associate Counsel was never presented, that counsel for IBEW did not participate in the Hearing on the Merits, and that IBEW's Motion to Associate Counsel is therefore dismissed as moot.
11. THE COMMISSION FURTHER FINDS that the ALJ's findings and recommendation for the Joint Motion of the Attorney General, AARP, Petroleum Alliance and OIEC for Partial Summary Judgment for Lack of Subject Matter Jurisdiction are hereby adopted, and the Joint Motion is accordingly denied.

Legal Standard

12. THE COMMISSION FURTHER FINDS that PSO filed an Application seeking preapproval of the purchase of generation facilities and subsequent cost recovery from PSO ratepayers for those facilities, subject to the provisions of 17 O.S. § 286(C).
13. THE COMMISSION FURTHER FINDS that PSO seeks approval of a portfolio of resources under 17 O.S. § 286(C)(1), which provides that the Commission *may* grant preapproval of the resources to the extent the Commission determines there is a need for

the resources sought and after consideration of reasonable alternatives, in which case the resources will be considered used and useful. Section 286(C)(1) provides:

An electric utility subject to rate regulation by the Corporation Commission may elect to file an application seeking approval by the Commission to construct a new electric generating facility, to purchase an existing electric generation facility or enter into a long-term contract for purchased power, capacity and energy, subject to the provisions of this subsection. If, and to the extent that, the Commission determines there is a need for construction or purchase of the electric generating facility or long-term purchase power contract, the generating facility or contract shall be considered used and useful and its costs shall be subject to cost recovery rules promulgated by the Commission. The Commission shall enter an order on an application filed pursuant to this subsection within two hundred forty (240) days of the filing of the application, following notice and hearing and after consideration of reasonable alternatives, unless the electric generation facility utilizes natural gas as its primary fuel source. If the electric generation facility uses natural gas as its primary fuel source, then the Commission shall enter an order on an application filed pursuant to this subsection within one hundred eighty (180) days of the filing of the application, following notice and hearing and after consideration of reasonable alternatives.

14. THE COMMISSION FURTHER FINDS that as a regulated electric utility in the State of Oklahoma, PSO must comply with the Commission's standards for electric utility generation capacity requirements. Under these standards the "generation capacity of a utility's plant, supplemented by" contracts with third party providers "must be sufficiently large to meet all normal demands for service and provide a reasonable reserve for emergencies."³³²

Resource Overview & Eligibility

15. THE COMMISSION FURTHER FINDS that PSO is requesting preapproval of a portfolio of eight proposed resources that would add a total of 1,299 MW of Nameplate Capacity and 863 MW of 2029 Accredited Summer Capacity to the Company's system. The resources proposed by PSO consist of:

- i. Three wind PPAs – Caddo, Weatherford and King Plains;
- ii. A five-year 150 MW CPA – Kiamichi;
- iii. Three BESS PSAs –Northeastern 1 and 2, Rock Falls, and Dover; and
- iv. A self-build natural gas combustion generation facility – Northeastern 5 and 6³³³

16. THE COMMISSION FURTHER FINDS that PSO states that seven of the resources were selected short-listed solicitations from its 2023 All-Source RFP.³³⁴ The NE 5&6 were selected by the Company after the conclusion of the 2023 RFP and the December 2024 All-

³³² OAC 165:35-25-3(e).

³³³ Horeled Direct p. 14, Table 2.

³³⁴ Horeled Direct 4:24-5:2.

Source RFP bid refresh.³³⁵ PSO alleges that all of the generation resources requested for preapproval are necessary to provide reliable electric service and to comply with the Commission's rule on providing a reliable supply of electricity.³³⁶

17. THE COMMISSION FURTHER FINDS that the total cost for the selected projects, including purchase price and owner's costs, is expected to be \$1.255 billion. The total estimated retail rate impact in 2029, once all of the generation resources have entered commercial operation, is \$157.1 million.³³⁷ The projected total cost of \$1.255 billion does not include interest costs incurred during construction (AFUDC) for the PSA projects; charges incurred for capacity and energy supplied under the wind energy PPAs or the charges for capacity under the Kiamichi CPA. The total cost of the proposed resources also does not include cost increases related to changes in law, project schedule delays, import tariffs, and other cost pass-through provisions for the three BESS PSAs and the NE 5&6.³³⁸ PSO's current rate base is approximately \$4.5 billion; its proposed resource projects would increase PSO's rate base by approximately 28%.³³⁹
18. THE COMMISSION FURTHER FINDS that PSO estimates the annual revenue requirement of the proposed resources would be \$169.1 million in 2029, which is the first year all of the proposed resources are expected to be in service. Of this amount, approximately \$169.0 million is attributable to the PSO retail jurisdiction.³⁴⁰
19. THE COMMISSION FURTHER FINDS that PSO estimates that in 2029, once all proposed facilities would be operational, the forecasted impact reflects a net increase of \$15.39 per month, representing a 10.30% increase in the total monthly bill.³⁴¹
20. THE COMMISSION FINDS that all eight proposed projects in this Case are eligible resources under 17 O.S. § 286(C)(1).

Need

21. THE COMMISSION FURTHER FINDS that although the Commission has a general standard requiring PSO to maintain sufficient generation capacity to meet the needs of its customers, the Company must also meet the standards for participation as a member of the SPP. The SPP's resource adequacy is based on a peak demand PRM requirement.³⁴² The PRM methodology establishes the minimum amount of capacity that utilities are required to own, or control, based upon the Company's forecasted peak load plus the PRM.³⁴³
22. THE COMMISSION FURTHER FINDS that PSO's proclaimed need for additional accredited capacity in this Case is predominantly based upon 11 large load customers.³⁴⁴

³³⁵ Horeled Direct 11:19-12:12.

³³⁶ Horeled Direct 4:20-23.

³³⁷ Horeled Direct 14:3-6.

³³⁸ Norwood Responsive 10:3-18.

³³⁹ Garrett Responsive 7:9-10.

³⁴⁰ Schwarz Rebuttal 15:6-9.

³⁴¹ Schwarz Rebuttal 16:5-7.

³⁴² Demmy Direct 5:5.

³⁴³ Demmy Direct 5:5-7.

³⁴⁴ Horeled Direct 8:16-17; Mossburg Responsive 15:5.

Multiple parties expressed concern as to the likelihood that the requested load will materialize, and whether or not the anticipated AI-driven data buildout will occur.

23. THE COMMISSION FURTHER FINDS that substantial testimony and evidence has been presented to show that PSO has a need pursuant to 17 O.S. § 286(C). Testimony was presented to show that, should all LOAs convert to a CES and all CESs come to fruition, the Company would have a deficit of 10 MW in 2027, 470 MW in 2028, 1766 MW in 2029, and 3124 MW by 2031.³⁴⁵
24. THE COMMISSION FURTHER FINDS that the Company's resource planning model of only including 50% capacity for loads that have a signed LOA, and 80% capacity for loads that have a signed CES to be reasonable.
25. THE COMMISSION FURTHER FINDS that consideration must be given to determine a path forward to ensure that large load customers pay their fair share of the cost to serve them to avoid subsidization by PSO's existing customers.
26. THE COMMISSION FURTHER FINDS that although PSO does, in fact, have a need for additional capacity, that need is not required to be met through a preapproval action pursuant to 17 O.S. § 286(C).

Consideration of Reasonable Alternatives

Wind Energy PPAs

27. THE COMMISSION FURTHER FINDS that PSO selected the Caddo, Weatherford, and King Plains wind PPAs as a result of and compared to other resources bid into the 2023 All-Source RFP.³⁴⁶
28. THE COMMISSION FURTHER FINDS that PSO selected the Caddo, Weatherford, and King Plains wind PPAs after consideration of reasonable alternatives as required by 17 O.S. § 286(C)(1).
29. THE COMMISSION FURTHER FINDS that PSO's request for preapproval of the wind energy PPAs is reasonable and should be granted.
30. THE COMMISSION FURTHER FINDS that the Caddo, Weatherford, and King Plains wind PPAs costs shall flow through PSO's FAC utilizing an energy allocator.
31. THE COMMISSION FURTHER FINDS that any proceeds from the sale of the Renewable Energy Certificates shall flow through the Company's FAC.

Five Year Kiamichi CPA

32. THE COMMISSION FURTHER FINDS that the Company selected the five-year, 150 MW Kiamichi CPA as a result of and compared to other resources bid into the 2023 All-Source RFP.³⁴⁷

³⁴⁵ Horeled Direct 9:14-17; Demmy Direct 8:7-8.

³⁴⁶ Bolan Rebuttal 9:6.

³⁴⁷ Bolan Rebuttal 9:6.

33. THE COMMISSION FURTHER FINDS that the Company appropriately balanced capacity and energy considerations in its selection of the five-year, 150 MW Kiamichi CPA, and selected the CPA after consideration of reasonable alternatives as required by 17 O.S. § 286(C)(1).
34. THE COMMISSION FURTHER FINDS that PSO's request for preapproval of the five-year, 150 MW Kiamichi CPA is reasonable and should be granted.
35. THE COMMISSION FURTHER FINDS that the costs of the Kiamichi CPA shall be allocated on a demand basis and recovered through the Company's FAC.

Rogers County Zoning Variance Denial

36. THE COMMISSION FURTHER FINDS the filing of this action seeking preapproval of BESS Units NE 1&2 and NE 5&6 prior to PSO obtaining all required zoning variances to be premature. Nevertheless, testimony was provided to show that adequate customer protections are in place to avoid harm should the Rogers County zoning variance appeal be unsuccessful. Testimony was provided to show that none of the costs of the BESS NE 1&2 facility would be flowed through to customers until the facility is placed in service, and any CWIP that would be collected prior to the NE 5&6 project being placed into service would be refunded to customers if the facility is not built.³⁴⁸
37. THE COMMISSION FURTHER FINDS that ratepayers should be held harmless for any and all sunk costs of the NE 1&2 and NE 5&6 projects incurred thus far due to the Rogers County zoning variance denial and recommended denial of the projects in this Case.

BESS PSA Projects

38. THE COMMISSION FURTHER FINDS that the Company acted imprudently by omitting all BESS PPAs from consideration without providing the opportunity for bidders to mitigate cyber-hacking concerns. Although the Company received 314 bids in response to the RFP and evaluated 150 bids after eligibility and threshold testing was conducted,³⁴⁹ reasonable alternatives were not considered as all BESS PPAs were eliminated from consideration in the RFP without adequate justification.
39. THE COMMISSION FURTHER FINDS that the BESS resources ranked poorly in comparison to other shortlisted projects bid into the 2023 All-Source RFP at 13th (NE 1&2), 15th (Dover), and 20th (Rock Falls).³⁵⁰ Additionally, the projects have a very high cost with the combined base purchase price of approximately \$560 million, and a total capital expenditure of approximately \$715 million.³⁵¹ For context, the approximately \$3,192/kW is more than twice the \$1,237 kW cost of the requested NE 5&6 project.³⁵² The BESS resources account for more than half of the total capital expenditures in this Case, and only provide for a total of 224 MW in nameplate capacity.

³⁴⁸ 2/19/2026 Tr. 167:2-13.

³⁴⁹ Horeled Direct 12:14-13:2.

³⁵⁰ Bolan Rebuttal p. 9, Table 1.

³⁵¹ Bolan Direct 17:13-14, 17:18-21.

³⁵² Dismukes Responsive 7:9-11.

40. THE COMMISSION FURTHER FINDS that the request for preapproval of the three BESS PSA resources is denied.
41. THE COMMISSION FURTHER FINDS that the Company should proceed with enhanced transparency in future RFPs regarding cybersecurity concerns. Should the Company feel that certain resources present heightened security risks, PSO should explicitly state this stance at the outset of the RFP, or upon immediate discovery of the perceived risk, to provide an opportunity for bidders to mitigate cyber-hacking concerns.
42. THE COMMISSION FURTHER FINDS that the three BESS projects are denied and, therefore, the issue of the Investment Tax Credits is moot.

NE 5&6

43. THE COMMISSION FURTHER FINDS that the NE 5&6 project was not bid into PSO's 2023 All-Source RFP. Bids were due to PSO in connection to the RFP on January 29, 2024.³⁵³ The project scope was not developed and finalized until February 7, 2025, which was well after the 2023 All-Source RFP due date.³⁵⁴ OAC 165:35-38-5(c) requires a soliciting utility to submit self-build proposals at the same time bids are requested in the RFP. The Company did not comply with this rule by failing to contemporaneously submit the self-build proposal with all other RFP bids.
44. THE COMMISSION FURTHER FINDS that the substantial lag between the RFP bid due date and the submission of the NE 5&6 self-build proposal presented a conceivable opportunity for the proposal to be crafted in such a way to receive a potential advantage over the RFP bids. It is therefore unreasonable to compare the NE 5&6 self-build proposal to bids received within the RFP.
45. THE COMMISSION FURTHER FINDS that although participation in the competitive bidding process is not mandatory under the rules at OAC 165:35-34-1 *et seq.*, the competitive procurement process is a mechanism to "establish a fair, just, and reasonable process that best serves the public interest of all electricity consumers and that will complement and improve the state's economic growth . . ."³⁵⁵
46. THE COMMISSION FURTHER FINDS that because NE 5&6 was not bid into the RFP, it was unable to be properly vetted and reviewed with input from stakeholders, including the IE.
47. THE COMMISSION FURTHER FINDS that PSO has shown repeated occurrences of acting outside of the competitive bidding process through both the proceeding at hand and the Green Country case, PUD2024-000057. In Order No. 749854, the Commission stated that it "strongly encourages regulated utilities to use the competitive bidding process *and to actually bid desired contracts and self-build options into such competitive solicitations.*"³⁵⁶ The Commission continues to strongly encourage regulated utilities to use

³⁵³ Application p. 1, paragraph II(c).

³⁵⁴ Beling Responsive 14:12-13.

³⁵⁵ OAC 165:35-34-1(a).

³⁵⁶ PUD2025-000064, Hearing Exhibit 9, p. 8, Docket Entry No. 251; PUD2024-000057, Final Order No. 749854, p. 8.

the competitive bidding process and to actually bid desired contracts and self-build options into such competitive solicitations.

48. THE COMMISSION FURTHER FINDS that, unlike the unusual circumstance presented in the Green Country case where PSO was “compelled to participate in the competitive sale . . . as a bidder”³⁵⁷, NE 5&6 is a self-build proposal. While Green Country was on a procurement timeline mostly dictated by outside actors, the timeline for the procurement of NE 5&6 is overwhelmingly driven by PSO themselves. NE 5&6 is not a unique and unusual situation that compelled the Company to procure the project outside of the competitive bidding process.
49. THE COMMISSION FURTHER FINDS that testimony was provided that PSO could have properly bid NE 5&6 into its 2026 All-Source RFP, but it chose not to do so. The Company retains the ability to acquire NE5&6 and seek recovery through a traditional base rate case.
50. THE COMMISSION FURTHER FINDS that the Company did not consider reasonable alternatives and, therefore, the preapproval of NE 5&6 is accordingly denied.

Energy Security Rider and CWIP Recovery

51. THE COMMISSION FURTHER FINDS that NE 5&6 and the three BESS PSA projects should be denied, and the costs of the Kiamichi CPA and Wind Resource PPAs should flow through the Company’s FAC. Therefore, the ESR is not needed and CWIP will not be recovered; the determination of these issues is moot.

Additional Cost Recovery and Allocation Issues

52. THE COMMISSION FURTHER FINDS that with the increasing demand from large load customers, it is imperative that consideration is given to separating large loads into a distinct class and allocating costs appropriately. Thus, PUD is directed to open a notice of inquiry docket to address the influx of new large load customers and associated issues. The Commission finds that legislation is necessary to accommodate the changing landscape of the industry due to large load customers, and the specifics of the legislation needed may be discovered through the aforementioned notice of inquiry docket.
53. THE COMMISSION FURTHER FINDS that PSO should develop a large load tariff with proper cost allocation methodology to prevent subsidization and protect affordability. PSO currently has an ongoing base rate case in PUD2025-000075 in which these issues may be thoroughly and sufficiently addressed. PSO should develop and have in place a specific Commission-approved tariff or Commission-approved contract option for large load customers that includes accountability and ratepayer protections. Exit fees, financial minimums, minimum load factor ramps, minimum demands, upfront infrastructure payments, grid flexibility, and contract minimums are examples of the type of protections that should be included.

Integrated Resource Plan

54. THE COMMISSION FURTHER FINDS that material changes in PSO’s planning assumptions have occurred since its 2024 IRP and, in turn, the Company should update its IRP accordingly.

³⁵⁷ PUD2024-000057, Final Order No. 749854.

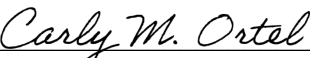
ORDER

THE COMMISSION THEREFORE ORDERS that based on the substantial evidence in the record and summarized herein, the above findings of fact and conclusions of law are adopted as the Order of the Commission.

THE COMMISSION FURTHER ORDERS that the Company's Application is hereby approved in part and denied in part, as described above.

THE COMMISSION FURTHER ORDERS that the Company shall submit proposed tariffs to the Director of the Public Utility Division consistent with the Commission's Order for further review and approval.

Respectfully submitted this 6th day of April, 2026.



CARLY M. ORTEL
Administrative Law Judge

Cc:

Chairman Kim David
Commissioner J. Todd Hiett
Commissioner J. Brian Bingham
Jeff Kline
Nicole King
Jared B. Haines
Curtis Johnson
Elizabeth A.P. Cates
Matt Mullins
Erica O'Neal
Jana Slatton
Jason Murray
Jack P. Fite
Lauren D. Willingham
Kenneth A. Tillotson
Noelle J. Coates
Thomas L. Grossnicklaus
Ashley N. Youngblood
Justin Cullen
Thomas P. Schroedter
Adam J. Singer
J. David Jacobson
Natasha M. Scott
Michael L. Velez
Mike S. Ryan
E.J. Thomas
Kyle Vazquez

A. Chase Snodgrass
Dustin R. Fredrick
Deborah R. Thompson
Jim A. Roth
C. Eric Davis
Peter K. Wright
Douglas D. Vernier
Mary Candler

Attachment "A"

PROCEDURAL HISTORY

On September 12, 2025, Public Service Company of Oklahoma ("PSO" or "Company") filed its Application for an order of the Commission Preapproving the Acquisition and Cost Recovery of Generation Facilities to allow PSO to meet its obligations pursuant to OAC 165:35-25-3(e).

Also on September 12, 2025, the following documents were filed:

- a) Direct Testimony of Matthew A. Horeled for Public Service Company of Oklahoma;
- b) Direct Testimony of Scott T. Bolan for Public Service Company of Oklahoma;
- c) Direct Testimony of Paul N. Demmy for Public Service Company of Oklahoma;
- d) Direct Testimony of Beth E. Lozier for Public Service Company of Oklahoma;
- e) Direct Testimony of Hassan Hayat for Public Service Company of Oklahoma;
- f) Confidential Direct Testimony of Hassan Hayat for Public Service Company of Oklahoma;
- g) Direct Testimony of Dr. Shelly C. Hagerman for Public Service Company of Oklahoma;
- h) Direct Testimony of Michael J. Dilley for Public Service Company of Oklahoma;
- i) Confidential Direct Testimony of Michael J. Dilley for Public Service Company of Oklahoma;
- j) Direct Testimony of Rebecca A. Schwarz for Public Service Company of Oklahoma;
- k) Direct Testimony of Gary O. Spitznogle for Public Service Company of Oklahoma; and
- l) Direct Testimony of Bryan A. Trapp for Public Service Company of Oklahoma.

On September 15, 2025, Thomas L. Grossnicklaus, Ashley N. Youngblood and Justin Cullen filed an Entry of Appearance on behalf of Gentner F. Drummond, Attorney General of Oklahoma ("Attorney General").

Also on September 15, 2025, Michael L. Velez filed an Entry of Appearance on behalf of the Commission's Public Utility Division ("PUD").

Also on September 15, 2025, Michael L. Velez, E.J. Thomas, Kyle Vazquez, Mike S. Ryan and Natasha Scott filed an Amended Entry of Appearance on behalf of PUD.

On September 18, 2025, PSO filed a Motion for Procedural Order and a Motion for Protective Order, along with Notices of Hearing setting the Motion for Procedural Order and the Motion for Protective Order for hearing on September 25, 2025.

On September 23, 2025, J. David Jacobson filed an Entry of Appearance on behalf of The Petroleum Alliance of Oklahoma.

Also on September 23, 2025, Adam J. Singer filed an Entry of Appearance on behalf of AARP.

Also on September 23, 2025, Thomas P. Schroedter filed an Entry of Appearance on behalf of Oklahoma Industrial Energy Consumers (“OIEC”).

On September 25, 2025, the Motion for Procedural Order and the Motion for Protective Order were continued by agreement of the parties to October 2, 2025.

On September 30, 2025, OIEC filed its Response to Public Service Company’s Motion for Protective Order.

On October 1, 2025, the following documents were filed:

- a) Public Comment;
- b) Limited Entry of Appearance on behalf of Oklahoma Gas and Electric Company (“OG&E”);
- c) Attorney General’s Motion to Assess and Arrange Compensation for Specific Costs Associated With the Performance of the Attorney General’s Duties;
- d) Notice of Hearing setting the Attorney General’s Motion to Assess and Arrange Compensation for Specific Costs Associated with Performance of the Attorney General’s Duties for hearing on October 9, 2025;
- e) Limited Entry of Appearance of Oklahoma Natural Gas Company;
- f) Limited Reply of Oklahoma Natural Gas Company to Oklahoma Industrial Energy Consumers’ Response to Public Service Company of Oklahoma’s Motion for Protective Order; and
- g) Oklahoma Gas and Electric Company’s Response to OIEC’s Request to Modify the Standard Confidentiality Agreement.

On October 2, 2025, the Motion for Procedural Order and the Motion for Protective Order were heard and recommended.

Also on October 2, 2025, an Oral Recommendation of the Administrative Law Judge was filed.

On October 7, 2025, C. Eric Davis and Peter K. Wright filed an Entry of Appearance on behalf of Oklahoma Sustainability Network (“OSN”).

On October 9, 2025, the Attorney General’s Motion to Assess and Arrange Compensation for Specific Costs Associated with Performance of the Attorney General’s Duties was heard and continued by agreement of the parties to October 16, 2025.

Also on October 9, 2025, Public Comment was filed.

Also on October 9, 2025, the Commission issued Order No. 752678, Order Granting Motion for Procedural Order.

On October 10, 2025, Public Comment was filed.

On October 15, 2025, PSO filed a Motion to Determine Notice along with a Notice of Hearing setting the Motion to Determine Notice for hearing on October 23, 2025.

Also on October 15, 2025, the Commission issued Order No. 752823, Order Granting Protective Order.

On October 16, 2025, the Attorney General's Motion to Assess and Arrange Compensation for Specific Costs Associated with Performance of the Attorney General's Duties was heard and recommended.

Also on October 16, 2025, PUD filed the Motion of the Public Utility Division to Retain and Arrange Compensation to Acquire Expert Witnesses, Consultants and Analytical Services, along with a Notice of Hearing setting the Motion of the Public Utility Division to Retain and Arrange Compensation to Acquire Expert Witnesses, Consultants and Analytical Services for hearing on October 23, 2025.

On October 21, 2025, Public Comment was filed.

On October 23, 2025, the Motion to Determine Notice and the Motion of the Public Utility Division to Retain and Arrange Compensation to Acquire Expert Witnesses, Consultants and Analytical Services were heard and recommended.

On October 29, 2025, the Commission issued Order No. 753134, Order Granting Attorney General's Motion to Assess and Arrange Compensation for Specific Costs Associated with the Performance of the Attorney General's Duties; Order No. 753135, Order Granting Motion to Determine Notice; and Order No. 753136, Order Granting the Motion of the Public Utility Division to Retain and Arrange Compensation to Acquire Expert Witnesses, Consultants and Analytical Services.

On October 31, 2025, the following documents were filed:

- a) Summary of the Direct Testimony of Matthew A. Horeled for Public Service Company of Oklahoma;
- b) Summary of the Direct Testimony of Scott T. Bolan for Public Service Company of Oklahoma;
- c) Summary of the Direct Testimony of Paul N. Demmy for Public Service Company of Oklahoma;
- d) Summary of the Direct Testimony of Micheal J. Dilley for Public Service Company of Oklahoma;
- e) Summary of the Direct Testimony of Beth E. Lozier for Public Service Company of Oklahoma;
- f) Summary of the Direct Testimony of Dr. Shelly C. Hagerman for Public Service Company of Oklahoma;
- g) Summary of the Direct Testimony of Hassan Hayat for Public Service Company of Oklahoma;
- h) Summary of the Direct Testimony of Gary O. Spitznogle for Public Service Company of Oklahoma;

- i) Summary of the Direct Testimony of Bryan A. Trapp for Public Service Company of Oklahoma; and
- j) Summary of the Direct Testimony of Rebecca A. Schwarz for Public Service Company of Oklahoma.

On November 17, 2025, Public Comment was filed.

On December 1, 2025, Public Comment was filed.

On December 2, 2025, Public Comment was filed.

On December 4, 2025, Public Comment was filed.

On December 10, 2025, Douglas D. Vernier filed an Entry of Appearance on behalf of the International Brotherhood of Electrical Workers, Local 1002, AFL-CIO ("IBEW").

Also on December 10, 2025, IBEW filed the Motion to Intervene of International Brotherhood of Electrical Workers, Local 1002, AFL-CIO.

On December 12, 2025, the following documents were filed:

- a) Responsive Testimony of David E. Dismukes, Ph.D. on Behalf of The Petroleum Alliance of Oklahoma;
- b) Appendix A to Responsive Testimony of David E. Dismukes, Ph.D. on Behalf of The Petroleum Alliance of Oklahoma;
- c) Cover Page to Confidential Responsive Testimony of David E. Dismukes, Ph.D. on Behalf of The Petroleum Alliance of Oklahoma;
- d) Redacted Responsive Testimony of David E. Dismukes, Ph.D. on Behalf of The Petroleum Alliance of Oklahoma;
- e) Responsive Testimony of David Scalf;
- f) Responsive Testimony of John Givens;
- g) Confidential Responsive Testimony of Mary Elizabeth Purvis;
- h) Redacted Responsive Testimony of Mary Elizabeth Purvis;
- i) Confidential Responsive Testimony of Frank Mossburg on Behalf of the Public Utility Division;
- j) Redacted Responsive Testimony of Frank Mossburg on Behalf of the Public Utility Division;
- k) Cover Sheet for Confidential Responsive Testimony and Exhibits of Mark E. Garrett on Behalf of Oklahoma Industrial Energy Consumers;
- l) Confidential Responsive Testimony and Exhibits of Mark E. Garrett on Behalf of Oklahoma Industrial Energy Consumers;
- m) Redacted Responsive Testimony and Exhibits of Mark E. Garrett on Behalf of Oklahoma Industrial Energy Consumers;
- n) Cover Sheet for Confidential Responsive Testimony and Exhibits of Scott Norwood on Behalf of Oklahoma Industrial Energy Consumers;
- o) Confidential Responsive Testimony of Scott Norwood on Behalf of Oklahoma Industrial Energy Consumers;

- p) Redacted Responsive Testimony of Scott Norwood on Behalf of Oklahoma Industrial Energy Consumers;
- q) Cover Sheet for Confidential Responsive Testimony of Frank J. Beling on Behalf of Gentner F. Drummond, Oklahoma Attorney General;
- r) Responsive Testimony of Frank J. Beling on Behalf of Gentner F. Drummond, Oklahoma Attorney General; and
- s) Responsive Testimony of Enrique Bacalao for AARP.

On December 15, 2025, the Attorney General filed the Corrected Confidential Responsive Testimony of Frank J. Beling on Behalf of Gentner F. Drummond, Oklahoma Attorney General.

On December 16, 2025, the following documents were filed:

- a) Summary of Responsive Testimony of Frank Mossburg on Behalf of the Public Utility Division;
- b) Summary of Responsive Testimony of David Scalf;
- c) Summary of Responsive Testimony of John Givens;
- d) Summary of Testimony of Mary Elizabeth Purvis;
- e) Summary of Responsive Testimony of Frank J. Beling on Behalf of Gentner F. Drummond, Oklahoma Attorney General;
- f) Summary of Responsive Testimony of Enrique Bacalao on Behalf of AARP;
- g) Summary of Responsive Testimony of Mark E. Garrett on Behalf of Oklahoma Industrial Energy Consumers;
- h) Summary of Responsive Testimony of Scott Norwood on Behalf of Oklahoma Industrial Energy Consumers;
- i) Confidential Redacted Summary of the Responsive Testimony of David E. Dismukes, Ph.D. on Behalf of the Petroleum Alliance of Oklahoma;
- j) Cover Page for Confidential Summary of the Responsive Testimony of David E. Dismukes, Ph.D. on Behalf of The Petroleum Alliance of Oklahoma; and
- k) Confidential Summary of the Responsive Testimony of David E. Dismukes, Ph.D. on Behalf of The Petroleum Alliance of Oklahoma.

On December 22, 2025, the IBEW filed its Statement of Position.

Also on December 22, 2025, the Attorney General filed the Responsive Testimony of Frank J. Beling on Behalf of Gentner F. Drummond, Oklahoma Attorney General.

Also on December 22, 2025, OSN filed its Statement of Position.

On December 29, 2025, the Attorney General filed a Motion to Amend the Confidential Filing Designation of Pre-filed Testimony, along with a Notice of Hearing setting the Motion to Amend the Confidential Filing Designation of Pre-filed Testimony for hearing on January 8, 2026.

On December 30, 2025, PSO filed the Affidavit of Tracy J. Harper.

On December 31, 2025, Public Comment was filed.

On January 8, 2026, the Attorney General's Motion to Amend the Confidential Filing Designation of Pre-filed Testimony was heard and recommended.

On January 15, 2026, Public Comment was filed.

On January 16, 2026, the following documents were filed:

- a) Confidential Rebuttal Testimony of David E. Dismukes, Ph.D. on Behalf of The Petroleum Alliance of Oklahoma;
- b) Cover Page for Confidential Rebuttal Testimony of David E. Dismukes, Ph.D. on Behalf of The Petroleum Alliance of Oklahoma;
- c) Confidential Redacted Rebuttal Testimony of David E. Dismukes, Ph.D. on Behalf of The Petroleum Alliance of Oklahoma;
- d) Confidential Summary of the Rebuttal Testimony of David E. Dismukes, Ph.D. on Behalf of The Petroleum Alliance of Oklahoma;
- e) Cover Page for Confidential Summary of the Rebuttal Testimony of David E. Dismukes, Ph.D. on Behalf of The Petroleum Alliance of Oklahoma;
- f) Confidential Redacted Summary of the Rebuttal Testimony of David E. Dismukes, Ph.D. on Behalf of The Petroleum Alliance of Oklahoma;
- g) Supplemental Testimony of David Scalf;
- h) Rebuttal Testimony of Matthew A. Horeled on Behalf of Public Service Company of Oklahoma;
- i) Rebuttal Testimony of Scott T. Bolan on Behalf of Public Service Company of Oklahoma;
- j) Redacted Rebuttal Testimony of Paul N. Demmy on Behalf of Public Service Company of Oklahoma;
- k) Confidential Rebuttal Testimony of Paul N. Demmy on Behalf of Public Service Company of Oklahoma;
- l) Rebuttal Testimony of Beth E. Lozier on Behalf of Public Service Company of Oklahoma;
- m) Rebuttal Testimony of Michael J. Dilley on Behalf of Public Service Company of Oklahoma;
- n) Rebuttal Testimony of Dr. Shelly C. Hagerman on Behalf of Public Service Company of Oklahoma;
- o) Rebuttal Testimony of Rebecca A. Schwarz on Behalf of Public Service Company of Oklahoma;
- p) Rebuttal Testimony of Bryan A. Trapp on Behalf of Public Service Company of Oklahoma;
- q) Confidential Rebuttal Testimony of Bryan A. Trapp on Behalf of Public Service Company of Oklahoma;
- r) Summary of the Rebuttal Testimony of Matthew A. Horeled on Behalf of Public Service Company of Oklahoma;
- s) Summary of the Rebuttal Testimony of Scott T. Bolan for Public Service Company of Oklahoma;
- t) Summary of the Rebuttal Testimony of Paul N. Demmy for Public Service Company of Oklahoma;

- u) Summary of the Rebuttal Testimony of Beth E. Lozier for Public Service Company of Oklahoma;
- v) Summary of the Rebuttal Testimony of Dr. Shelly C. Hagerman for Public Service Company of Oklahoma;
- w) Summary of the Rebuttal Testimony of Rebecca A. Schwarz on Behalf of Public Service Company of Oklahoma; and
- x) Summary of the Rebuttal Testimony of Bryan A. Trapp on Behalf of Public Service Company of Oklahoma.

On January 20, 2026, PSO filed the Amended Non-Confidential Rebuttal Testimony of Michael J. Dilley on Behalf of Public Service Company of Oklahoma and the Amended Confidential Rebuttal Testimony of Michael J. Dilley on Behalf of Public Service Company of Oklahoma.

On January 21, 2026, the Commission issued Order No. 754765, Order Granting Attorney General's Motion to Amend the Confidential Filing Designation of Pre-filed Testimony.

On January 22, 2026, the Attorney General, AARP, Petroleum Alliance and OIEC filed the Joint Motion of the Attorney General, AARP, Petroleum Alliance and OIEC for Partial Summary Judgment for Lack of Subject Matter Jurisdiction, along with a Notice of Hearing setting the Joint Motion of the Attorney General, AARP, Petroleum Alliance and OIEC for Partial Summary Judgment for Lack of Subject Matter Jurisdiction for hearing on February 5, 2026.

On January 23, 2026, the Attorney General filed an Amended Notice of Hearing setting the Joint Motion of the Attorney General, AARP, Petroleum Alliance and OIEC for Partial Summary Judgment for Lack of Subject Matter Jurisdiction for hearing on February 5, 2026.

Also on January 23, 2026, OG&E filed a Motion Intervene, along with a Notice of Hearing setting the Motion to Intervene for hearing on February 5, 2026.

On January 28, 2026, Public Comment was filed.

On January 29, 2026, U.S. Energy Storage Coalition ("U.S. ESC") filed a Motion for Limited Intervention, along with a Notice of Hearing setting the Motion for Limited Intervention for hearing on February 5, 2026.

On February 3, 2026, OG&E filed its Concurrent Response in Opposition to the Joint Motion to Dismiss and the Joint Motion for Partial Summary Judgment.

Also on February 3, 2026, PSO filed its Response to the Joint Motion for Partial Summary Judgment for Lack of Subject Matter Jurisdiction.

On February 4, 2026, U.S. ESC filed its Response in Opposition to the Joint Motion for Partial Summary Judgment.

Also on February 4, 2026, AARP filed its Exhibit List and its Witness List.

Also on February 4, 2026, the Attorney General, The Petroleum Alliance, and AARP filed the Joint Objection to OG&E's Motion to Intervene

On February 5, 2026, the Joint Motion of the Attorney General, AARP, Petroleum Alliance and OIEC for Partial Summary Judgment for Lack of Subject Matter Jurisdiction was taken under advisement, and OG&E's Motion to Intervene and U.S. ESC's Motion for Limited Intervention were heard and recommended.

Also on February 5, 2026, Public Comment was filed.

Also on February 5, 2026, the Attorney General filed the Attorney General Hearing Exhibits one through five.

Also on February 5, 2026, Hearing Exhibits M1, M2, M3, M4 and M5 were filed.

On February 6, 2026, the Oral Recommendation of the Administrative Law Judge re: U.S. ESC's Motion for Limited Intervention and the Oral Recommendation of the Administrative Law Judge re: OG&E's Motion for Intervention were filed.

Also on February 6, 2026, A. Chase Snodgrass and Trevor Pemberton filed an Entry of Appearance on behalf of Oklahoma Gas and Electric Company.

On February 9, 2026, the following documents were filed:

- a) Combined Witness List, Exhibit List and Notice of Intent to Utilize Confidential Information of the Attorney General;
- b) Attorney General's Surrebuttal Outline;
- c) Witness and Exhibit List of Oklahoma Sustainability Network;
- d) Witness and Exhibit List of The Petroleum Alliance of Oklahoma;
- e) The Public Utility Division's Outline of Surrebuttal Issues;
- f) The Public Utility Division's Issues List;
- g) The Public Utility Division's Witness and Exhibit List;
- h) Oklahoma Industrial Energy Consumers' Issues List;
- i) Oklahoma Industrial Energy Consumers' Surrebuttal Issues List;
- j) Issues List of Public Service Company of Oklahoma;
- k) Exhibit List, Witness List, and Notice Regarding Use of Confidential Information of Oklahoma Industrial Energy Consumers;
- l) Exhibit and Witness List of Public Service Company of Oklahoma; and
- m) Issues List of the Attorney General;

On February 10, 2026, Jim A. Roth, C. Eric Davis and Peter K. Wright filed an Entry of Appearance on behalf of U.S. Energy Storage Coalition.

On February 11, 2026, the Prehearing Conference was heard and recommended.

On February 12, 2026, Public Comment was filed.

Also on February 12, 2026, Public Comment was taken.

Also on February 12, 2026, the Oral Recommendation of the Administrative Law Judge re: the Motion to Intervene of the International Brotherhood of Electrical Workers, Local 1002, AFL-CIO; the Oral Recommendation of the Administrative Law Judge re: Public Service Company of Oklahoma's Oral Motion to Associate Counsel; and the Public Comment Sign-in Sheet were filed.

On February 13, 2026, the Attorney General filed the Final Order from Case No. PUD2024-000057, Public Service Company of Oklahoma's Response to Oklahoma Attorney General's Sixth Set of Data Requests to Public Service Company of Oklahoma AG-6, Public Service Company of Oklahoma's Response to Oklahoma Attorney General's Sixth Set of Data Requests to Public Service Company of Oklahoma AG-7, Public Service Company of Oklahoma's Response to Oklahoma Sustainability Network's Second Set of Data Requests to Public Service Company of Oklahoma OSN-2, and Public Service Company of Oklahoma's Response to Public Utility Division's Data Request Data Request PUD-1.

On February 16, 2026, IBEW filed a Motion to Associate Counsel and Exhibits A, B and C to the Motion to Associate Counsel.

On February 17, 2026, the Hearing on the Merits was heard and continued by agreement of the parties to February 18, 2026.

Also on February 17, 2026, Hearing Exhibit 1, Hearing Exhibit 11, Hearing Exhibit 10, Hearing Exhibit 12, Hearing Exhibit 13, Hearing Exhibit 14, Hearing Exhibit 15, Hearing Exhibit 17, Hearing Exhibit 16, Hearing Exhibit 18, Hearing Exhibit 19, Hearing Exhibit 2, Hearing Exhibit 20, Hearing Exhibit 21, Hearing Exhibit 3, Hearing Exhibit 4, Hearing Exhibit 7, Hearing Exhibit 6, Hearing Exhibit 8, Hearing Exhibit 9 and Hearing Exhibit 5 were filed.

On February 18, 2026, the Hearing on the Merits was heard and continued by agreement of the parties to February 19, 2026.

Also on February 18, 2026, Hearing Exhibit 23, Hearing Exhibit 24, Hearing Exhibit 26, Hearing Exhibit 27 and Hearing Exhibit 22 were filed.

On February 19, 2026, the Hearing on the Merits was heard and taken under advisement.

Also on February 19, 2026, Hearing Exhibit 28, Hearing Exhibit, 30 and Hearing Exhibit 29 were filed.

On February 20, 2026, Public Comment was filed.

On February 22, 2026, PSO filed the Witness Identification of Hassan Hayat.

On February 23, 2026, OIEC filed the Witness Identification of Scott Norwood.

On February 24, 2026, AARP filed the Remote Witness Identification Affidavit of Enrique Bacalao.

Also on February 24, 2026, Petroleum Alliance filed the Witness Identification Affidavit of David E. Dismukes.

On February 26, 2026, the Notice of Completion Transcript of Proceedings Had on the 19th Day of February, 2026 Before the Honorable Carly Ortel Administrative Law Judge for the Oklahoma Corporation Commission; and Todd Hiatt, Kim David, and Brian Bingman, Corporation Commissioners for the Oklahoma Corporation Commission was filed.

On March 4, 2026, the Attorney General's Proposed Findings of Fact and Conclusions of Law and the Public Utility Division's Proposed Findings of Fact and Conclusions of Law were filed.

On March 5, 2026, Oklahoma Industrial Energy Consumers and AARP's Proposed Findings of Fact and Conclusions of Law, U.S. Energy Storage Coalition's Limited Proposed Findings of Fact and Conclusions of Law, Oklahoma Sustainability Network's Proposed Findings of Fact and Conclusions of Law and Public Service Company of Oklahoma's Proposed Final Order were filed.

On March 9, 2026, Confidential Hearing Exhibit 25 was filed.

CASE PUD 2025-000064 ENTRY NO. 60 FILED IN OCC COURT CLERK'S OFFICE ON 10/31/2025 - PAGE 1 OF 15

Attachment "B"

BEFORE THE CORPORATION COMMISSION OF THE STATE OF OKLAHOMA

APPLICATION OF PUBLIC SERVICE	)	
COMPANY OF OKLAHOMA (PSO) FOR	)	
AN ORDER OF THE COMMISSION	)	
PREAPPROVING THE ACQUISITION AND	)	CASE NO. PUD 2025-000064
COST RECOVERY OF GENERATION	)	
FACILITIES TO ALLOW PSO TO MEET	)	
ITS OBLIGATIONS PURSUANT TO OAC	)	
165:35-25-3(e).	)	

SUMMARY OF THE DIRECT TESTIMONY OF

MATTHEW A. HORELED

FOR

PUBLIC SERVICE COMPANY OF OKLAHOMA

October 2025

CASE PUD 2025-000064 ENTRY NO. 60 FILED IN OCC COURT CLERK'S OFFICE ON 10/31/2025 - PAGE 2 OF 15

1 Mr. Matthew A. Horeled, Vice President, Regulatory and Finance for Public Service
2 Company of Oklahoma (PSO or the Company), testified on behalf of PSO.

3 In response to a question as to why PSO filed this case, Mr. Horeled responded
4 that the simple answer was to serve existing and future customers with reliable electric
5 service. This case was filed seeking preapproval of generating facilities to be owned by
6 PSO and purchase power and a capacity contract with third parties. PSO has a capacity
7 need to serve customers and must work toward meeting PSO's obligation to serve.

8 Mr. Horeled testified that the Commission's standard for electric utility generation
9 capacity requirements is found at OAC:165:35-25-3(e):

10 **Reliability of Supply.** The generation capacity of a utility's plant,
11 supplemented by the electric power regularly available from other sources
12 or firm contracts for electric power by a utility which operates no
13 generation plants, must be sufficiently large to meet all demands for
14 service and provide a reasonable reserve for emergencies.

15
16 PSO has filed this case to receive preapproval and cost recovery for the generation
17 assets, purchase power and a capacity contract that are necessary to provide reliable
18 electric service, and therefore comply with the Commission's rule on providing a reliable
19 supply of electricity. Specifically, PSO is requesting approval of eight generation
20 resources to meet customer needs. Seven of the resources were selected for the short-listed
21 solicitations from a September 2023 All-Source Request for Proposals (2023 RFP)
22 seeking up to 1,500 Megawatts (MW) of Southwest Power Pool (SPP) accredited
23 capacity. PSO is also requesting approval and cost recovery of two combustion turbines
24 that are each 225 MW and expected to be in service no later than December 2028.

1 Mr. Horeled further testified that the Commission's positive orders allowing for
2 reasonable cost recovery of generation assets or capacity purchases in a timely manner
3 have been instrumental in allowing PSO to reliably serve customers at a reasonable cost
4 and prepare for future capacity and energy needs. PSO intends to continue working with
5 the Commission to provide reliable electric service to current and future customers at a
6 reasonable price.

CASE PUD 2025-000064 ENTRY NO. 60 FILED IN OCC COURT CLERK'S OFFICE ON 10/31/2025 - PAGE 4 OF 15

1 Mr. Horeled stated that PSO's witnesses are the following:

Witness	Testimony Summary
Matthew Horeled	Need for Additional Resources, PSO Policy, and Recovery Mechanism Request
Scott Bolan	RFP Overview, Evaluation, and Selection
Paul Demmy	Discussion of the Company's Capacity Needs and Economic Analysis
Beth Lozier	Due Diligence, Support Cost of Projects, and O&M
Hassan Hayat	Deliverability Assessment and Congestion Modeling
Dr. Shelly Hagerman	Operation of Battery Energy Storage Systems and Dispatch Plans
Michael Dilley	Overview of NE 5&6 Project, Construction, and O&M
Rebecca Schwarz	Customer Impacts, Recovery Mechanisms, and Accounting Treatment
Gary Spitznogle	Environmental rules and permits applicable to the NE 5&6 Project
Bryan Trapp	ITCs and other tax related matters

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1 Mr. Horeled further testified that new loads, mostly from commercial and
2 industrial customers, are driving the increase in demand for electric service. Load growth
3 in the residential class of service is minor in comparison. Commercial and industrial
4 growth is being fueled by new customers coming on to the system with electric needs far
5 greater than what PSO has experienced in the past.

6 As an example, recent activity of the PSO system, Mr. Horeled testified that PSO
7 had signed a Letter of Agreement with a new customer that will eventually result in a load
8 of over 1,000 MW. For most of PSO's history, the largest single customer was 130 MW.
9 PSO currently has 11 customers under Letters of Agreement (LOAs) or contracts that are
10 50 MW or larger. There are several industrial parks in PSO's service territory in late-stage
11 negotiations with large load projects that are expected to sign LOAs this year. These
12 projects represent thousands of new jobs for Oklahoma's economy.

13 In response to a question regarding PSO's coal-fired Northeastern Unit 3 (NE Unit
14 3), PSO is working with environmental agencies and others to amend the State
15 Implementation Plan (SIP) to allow for the continuation of NE Unit 3 on natural gas.
16 PSO's projected need for additional accredited capacity includes the 381 MW of a gas-
17 fired NE Unit 3 as being online in 2026. Without U.S. Environmental Protection Agency
18 approval for the continuation of NE Unit 3, PSO will have a greater need for additional
19 generation resources to meet customer demands for service.

20 Mr. Horeled further testified that as set forth in PSO witness Demmy's testimony,
21 even with the addition of Green Country and the continuation of NE Unit 3 on natural gas,
22 without acquiring additional SPP accredited capacity resources, PSO's summer capacity
23 position will be deficient 10 MW in 2027, 470 MW in 2028, and 1,766 MW in 2029.

CASE PUD 2025-000064 ENTRY NO. 60 FILED IN OCC COURT CLERK'S OFFICE ON 10/31/2025 - PAGE 6 OF 15

1 PSO's generation resource portfolio will not meet the Commission's requirement that it
2 be "sufficiently large to meet all demands for service and provide a reasonable reserve for
3 emergencies" without the additional generation resources that are the subject of this filing.

4 Mr. Horeled testified about the process that results in new load by stating that
5 companies looking to expand or relocate commonly issue Request for Proposals (RFPs)
6 to solicit and compare development opportunities across the country, and on occasion, the
7 world. Local economic development organizations, including but not limited to the
8 Oklahoma Department of Commerce, industrial parks, and local chambers of commerce
9 gather information about a site's ability to meet the company's needs through Requests
10 for Information (RFIs). As a provider of electric service, PSO is frequently asked to
11 respond to RFIs documenting the electric infrastructure, current ability to serve, and future
12 ability to serve for various sites.

13 Once a company has decided to locate in PSO's service territory, PSO works with
14 the company to execute a LOA outlining how PSO will work to serve the site. The LOA
15 includes a detailed scope of initial work and a list of long lead materials to be procured by
16 PSO, as well as what financial security will be paid by the customer within 30 days of
17 executing the LOA. Once a LOA has been executed, PSO must work diligently to secure
18 the necessary generation. PSO must have a plan to ensure the necessary generation will
19 be available prior to executing a Contract for Electric Service. There is often pressure
20 from the potential customer, and the economic development organization coordinating the
21 project, to meet strict development timelines.

22 Mr. Horeled further testified that PSO requires that potential customers make
23 financial commitments to ensure the stability and reliability of service for all customers.

CASE PUD 2025-000064 ENTRY NO. 60 FILED IN OCC COURT CLERK'S OFFICE ON 10/31/2025 - PAGE 7 OF 15

1 PSO has several standardized contract requirements for customers with a diversified
2 demand of at least 750 kilowatts. PSO requires a minimum term, cancellation notice,
3 termination fee, and minimum collateral that is proportional to the size of their load.
4 Minimum billing amounts are required to be at least 80% of the load's contract capacity.
5 Cost justification may require minimums above 80% to ensure a return on investment in
6 five years.

7 Mr. Horeled gave a high-level explanation of how the Company selected the
8 generation resources. PSO employed the competitive bidding process outlined in
9 Subchapter 34 of the Commission's Electric Utility Rules to identify and evaluate
10 generation alternatives to satisfy the capacity needs identified by PSO. PSO designed its
11 All-Source RFP to be a market test of reasonable alternatives to meet its need for
12 generation resources.

13 According to Mr. Horeled, the RFP process unfolded over several key phases. The
14 RFP was issued in November 2023, and notifications were sent to shortlisted bidders in
15 early September 2024. To meet a growing demand for capacity due to economic
16 development in PSO's service territory, PSO executed a bid refresh in December 2024.
17 From September 2024 through September 2025, PSO engaged in negotiations with
18 selected bidders to finalize agreements. PSO witness Bolan addresses the RFP process in
19 greater detail.

20 Mr. Horeled further testified that the Company initially bid a project to construct
21 gas combustion turbines at the Northeastern site into the All-Source RFP. The project was
22 designed to reuse the generation interconnection currently being utilized by NE Unit 3.
23 After PSO learned that it might be able to continue running NE Unit 3 on natural gas, the

CASE PUD 2025-000064 ENTRY NO. 60 FILED IN OCC COURT CLERK'S OFFICE ON 10/31/2025 - PAGE 8 OF 15

1 Company could no longer use the same interconnection rights at NE Unit 3 for its project,
2 which led it to withdraw the bid. The Company then developed a new project for
3 Northeastern Units 5 and 6 (the NE 5&6 Project), which includes, among other
4 modifications, a place in the SPP transmission interconnection queue. PSO witness Dilley
5 addresses the NE 5&6 Project in more detail.

6 Mr. Horeled testified that PSO needs the capacity of the NE 5&6 Project no later
7 than December 2028, a deadline that the Company can meet. Additionally, PSO was able
8 to take swift action to secure the combustion turbines from General Electric (GE) when
9 they were available and before they were claimed by other GE customers. Moreover, the
10 NE 5&6 Project ranks high in comparison to the December 2024 All-Source RFP bid
11 refresh. In fact, it was the second-best scored project when compared to all other bids.

12 Mr. Horeled testified that the Company was pleased with the robust response from
13 the market. The Company received 314 bids representing solar, wind, battery energy
14 storage systems (BESS), and thermal resources. As described in the testimony of PSO
15 witness Bolan, PSO eliminated a number of bids due to grid security and other issues.

16 In response to a question as to how the use of an all-source RFP impacted the RFP
17 process, Mr. Horeled testified that the number and configuration of the bids required
18 considerably more time to process, compared to prior RFPs that limited the type of
19 resources that could be bid. For context, in its 2021 RFP, the Company received 17 bids.
20 PSO received more than 18 times that number of bids in response to its 2023 All-Source
21 RFP.

22 PSO evaluated 150 bids after eligibility and threshold testing was conducted. The
23 bids evaluated included BESS Purchase and Sale Agreements (PSAs), Natural Gas

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1 Capacity Purchases Agreements (CPAs), Natural Gas PSAs, Solar Purchase Power
2 Agreements (PPAs), Wind PPAs and Wind PSAs. This was an evaluation of a robust
3 number of bids across many different generation types, a true all-source RFP and
4 evaluation.

5 PSO evaluated 47 Solar PPAs and 22 Wind PPAs. Mr. Horeled testified that in his
6 opinion, the number of PPAs evaluated and selected shows that PSO clearly was open to
7 PPAs as well as PSAs.

8 Mr. Horeled further testified that the BESS PPAs were eliminated to avoid a grid
9 security risk.

10 The PSO RFP shortlisted projects of 849 MW nameplate capacity will result in
11 434.7 MW of 2029 Accredited Summer Capacity. The RFP capacity consists of seven
12 projects: three BESS resources (the PSAs for Northeastern 1&2, Rock Falls, and Dover);
13 three wind PPAs (Caddo, King Plains, and Weatherford) and one thermal CPA
14 (Kiamichi). By adding the two 225 MW combustion turbines (the NE 5&6 Project), PSO
15 will be adding a total of 871.2 MW of 2029 Accredited Summer Capacity to the system.
16 Table 2 below summarizes the seven remaining short-listed projects and the NE 5&6
17 Project.

CASE PUD 2025-000064 ENTRY NO. 60 FILED IN OCC COURT CLERK'S OFFICE ON 10/31/2025 - PAGE 10 OF 15**Table 2**

Bidder	Location	Project Name	Technology Type	Offered Capacity – Nameplate (MW)	2029 Accredited Summer Capacity (MW)	PSA/PPA	PSA Capital - "All In" (\$M)
Tenaska	Oklahoma	Kiamichi	Combined Cycle	150	150	CPA	
Allete	Oklahoma	Caddo	Wind	80	10	PPA	
NextEra	Oklahoma	Weatherford	Wind	147	19	PPA	
Engie	Oklahoma	King Plains	Wind	248	31	PPA	
Jupiter	Oklahoma	Northeastern 1&2	Storage Standalone	100	97	PSA	\$312
Jupiter	Oklahoma	Rock Falls	Storage Standalone	50	48	PSA	\$165
Jupiter	Oklahoma	Dover	Storage Standalone	74	72	PSA	\$238
Self-Build	Oklahoma	Northeastern 5&6	NG CT	450	437	PSA	\$540
Total:				1,299	864		\$1,255

1 Total cost for the selected projects, including purchase price and owner's costs, is
2 expected to be \$1.255 billion. The total estimated retail rate impact in 2029, once all of
3 the generation resources have entered commercial operation, is \$157.1 million.

4 It was Mr. Horeled's understanding that PSO's request complies with the
5 requirements of Section 286(C)(1) and (2) and therefore was entitled to preapproval by
6 the Commission and cost recovery.

7 According to Mr. Horeled, the Company's testimony in support of the Application
8 presents the identification and analysis of reasonable alternatives by the review of the bids
9 received from the 2023 RFP. PSO compared the NE 5&6 Project to the short-listed bids
10 following a similar process as was done for the Green Country generation facility, which

CASE PUD 2025-000064 ENTRY NO. 60 FILED IN OCC COURT CLERK'S OFFICE ON 10/31/2025 - PAGE 11 OF 15

1 was found to be reasonable by the Commission.¹ As stated previously, the comparison to
2 the short-listed bids has been recently codified as part of the preapproval statute.

3 The evidence presented by PSO with respect to identifying and analyzing
4 reasonable alternatives provides the evidence for the Commission to consider reasonable
5 alternatives as required by the statute.

6 Mr. Horeled testified that the Company requests that the Commission issue an
7 order finding:

8 (1) That the Commission establish a temporary rider mechanism, as described by
9 Company witness Schwarz, that provides for recovery of the costs of the Generation
10 Resources until inclusion in PSO's base rates.

11 (2) That return on construction work in progress (CWIP) for the NE 5&6 Project since the
12 inception of the project be included in the temporary rider mechanism. If the Company's
13 proposal is approved, the return on CWIP for the period prior to regulatory approval will
14 be added to the ESR deferral for collection from customers over the first year of the rider's
15 operation.

16 (3) That the battery energy storage systems shall be depreciated on a 20-year basis.

17 (4) That any proceeds from the sale of Renewable Energy Certificates shall flow through
18 the Company's Fuel Adjustment Clause (FAC).

19 (5) That the Investment Tax Credits (ITCs) be credited to customers over a 20-year period
20 and the deferred ITC benefits will be recorded to account 255 (Accumulated deferred
21 investment tax credits) on PSO's balance sheet and credited to the rate base with
22 customers receiving a carrying charge at PSO's weighted average cost of capital.

23 (6) That the costs from the PPA and CPA be recovered through the FAC.
24

25 In response to a question as to how PSO proposed to recover the cost of the
26 generation resources, Mr. Horeled testified that PSO was proposing the Energy Security
27 Rider (ESR) as a mechanism which will allow for cost recovery after each of the

¹ Case No. PUD 2024-000057 (Order No. 749854).

CASE PUD 2025-000064 ENTRY NO. 60 FILED IN OCC COURT CLERK'S OFFICE ON 10/31/2025 - PAGE 12 OF 15

1 generation resources attains commercial operation and remain in the rider until the
2 Commission includes each of the generation resources in base rates. The ESR would
3 include depreciation, return, Operation and Maintenance (O&M) expense, and property
4 taxes.

5 Mr. Horeled further testified that the Commission has recognized that making
6 large generation purchases puts a significant financial strain on a utility and therefore has
7 approved timely cost recovery. Cost recovery is also necessary because when the
8 Commission grants preapproval, pursuant to 286(C), the statute states the generating
9 facility, or long-term purchase contract, is determined “used and useful.” It was Mr.
10 Horeled’s understanding that in Oklahoma there are two avenues for utility property to be
11 classified as “used and useful” and therefore entitling a utility to earn a return. One method
12 is to file what is referred to as a “Chapter 70” base rate case where the Commission
13 conducts an after-the-fact review to determine if the generation facility is used and useful
14 for customers. In 2005 the Oklahoma Legislature created a second avenue for a regulated
15 utility to obtain a used and useful determination when 286(C) was passed. The statute
16 states that if the Commission determines there is a need, and after reviewing reasonable
17 alternatives the proposed facility or contract will meet that need, the proposed facility or
18 contract will be considered used and useful and subject to the Commission’s cost recovery
19 rules. A utility company exercises its managerial discretion in determining what type of
20 regulatory filing is most appropriate to achieve a determination of used and usefulness.

21 It was also his understanding that a utility is entitled by law to a return on property
22 that is determined to be used and useful. Therefore, if the Commission determines PSO
23 has met its statutory burden for preapproval of the Generation Resources, the question

CASE PUD 2025-000064 ENTRY NO. 60 FILED IN OCC COURT CLERK'S OFFICE ON 10/31/2025 - PAGE 13 OF 15

1 before the Commission is not *can* PSO receive cost recovery in this case, but *how* the cost
2 recovery will be achieved.

3 According to Mr. Horeled, the Commission has two options to accomplish cost
4 recovery for generation assets determined to be used and useful. Those cost recovery
5 options are 1) immediately change base rates to include cost recovery of the asset or 2)
6 implement a rider mechanism. A rider mechanism is administratively a more effective rate
7 changing process than changing base rates due to multiple facilities coming on-line at
8 different times. Therefore, PSO has recommended cost recovery through the ESR.

9 Mr. Horeled continued to testify stating that to his knowledge, cost recovery of a
10 PPA or a CPA has always been through the FAC rider. PSO is asking that cost recovery
11 for all resources be treated the same, i.e., costs are recovered through a rider mechanism.
12 To his knowledge, the Commission has always authorized some type of rider recovery
13 when granting preapproval.

14 In response to a question as to if the Commission had determined if it was
15 reasonable for a utility to incur costs to serve customer prior to the exact time the asset
16 might be required, Mr. Horeled testified that the Commission specifically found that in
17 the Green Country case "PSO's efforts to procure generation capacity approximately two
18 years in advance of the projected shortfall in 2027 are reasonable." Therefore, according
19 to Mr. Horeled, the development period for the projects in this case should also be
20 considered reasonable. Mr. Horeled further testified that the average residential customer
21 using 1,100 kilowatt hour (kWh) will see a total net increase of approximately
22 \$10.34/month (6.92% total bill).

23

CASE PUD 2025-000064 ENTRY NO. 60 FILED IN OCC COURT CLERK'S OFFICE ON 10/31/2025 - PAGE 14 OF 15

1 PSO is seeking approval of a 20-year depreciation rate for the BESS Projects and
2 a 30-year depreciation rate for the combustion turbines used in the NE 5&6 Project.

3 PSO is proposing to reduce fuel expense by crediting the net proceeds from the sale of
4 Renewable Energy Certificates (RECs) to the fuel adjustment clause. This same treatment
5 has been approved by the Commission in prior cases according to Mr. Horeled.

6 PSO is proposing that the ITCs be credited to customers over a 20-year period and
7 the deferred ITCs will be recorded to account 255 (Accumulated deferred investment tax
8 credits) on PSO's balance sheet and credited to rate base with customers receiving a
9 carrying charge at PSO's weighted average cost of capital. The intent of the proposed
10 treatment of ITCs is to spread the rate reducing benefits over a longer period and mitigate
11 the amount of rate increase that customers will experience due to the expiration of the
12 benefits derived from ITCs.

13 The Company proposes to recover the PPAs and CPA through its FAC. Mr.
14 Horeled testified that this is consistent with how PSO has recovered all previous PPAs
15 and CPAs.

16 Mr. Horeled concluded that PSO's application reflects a comprehensive and
17 forward-looking strategy to meet the growing and evolving energy needs of its customers.
18 The proposed generation resources, selected through a robust, competitive process, are
19 essential to ensuring reliability, affordability, and compliance with both regulatory and
20 statutory requirements. The Commission has consistently supported PSO's efforts to
21 secure capacity in advance of projected shortfalls, and this filing continues that prudent
22 planning tradition.

CASE PUD 2025-000064 ENTRY NO. 60 FILED IN OCC COURT CLERK'S OFFICE ON 10/31/2025 - PAGE 15 OF 15

1 PSO's request for preapproval and cost recovery is grounded in sound regulatory
2 policy. The proposed ESR, and the recovery of PPA and CPA costs through the FAC are
3 reasonable, efficient, and aligned with customer interests. These mechanisms will allow
4 PSO to maintain financial stability while delivering reliable service at a reasonable cost.

CASE PUD 2025-000064 ENTRY NO. 61 FILED IN OCC COURT CLERK'S OFFICE ON 10/31/2025 - PAGE 1 OF 3

BEFORE THE CORPORATION COMMISSION OF THE STATE OF OKLAHOMA

APPLICATION OF PUBLIC SERVICE	)	
COMPANY OF OKLAHOMA (PSO) FOR	)	
AN ORDER OF THE COMMISSION	)	
PREAPPROVING THE ACQUISITION AND	)	CASE NO. PUD 2025-000064
COST RECOVERY OF GENERATION	)	
FACILITIES TO ALLOW PSO TO MEET	)	
ITS OBLIGATIONS PURSUANT TO OAC	)	
165:35-25-3(e).	)	

SUMMARY OF THE DIRECT TESTIMONY OF

SCOTT T. BOLAN

FOR

PUBLIC SERVICE COMPANY OF OKLAHOMA

October 2025

CASE PUD 2025-000064 ENTRY NO. 61 FILED IN OCC COURT CLERK'S OFFICE ON 10/31/2025 - PAGE 2 OF 3

1 Mr. Scott T. Bolan is Director, Regulated Infrastructure Development for American
2 Electric Power Service Corporation (AEPSC) and provided testimony on behalf of
3 Public Service Company of Oklahoma (PSO or the Company).

4 Mr. Bolan testified that PSO issued its 2023 All-Source RFP based on resource
5 planning, which identified a future capacity need seeking up to 1,500 Megawatt (MW)
6 of SPP accredited generation capacity, inclusive of energy. PSO entered into seven
7 agreements which represent 849 MW of nameplate energy and capacity. The seven
8 agreements are comprised of three Purchase and Sale Agreements (PSAs), three
9 Purchase Power Agreements (PPAs), and one Capacity Purchase Agreement (CPA).
10 The Company is also seeking preapproval of one self-build natural gas resource project
11 which will provide 450 MW, bringing the total for all projects to 1,299 MW. The eight
12 generation resources consist of three wind resources, three Battery Energy Storage
13 System (BESS) resources, and two natural gas resources. All of the resources are
14 located within the state of Oklahoma. More detail can be seen in the Table 1 below.

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Table 1

Bidder	Location	Project Name	Technology Type	Offered Capacity – Nameplate (MW)	2029 Accredited Summer Capacity (MW)	PSA/PPA	PSA Capital – “All In” (\$M)
Tenaska	Oklahoma	Kiamichi	Combined Cycle	150	150	CPA	
Allete	Oklahoma	Caddo	Wind	80	10.2	PPA	
NextEra	Oklahoma	Weatherford	Wind	147	18.8	PPA	
Engie	Oklahoma	King Plains	Wind	248	31.7	PPA	
Jupiter	Oklahoma	Northeastern 1&2	Storage Standalone	100	100	PSA	\$312
Jupiter	Oklahoma	Rock Falls	Storage Standalone	50	50	PSA	\$165
Jupiter	Oklahoma	Dover	Storage Standalone	74	74	PSA	\$238
Self-Build	Oklahoma	Northeastern 5&6	NG CT	450	436.5	PSA	\$540
Total:				1,299	871.2		\$1,255

1 Mr. Bolan concluded his testimony by stating that based on his experience and
2 expertise with recent generation resource RFP evaluations, the eight agreements for the
3 Selected Resources are reasonable and consistent with industry practice.

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BEFORE THE CORPORATION COMMISSION OF THE STATE OF OKLAHOMA

APPLICATION OF PUBLIC SERVICE	)	
COMPANY OF OKLAHOMA (PSO) FOR	)	
AN ORDER OF THE COMMISSION	)	
PREAPPROVING THE ACQUISITION AND	)	CASE NO. PUD 2025-000064
COST RECOVERY OF GENERATION	)	
FACILITIES TO ALLOW PSO TO MEET	)	
ITS OBLIGATIONS PURSUANT TO OAC	)	
165:35-25-3(e).	)	

SUMMARY OF THE DIRECT TESTIMONY OF

PAUL N. DEMMY

FOR

PUBLIC SERVICE COMPANY OF OKLAHOMA

October 2025

CASE PUD 2025-000064 ENTRY NO. 62 FILED IN OCC COURT CLERK'S OFFICE ON 10/31/2025 - PAGE 2 OF 4

Mr. Paul N. Demmy is Resource Planning Lead for American Electric Power Service Corporation (AEPSC) and provided testimony on behalf of Public Service Company of Oklahoma (PSO or the Company).

Mr. Demmy first testified to PSO's capacity requirement. Mr. Demmy provided the following figures to demonstrate PSO's capacity requirement with and without the Selected Resources.

Figure 2 –Summer Capacity Position Excluding Selected Resources

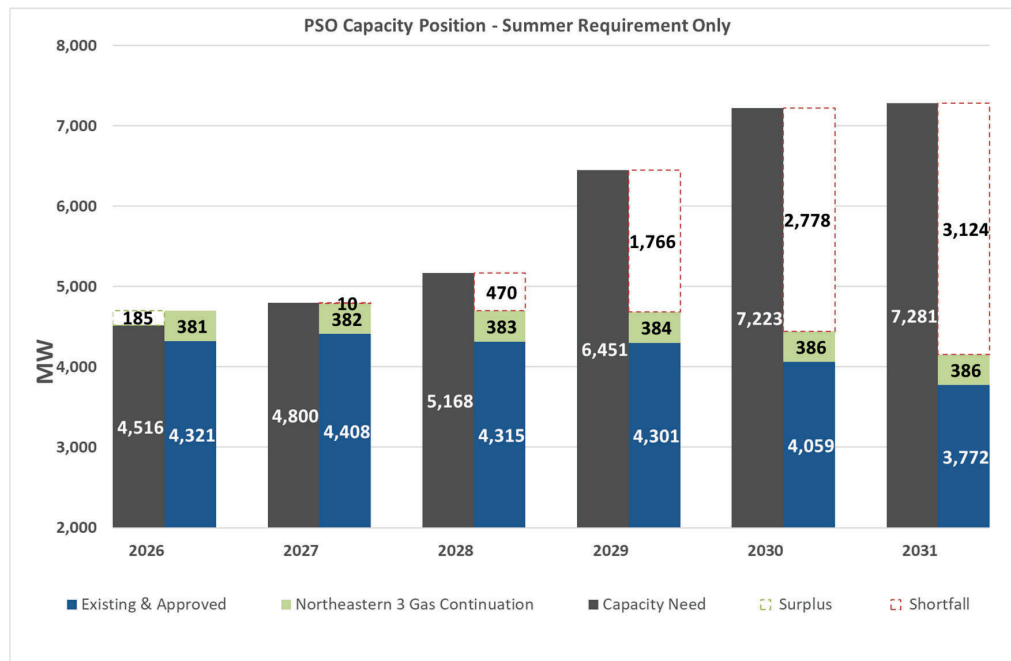
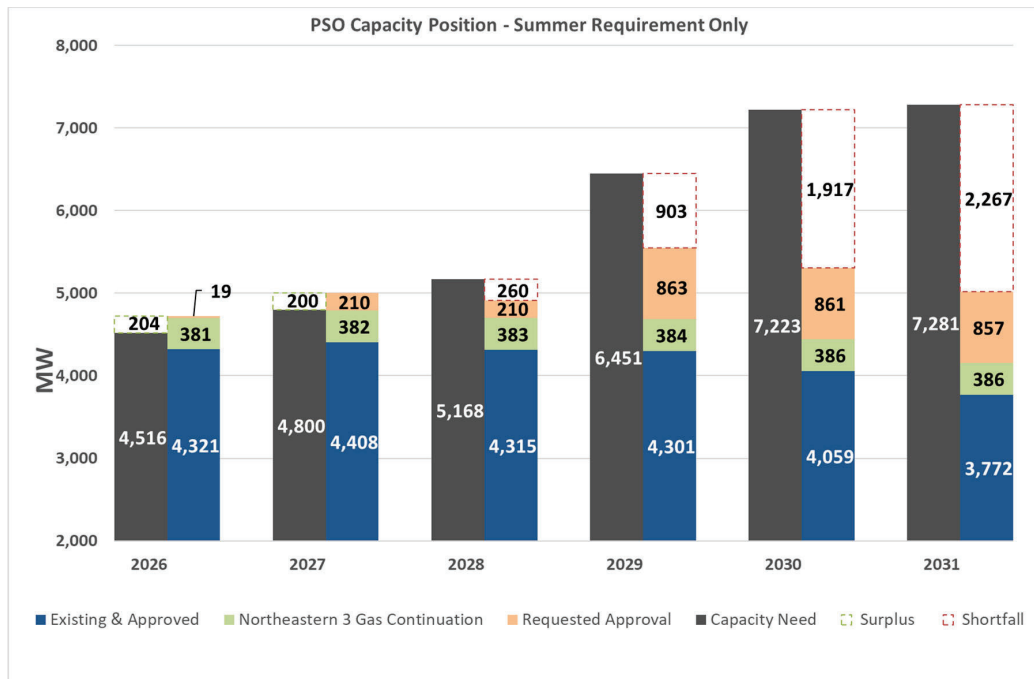


Figure 3 – Summer Capacity Including Selected Resources

1 The capacity obligation (inclusive of the load itself and the required reserve
 2 capacity) is shown in Figure 2. Without the Selected Resources, the Company has a 10
 3 Megawatt (MW) deficit for planning year 2027, growing to 3,124 MW by 2031.

4 Mr. Demmy next testified as to how the RFP's resource options were scored and
 5 ranked. In particular, Mr. Demmy testified regarding the economic analysis and two of the
 6 non-price score categories, namely Dispatchability and Flexibility and Resource Diversity,
 7 Cost Risk and Technology.

8 Mr. Demmy testified that PSO clearly needs capacity and needs these new resources
 9 to support rapid economic growth as early as 2027 in its service territory. These specific
 10 resources will ensure the Company will have capacity to serve projected new load.

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1 Utilizing existing company owned sites for four of the resources will enable these resources
2 to be brought online earlier, and at lower cost.

3 When viewed collectively, the variety of proposed resources, including a mixture
4 of owned and contracted, renewables and dispatchable natural gas and energy storage, will
5 bring customers benefits and risk mitigations. The analysis supporting these projects was
6 robust. They are supported by high rankings under three forecasts of gas and power prices.
7 The proposed natural gas-fired project at NE 5&6 Project provides valuable dispatchable
8 capacity and scores highly even if a 20% capacity factor restriction is applied.

9 Mr. Demmy concluded his testimony by stating that the Selected Projects are the
10 right collection of resources to be selected from the 2023 All-Source RFP.

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COMPANY OF OKLAHOMA (PSO) FOR	)	
AN ORDER OF THE COMMISSION	)	
PREAPPROVING THE ACQUISITION AND	)	CASE NO. PUD 2025-000064
COST RECOVERY OF GENERATION	)	
FACILITIES TO ALLOW PSO TO MEET	)	
ITS OBLIGATIONS PURSUANT TO OAC	)	
165:35-25-3(e).	)	

SUMMARY OF THE DIRECT TESTIMONY OF
MICHEAL J. DILLEY
FOR
PUBLIC SERVICE COMPANY OF OKLAHOMA

October 2025

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1 Mr. Michael J. Dilley, Director of Projects for American Electric Power Service
2 Corporation (AEPSC), on behalf of Public Service Company of Oklahoma (PSO or
3 the Company). Mr. Dilley provided an overview of the Northeastern Units 5&6
4 Natural Gas Facility (the NE 5&6 Project) that is part of this Application.
5 Specifically, he described AEPSC's experience in self-build opportunities including
6 natural gas plants, and AEPSC's role in project management, engineering,
7 procurement, and construction of the NE 5&6 Project.

8 Mr. Dilley presented milestones for construction activities and the estimated
9 Commercial Operation Dates (COD) for the Project. He also presented the total
10 project capital cost for the NE 5&6 Project; and described the Company's operation
11 and maintenance (O&M) plans including ongoing O&M and capital cost estimates
12 for the NE 5&6 Project.

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BEFORE THE CORPORATION COMMISSION OF THE STATE OF OKLAHOMA

APPLICATION OF PUBLIC SERVICE)
COMPANY OF OKLAHOMA (PSO) FOR)
AN ORDER OF THE COMMISSION)
PREAPPROVING THE ACQUISITION AND) CASE NO. PUD 2025-000064
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FACILITIES TO ALLOW PSO TO MEET)
ITS OBLIGATIONS PURSUANT TO OAC)
165:35-25-3(e).)

SUMMARY OF THE DIRECT TESTIMONY OF

BETH E. LOZIER

FOR

PUBLIC SERVICE COMPANY OF OKLAHOMA

October 2025

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1 Ms. Beth E. Lozier, employed by AEPSC, a wholly owned subsidiary of AEP, as
2 Project Director, testified on behalf of Public Service Company of Oklahoma (“PSO”
3 or “Company”).

4 The Company has executed three PSAs for the purchase of 100% of the equity
5 interests of the project holding companies, which are affiliates of Jupiter Power LLC
6 (Jupiter) for the projects. The projects are Northeastern 1&2, Rock Falls and Dover
7 Battery Energy Storage System (“BESS”) projects (collectively, the Selected BESS
8 Projects).

9 Due diligence was completed prior to execution of the Purchase and Sale
10 Agreements (“PSAs”), including a review of the technology, overall project design,
11 third-party resource assessments, transmission and interconnection, permitting,
12 environmental and wildlife impacts, and site visits. The Company will continue to
13 monitor the Selected BESS Projects as engineering and construction progresses.

14 AEPSC, on behalf of the Company, has been involved in defining the scope of
15 work of the Selected BESS Projects and reviewing the engineering and design elements
16 through its due diligence efforts in the development of the PSAs. AEPSC has a long
17 history of safe project management and construction of large-scale, complex utility
18 projects including the construction of power plants, environmental retrofits and
19 upgrades, and the execution of renewable projects.

20 AEPSC and Jupiter have agreed to specifications for the major electrical
21 equipment, engineering and design reviews, construction quality oversight rights, and
22 scheduling and monitoring requirements. AEPSC’s role will ensure the facilities are
23 engineered and constructed to the agreed-to design standards and that the Company is

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1 involved and informed of the construction activities influencing the Selected BESS
2 Projects' timely completion by the Commercial Operation Dates "(CODs").

3 Jupiter is responsible for all required permitting and siting approvals needed to
4 support the Selected BESS Projects. The general permitting requirements associated
5 with the Selected BESS Projects are minimal. AEPSC reviewed the schedules and
6 determined that they appear reasonable and demonstrated a clear path toward
7 constructability and are capable of achieving the target COD required for the federal
8 tax credits.

9 The estimated total project capital cost for the Selected BESS Projects includes
10 each project's purchase price and owner's costs. It is a standard industry practice to
11 allocate contingency within an estimate at completion to address identified risks. The
12 Company has reasonably allocated a percentage of the total project capital cost in
13 reasonable contingency and will work with all parties to manage the associated risks.
14 Written service agreements and company personnel support the projected cost of O&M
15 for the facilities. PSO selected a reasonable 20-year design life for the Selected BESS.

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165:35-25-3(e).	)	

SUMMARY OF THE DIRECT TESTIMONY OF
DR. SHELLY C. HAGERMAN
FOR
PUBLIC SERVICE COMPANY OF OKLAHOMA

October 2025

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1 Dr. Shelly Hagerman, Director of Distributed Energy Resources Orchestration (DERO)
2 for American Electric Power Service Corporation (AEPSC), testified on behalf of
3 Public Service Company of Oklahoma (PSO or the Company).

4 Dr. Hagerman explained how AEP's Commercial Operations organization
5 intends to operate the three battery energy storage systems (BESS) that are part of this
6 Application on behalf of PSO within the Southwest Power Pool market. She provided
7 a high-level overview of BESS technology and operations, discussed the different use
8 cases that BESS can provide, described how BESS can currently participate in the SPP
9 market, discussed potential ways in which BESS participation in the SPP market may
10 evolve, and provided insight into AEP's strategy and priority for BESS operations in
11 SPP.

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165:35-25-3(e).	)	

SUMMARY OF THE DIRECT TESTIMONY OF
HASSAN HAYAT
FOR
PUBLIC SERVICE COMPANY OF OKLAHOMA

October 2025

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1 Mr. Hassan Hayat, Director of Transmission Planning at American Electric Power
2 Service Corporation (AEPSC), testified on behalf of Public Service Company of
3 Oklahoma (PSO or the Company).

4 Mr. Hayat testified that as part of the PSO 2023 All Source Request for Proposal
5 (RFP) evaluation, the Company conducted a comprehensive Transmission Screening
6 Analysis to assess the transmission-related costs, risks and deliverability of proposed
7 generation resources. This analysis included three key components: (1) review of
8 generator interconnection impact, (2) firm transmission/deliverability assessment, and
9 (3) congestion and loss analysis.

10 The Company reviewed the generator interconnection status of each RFP bid,
11 including SPP's Definitive Interconnection System Impact Studies (DISIS) and Surplus
12 Interconnection evaluations, to determine the impact of interconnection.

13 The firm transmission/deliverability assessment utilized SPP-developed
14 datasets and modeling tools to identify transmission upgrades necessary for securing
15 firm transmission service from the RFP bid facilities to the AEP West Zone. These
16 upgrades are critical for ensuring capacity deliverability and meeting PSO's resource
17 adequacy obligations. The congestion and loss analysis employed SPP's PROMOD
18 market simulation models to forecast locational marginal pricing impacts and evaluate
19 the economic efficiency of delivering energy from each bid location. These forecasts
20 were used to estimate congestion and loss costs over a 30-year planning horizon.

21 The results of these transmission analyses were provided to Company witness
22 Demmy for integration into the economic evaluation of each RFP bid. This testimony
23 supports the Company's efforts to ensure that selected resources are not only cost-

- 1 effective but also reliably deliverable to PSO customers, while minimizing
- 2 transmission-related risks and costs.

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SUMMARY OF THE DIRECT TESTIMONY OF

GARY O. SPITZNOGLE

FOR

PUBLIC SERVICE COMPANY OF OKLAHOMA

October 2025

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1 Mr. Gary O. Spitznogle, employed by the American Electric Power Service Corporation as
2 Vice President, Environmental Services, testified on behalf of Public Service Company of
3 Oklahoma (“PSO” or “Company”).

4 Mr. Spitznogle testified that the purpose of his testimony is to discuss the
5 environmental rules and permitting applicable to PSO’s proposed construction of the
6 Northeastern Units 5&6 Combustion Turbines (NE 5&6).

7 The construction and operation of the new generating turbines will be regulated by
8 air, water, and solid waste-related rules administered by the Oklahoma Department of
9 Environmental Quality (“ODEQ”) and the U.S. Environmental Protection Agency
10 (“USEPA”). A Prevention of Significant Deterioration Air Permit and a construction
11 stormwater pollution prevention plan are necessary to construct NE 5&6. The new units
12 will also be subject to the USEPA Title IV Acid Rain Rule and Cross-State Air Pollution
13 Rule (“CARP”), which are emission allowance cap-and-trade programs administered by
14 USEPA. The new units will also be subject to new source technology, emission, and
15 reporting standards for stationary combustion turbines under 40 CFR Part 60 Subparts
16 KKKK (NO_x and SO₂) and TTTT (CO₂) and 40 CFR Part 63 Subpart YYYYY (hazardous
17 air pollutants). Operation of the new units will require modifications to the existing facility
18 permits that establish limits, monitoring, and reporting obligations, including the Title V
19 Air Permit and the National Pollution Discharge Elimination System permit. Updates may
20 also be needed to the facility Spill Prevention, Control, and Countermeasures plan.

21 According to Mr. Spitznogle, onn May 9, 2024, the USEPA published final
22 Greenhouse Gas (“GHG”) emissions standards for new gas combustion turbine units.
23 USEPA established emission standards for three subcategories of units based on the

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1 utilization rate of the unit. The standard for low load units applies to the expected operation
2 of NE 5&6 and require the use of natural gas and limits annual operations to a 20% capacity
3 factor.

4 Mr. Spitznogle further testified that on June 17, 2025, USEPA proposed to repeal
5 the 2024 GHG Standards, which eliminate any GHG standards for NE 5&6. USEPA has
6 indicated the goal to finalize the proposed repeal of the 2024 GHG standards by the end of
7 2025. Separately, the 2024 GHG standards are actively being appealed by AEP and other
8 stakeholders. Next steps in the appeals process will be influenced by the outcome of
9 USEPA's efforts to repeal the standards.

10 Mr. Spitznogle testified that in 2024, USEPA proposed revisions to the New Source
11 Performance Standards for NOx emissions from new combustion turbines. USEPA is
12 currently reviewing comments submitted on the proposed standards. It is unclear,
13 according to Mr. Spitznogle, when or how USEPA will finalize the rule.

14 In response to a question if NE 5&6 will be equipped with a Selective Catalytic
15 Reduction ("SCR") system, Mr. Spitznogle testified that the expected NOx emission limits
16 can be achieved through the use of low NOx burner technology on the combustion turbines.
17 Installation of an SCR, which is a technology used to reduce NOx emissions from exhaust
18 gasses, is not expected to be necessary, but the unit will be designed with space reserved if
19 potential USEPA rule changes in the future require the need for an SCR. Mr. Spitznogle
20 further testified that the expense of an SCR is not expected to be necessary, which lowers
21 the cost of the project.

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165:35-25-3(e).	)	

SUMMARY OF THE DIRECT TESTIMONY OF
BRYAN A. TRAPP
FOR
PUBLIC SERVICE COMPANY OF OKLAHOMA

October 2025

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1 Mr. Bryan A. Trapp, Director of Tax Planning & Operations for American Electric
2 Power Service Corporation (AEPSC), a wholly owned subsidiary of American Electric
3 Power Company, Inc. (AEP), testified on behalf of Public Service Company of
4 Oklahoma (PSO or the Company).

5 Mr. Trapp testified the Battery Energy Storage Systems (“BESS Projects”)
6 are expected to be eligible for federal income tax credits that will benefit customers
7 by reducing the Company’s cost of providing electric utility service. The BESS
8 Projects are expected to generate an ITC of approximately \$222M, or \$286M if the
9 projects receive the Domestic Content bonus credit, in the years which they are placed
10 in service.

11 Mr. Trapp testified the Company recommends that the benefit of the ITC
12 should be provided to customers ratably over the book depreciable life of the BESS
13 Projects.

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COMPANY OF OKLAHOMA (PSO) FOR)
AN ORDER OF THE COMMISSION)
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COST RECOVERY OF GENERATION)
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ITS OBLIGATIONS PURSUANT TO OAC)
165:35-25-3(e).)

SUMMARY OF THE DIRECT TESTIMONY OF

REBECCA A. SCHWARZ

FOR

PUBLIC SERVICE COMPANY OF OKLAHOMA

October 2025

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1 Ms. Rebecca A. Schwarz is Director, Regulatory Pricing and Analysis, in the
2 Regulatory Services Department at American Electric Power Service Corporation
3 (AEPSC) and provided testimony on behalf of Public Service Company of Oklahoma
4 (PSO or the Company).

5 Ms. Schwarz testified the estimated retail rate impact associated with the proposed
6 portfolio of owned and contracted facilities from 2026 through 2029 reflects a phased
7 recovery approach, beginning with Construction Work in Progress (CWIP) and
8 culminating in full cost recovery for all planned resources.

- 9 • 2026–2027: Recovery expands to include three wind Purchase Power
10 Agreements (PPAs) and one Capacity Purchase Agreement (CPA).
- 11 • 2028: Recovery further expands to include three Battery Energy Storage
12 System (BESS) facilities entering service.
- 13 • 2029: Full cost recovery is in place for all planned resources, including the
14 completed Northeastern Units 5&6 (NE 5&6 Project) gas facility, three BESS
15 facilities, three wind PPAs, and one CPA.

16 Ms. Schwarz testified that by 2029, all proposed resources will be in service and
17 recovered through PSO's retail rates. The total estimated retail rate impact in 2029 is
18 \$157.1 million, representing an 8.54% increase in the average retail rate. The average
19 residential rate is projected to increase by 9.59%. When factoring in load growth
20 projections and economic development forecasts, the total estimated average retail rate
21 increase in 2029 is 6.22%. The average residential rate is expected to rise by 6.92%.

22 Ms. Schwarz further testified, the estimated rate impact presented herein excludes
23 changes to base rates or fuel costs that are not directly attributable to the proposed

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1 facilities. Specifically, the estimate does not reflect cost changes unrelated to the
2 following defined resources: the BESS Facilities—Northeastern Units 1&2, Dover, and
3 Rock Falls BESS; the Contracted Facilities—Kiamichi CPA, King Plains PPA, Caddo
4 PPA, and Weatherford PPA; and the NE 5&6 Project—Northeastern Units 5&6 natural
5 gas simple cycle combustion facility. Additionally, the analysis assumes that customers
6 benefit from the 40%, 30%, and 30% Investment Tax Credit (ITC) rates for
7 Northeastern Units 1&2, Dover, and Rock Falls BESS, respectively. The Company
8 recommends these benefits be distributed over the useful life of each resource, rather
9 than being fully recognized in the first year of operation. These benefits will flow
10 through the non-fuel revenue requirement, supporting long-term rate stability and
11 aligning with prudent rate making practices.

12 Ms. Schwarz stated the rate impact analysis provides a thorough estimate of the
13 impact that the Company's proposal will have on its Oklahoma retail jurisdictional
14 revenues. It begins with the cost-of-service increase derived from the non-fuel retail
15 revenue requirement of the BESS Facilities and the NE 5&6 Project. This amount is
16 then adjusted by adding the estimated Fuel Adjustment Clause (FAC) costs associated
17 with the BESS Facilities, the NE 5&6 Project, and Contracted Facilities, including the
18 market revenues from all facilities and the benefits from renewable energy certificates
19 (RECs) generated by the Contracted Facilities.

20 Ms. Schwarz testified the Company proposes to allocate ITC benefits to customers
21 over the service life of the applicable projects, rather than recognizing the full value in
22 the first year, which serves two key objectives. First, spreading the federal tax
23 incentives over the useful life of the ITC-eligible resources helps mitigate the rate

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1 impact on customers by avoiding a front-loaded benefit structure. This approach results
2 in a more balanced and predictable rate profile over time, ensuring customers receive
3 the full value of the ITC benefits realized by PSO. Second, this method supports greater
4 cash flow stability for PSO, which in turn contributes to long-term financial health and
5 sustained customer value. Company witness Trapp's testimony explores more details
6 of the proposed tax methodology.

7 Ms. Schwarz further testified that the Energy Security Rider (ESR) provides
8 recovery of Oklahoma retail jurisdictional costs associated with the operation of the
9 NE 5&6 Project and the BESS Facilities. This includes operations and maintenance
10 (O&M) expenses, ad valorem taxes, ITC amortization expense, depreciation expense,
11 and a return on the assets until they are included in base rates through a general rate
12 case.

BEFORE THE CORPORATION COMMISSION OF THE STATE OF OKLAHOMA

APPLICATION OF PUBLIC SERVICE)
COMPANY OF OKLAHOMA (PSO) FOR AN)
ORDER OF THE COMMISSION)
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AND COST RECOVERY OF) CASE NO. PUD 2025-000064
GENERATION FACILITIES TO ALLOW PSO)
TO MEET ITS OBLIGATIONS)
PURSUANT TO OAC 165:35-25-3(e).)



SUMMARY OF RESPONSIVE
TESTIMONY OF

FRANK MOSSBURG

ON BEHALF OF

THE PUBLIC UTILITY DIVISION

DECEMBER 16, 2025

SUMMARY OF RESPONSIVE TESTIMONY

Of

Frank Mossburg

The purpose of my testimony is to present my review of PSO's application for preapproval of cost recovery for a suite of resources which they claim are needed to serve customers. This consists of (a) seven contracts for supply from resources selected in the 2023 All Source RFP (the RFP Resources) and (b) one natural gas combustion turbine self-build project (the NE 5&6 Project or NE 5&6) that was not a participant in the RFP.

PSO makes this filing to secure preapproval of cost recovery for a suite of generating resources. PSO makes this filing under Statute 17 O.S. § 286(C). The statute reads.

"C. 1. An electric utility subject to rate regulation by the Corporation Commission may elect to file an application seeking approval by the Commission to construct a new electric generating facility, to purchase an existing electric generation facility or enter into a long-term contract for purchased power, capacity and energy, subject to the provisions of this subsection. If, and to the extent that, the Commission determines there is a need for construction or purchase of the electric generating facility or long-term purchase power contract, the generating facility or contract shall be considered used and useful and its costs shall be subject to cost recovery rules promulgated by the Commission. The Commission shall enter an order on an application filed pursuant to this subsection within two hundred forty (240) days of the filing of the application, following notice and hearing and after consideration of reasonable alternatives, unless the electric generation facility utilizes natural gas as its primary fuel source. If the electric generation facility uses natural gas as its primary fuel source, then the Commission shall enter an order on an application filed pursuant to this subsection within one hundred eighty (180) days of the filing of the application, following notice and hearing and after consideration of reasonable alternatives."

Per this statute, PSO is claiming that there is both a need for the facilities and that they have made a reasonable consideration of alternatives.

PSO, like many utilities across the country, is attempting to conduct resource planning in a particularly challenging environment. The rise of a new class of large customers has created enormous potential demand for power. Many of these customers require the entire output of a generating resource to supply their needs.

At the same time, many of these customers are part of a new industry that has seen limited profits as compared to investment, and growing public opposition, generating talk of a speculative bubble. This has led to extra scrutiny for demand forecasts and sweeping new measures for cost allocation to ensure that current ratepayers are not subsidizing these new, potentially fictitious, customers.

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I have come to the following conclusions:

- PSO's future needs are heavily dependent on the addition of new customers.
- New demand is mostly from just eleven customers. About 468 MW of new projected demand from three customers is secured by Contracts for Electric Service that provide protections, such as minimum bill requirements, that generally mirror protections found in recent approved and proposed large load tariffs. However, the vast majority of new demand, up to another 3,300 MW, is backed only by eight Letters of Agreement (“LOA”) that require minimal exposure as compared to the ultimate project cost.
- To include the significant load from LOAs in the load forecast creates a risk for ratepayers to pay for generation that is not needed. A more reasonable forecast can be constructed by including the needs of just the existing load and the forecast load of customers who have signed a Contract for Electric Service. Under this scenario, the Northeast 5&6 Project is not needed and should therefore be rejected.
- Rejection of the NE 5&6 Project is further supported by the facts that: (a) the 2023 RFP had a scoring system that favored in-state gas resources and did not consider the majority of storage proposals, (b) the NE 5&6 Project is not as mature as the RFP resources and has no significant cost or performance guarantees, and (c) the NE 5&6 Project will have another, almost immediate, opportunity to offer its supply in a more fair and open competition.
- Barring industry collapse, capacity procurement going forward will be exclusively for large load customers. PSO's proposed path forward requires residential ratepayers to pay for resource additions to serve these well-capitalized customers. It is vital that the Commission convene a public process for stakeholder input and establish a process for both supplying and billing these customers that protects ratepayers and avoids subsidization.

CERTIFICATE OF SERVICE

This is to certify that on the 16th day of December, 2025, a true and correct copy of the above and foregoing was electronically served via the Electronic Case Filing System to those on the Official Electronic Case Filing Service List, or via electronic mail to the following persons:

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OKLAHOMA CORPORATION COMMISSION

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BEFORE THE CORPORATION COMMISSION OF THE STATE OF OKLAHOMA

APPLICATION OF PUBLIC SERVICE)
COMPANY OF OKLAHOMA (PSO) FOR)
AN ORDER OF THE COMMISSION)
PREAPPROVING THE ACQUISITION)
AND COST RECOVERY OF)
GENERATION FACILITIES TO ALLOW)
PSO TO MEET ITS OBLIGATIONS)
PURSUANT TO OAC 165:35-25-3(e).)

CASE NO. PUD2025-000064



SUMMARY OF RESPONSIVE TESTIMONY

OF

DAVID SCALF

DECEMBER 16, 2025

CASE PUD 2025-000064 ENTRY NO. 121 FILED IN OCC COURT CLERK'S OFFICE ON 12/16/2025 - PAGE 2 OF 4

1 David Scalf is employed by the Public Utility Division (“PUD”) of the Oklahoma
2 Corporation Commission (“Commission”) as a Programs Manager VI. On September 12,
3 2025, Public Service Company of Oklahoma (“PSO” or “Company”) filed an Application
4 with the Oklahoma Corporation Commission (“Commission”) for an order of the
5 Commission preapproving the acquisition and cost recovery of generation facilities to
6 allow PSO to meet its obligations pursuant to OAC 165:35-25-3(e). Mr. Scalf filed
7 Responsive Testimony in Case No. PUD2025-000064 on December 12, 2025.

8 Mr. Scalf testified that after conducting a thorough review of PSO’s supporting workpapers
9 and documentation, PUD recommends that the Commission accept the following
10 recommendations regarding the Battery Energy Storage System (“BESS”) projects
11 generated Investment Tax Credits (“ITC”):

- 12 • PSO to opt out of the normalization requirements for the ITCs;
- 13 • PSO to record deferred ITC benefits to account 255 (Accumulated Deferred Investment
14 Tax Credits) on the Company’s balance sheet, thereby reducing rate base, but only until
15 the ITCs are sold;
- 16 • The cash benefits generated from the sale of the ITCs flow back to customers through
17 the Energy Security Rider (“ESR”) contemporarily as those sales occur;
- 18 • Until the ITCs are sold, they be amortized (credited) through the ESR over a 5-year
19 period;
- 20 • 30 days before an ITC sale is complete, PSO be required to notify PUD of the sale,
21 including:
 - 22 ○ Sale amount;

CASE PUD 2025-000064 ENTRY NO. 121 FILED IN OCC COURT CLERK'S OFFICE ON 12/16/2025 - PAGE 3 OF 4

- 1 ○ Face value of the ITC sold;
- 2 ○ Amortization of the ITC sold;
- 3 ○ Discount incurred on the sale of the ITC; and
- 4 ○ Party to which the ITC was transferred.
- 5 • A tax asset not to be established within PSO's rate base as the Company does not intend
- 6 to use the tax benefits of these ITCs, but instead to sell all the ITCs generated.

CASE PUD 2025-000064 ENTRY NO. 121 FILED IN OCC COURT CLERK'S OFFICE ON 12/16/2025 - PAGE 4 OF 4

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CASE PUD 2025-000064 ENTRY NO. 122 FILED IN OCC COURT CLERK'S OFFICE ON 12/16/2025 - PAGE 1 OF 5

BEFORE THE CORPORATION COMMISSION OF THE STATE OF OKLAHOMA

APPLICATION OF PUBLIC SERVICE)
COMPANY OF OKLAHOMA (PSO) FOR)
AN ORDER OF THE COMMISSION)
PREAPPROVING THE ACQUISITION AND)
COST RECOVER OF GENERATION)
FACILITIES TO ALLOW PSO TO MEET)
ITS OBLIGATIONS PURSUANT TO OAC)
165:35-25-3(e).)

CASE NO. PUD2025-000064



SUMMARY OF RESPONSIVE TESTIMONY

OF

JOHN GIVENS

DECEMBER 16, 2025

CASE PUD 2025-000064 ENTRY NO. 122 FILED IN OCC COURT CLERK'S OFFICE ON 12/16/2025 - PAGE 2 OF 5

1 John Givens is employed by the Public Utility Division (“PUD”) of the Oklahoma
2 Corporation Commission (“Commission”) as a Regulatory Depreciation Manager. On
3 September 12, 2025, Public Service Company of Oklahoma (“PSO” or “Company”) filed
4 an Application with the Commission for an order preapproving the acquisition and cost
5 recovery of generation facilities to allow PSO to meet its obligations pursuant to OAC
6 165:35-25-3(e). The new capacity for which preapproval is requested includes two new
7 self-build natural gas simple cycle combustion turbines, Northeastern Units 5 & 6 (“NE 5
8 & 6”); three Purchase Sales Agreements for battery energy storage system (“BESS”)
9 facilities; three Purchase Power Agreements; and one Capacity Purchase Agreement. PSO
10 also seeks approval of a cost recovery mechanism called the Energy Security Rider
11 (“ESR”). Mr. Givens filed Responsive Testimony on December 12, 2025, to present PUD’s
12 analysis and recommendations regarding Construction Work in Progress (“CWIP”), NE 5 &
13 6 and BESS Project Costs, Operations and Maintenance (“O&M”), and Depreciation.

14 Mr. Givens testified that PUD reviewed the Direct Testimony and associated workpapers
15 filed by Company witnesses, issued Data Requests and reviewed the responses, reviewed
16 responses to Data Requests issued by other parties to this Case, and conducted onsite and
17 virtual audit conferences with Company personnel to discuss review areas and review
18 supporting documentation.

19 Mr. Givens testified that as a result of its review, PUD recommends denial of NE 5 & 6,
20 for the reasons outlined in his Responsive Testimony and the Responsive Testimony of
21 PUD witness Frank Mossburg.

CASE PUD 2025-000064 ENTRY NO. 122 FILED IN OCC COURT CLERK'S OFFICE ON 12/16/2025 - PAGE 3 OF 5

1 Mr. Givens further testified that if preapproval is granted for NE 5 & 6, PUD recommends
2 that the Commission permit CWIP financing as required by state law and include the CWIP
3 true-up mechanism discussed in the Responsive Testimony of PUD witness Mary
4 Elizabeth Purvis. Mr. Givens testified that this mechanism will ensure that, as new large
5 loads come onto the system and class allocations shift, CWIP financing costs will be
6 allocated to those classes that will most benefit from the plant using the most up-to-date
7 data.

8 Regarding project costs, Mr. Givens testified that if the Commission grants preapproval of
9 NE 5 & 6, PUD recommends that costs associated with Community Outreach, Fuel, and
10 Internal Labor and Benefits be excluded from recovery through the ESR. For the BESS
11 projects, PUD recommends that the Commission find that the cost estimates are generally
12 reasonable, but that costs related to Community Outreach and Internal Labor and Benefits
13 should be excluded from recovery through the ESR.

14 Regarding O&M, Mr. Givens testified that PUD recommends that the Commission exclude
15 all O&M expenses other than property taxes from recovery through the ESR. Mr. Givens
16 testified that the projected amounts are not well-supported by the evidence, and excluding
17 them aligns their treatment with that of other expenses incurred between rate cases.

18 Finally, Mr. Givens testified that if NE 5 & 6 and the BESS projects are preapproved, PUD
19 recommends that the Commission order PSO to provide proposed depreciation rates for
20 each project in its next Chapter 70 base rate case, even if the assets are not yet in service,

CASE PUD 2025-000064 ENTRY NO. 122 FILED IN OCC COURT CLERK'S OFFICE ON 12/16/2025 - PAGE 4 OF 5

1 in order to allow for review of the rates that will be used to recover depreciation through
2 the ESR. Such proposed rates should include reasonable estimates of future interim and
3 terminal net salvage, and PSO should explain how such estimates were developed in the
4 Direct Testimony and/or Depreciation Study filed with its rate case Application.

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CASE PUD 2025-000064 ENTRY NO. 123 FILED IN OCC COURT CLERK'S OFFICE ON 12/16/2025 - PAGE 1 OF 4

BEFORE THE CORPORATION COMMISSION OF THE STATE OF OKLAHOMA

APPLICATION OF PUBLIC SERVICE	)	
COMPANY OF OKLAHOMA (PSO) FOR	)	
AN ORDER OF THE COMMISSION	)	
PREAPPROVING THE ACQUISITION AND	)	CASE NO. PUD2025-000064
COST RECOVERY OF GENERATION	)	
FACILITIES TO ALLOW PSO TO MEET	)	
ITS OBLIGATIONS PURSUANT TO OAC	)	
165:35-25-3(e).	)	



SUMMARY OF TESTIMONY

OF

MARY ELIZABETH PURVIS

DECEMBER 16, 2025

CASE PUD 2025-000064 ENTRY NO. 123 FILED IN OCC COURT CLERK'S OFFICE ON 12/16/2025 - PAGE 2 OF 4

1 Mary Elizabeth Purvis is employed by the Public Utility Division (“PUD”) of the
2 Oklahoma Corporation Commission (“Commission”) as a Programs Manager VI. On
3 September 12, 2025, Public Service Company of Oklahoma (“PSO” or “Company”) filed
4 an Application with the Commission for an order preapproving the acquisition and cost
5 recovery of generation facilities to allow PSO to meet its obligations pursuant to OAC
6 165:35-25-3(e). The new capacity for which preapproval is requested includes two new
7 natural gas combustion turbines, Northeastern Units 5 & 6 (“NE 5 & 6”), three Purchase
8 Sales Agreements for battery energy storage system (“BESS”) facilities, three Purchase
9 Power Agreements (“PPA”), and one Capacity Purchase Agreement (“CPA”). PUD
10 reviewed the Direct Testimony and associated workpapers filed by Company witnesses,
11 issued Data Requests and reviewed the responses, reviewed responses to Data Requests
12 issued by other parties to this Case, and conducted onsite and virtual audit conferences with
13 Company personnel to discuss review areas and review supporting documentation. Ms.
14 Purvis filed Responsive Testimony in Case No. PUD 2025-000064 on December 12, 2025.

15 Ms. Purvis testified that upon conclusion of her analysis in this Case, PUD recommends
16 that the Commission deny PSO’s request for preapproval of NE 5 & 6. However, should
17 the Commission grant the preapproval of the new generation capacity, PUD recommends
18 that for NE 5 & 6 and the BESS facilities, PSO be held accountable for the projections and
19 assumptions used in its analysis and bear the costs of future capital and operation and
20 maintenance (“O&M”) expenses above a capped amount. PSO should also be accountable
21 for all forecasted assumptions related to renewable energy certificates, revenues that result
22 from the off-system sales in the SPP energy market, Investment Tax Credits (“ITCs”),

CASE PUD 2025-000064 ENTRY NO. 123 FILED IN OCC COURT CLERK'S OFFICE ON 12/16/2025 - PAGE 3 OF 4

1 bonus ITCs, and forecasted revenues. PUD is concerned that the cumulative effect of
2 recent and projected rate increases, including the costs from the Green Country generating
3 facility and the anticipated base rate case (PUD2025-000075), imposes an increasingly
4 significant financial burden on PSO customers. Implementing recommended customer
5 protection measures is crucial to address these affordability issues.

6 Ms. Purvis further testified that the Commission should order PSO to develop and have in
7 place a specific Commission-approved tariff or Commission-approved contract option for
8 large load customers that includes accountability and ratepayer protections. Exit fees,
9 financial minimums, minimum load factor ramps, minimum demands, upfront
10 infrastructure payments, grid flexibility, and contract minimums are examples of the type
11 of protections that should be included.

12 Ms. Purvis also testified that the Commission should reject the inclusion of NE 5 & 6 in
13 the Company's Energy Security Rider ("ESR"), disallow recovery through the ESR of all
14 O&M expenses except those related to property taxes, and add additional language for an
15 annual modification to the class production demand allocator and a Construction Work in
16 Progress true-up.

17 Finally, Ms. Purvis testified if the Commission finds that the generation from the PPAs
18 and CPA is needed, PUD recommends that their costs be collected through the Fuel
19 Adjustment Clause.

CASE PUD 2025-000064 ENTRY NO. 123 FILED IN OCC COURT CLERK'S OFFICE ON 12/16/2025 - PAGE 4 OF 4

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OKLAHOMA CORPORATION COMMISSION

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25-3(e)

PUD 2025-000064

SUMMARY OF RESPONSIVE TESTIMONY OF FRANK J. BELING
ON BEHALF OF
GENTNER F. DRUMMOND, OKLAHOMA ATTORNEY GENERAL

Gentner F. Drummond, the Attorney General of Oklahoma, on behalf of the utility customers of this State, hereby submits the Summary of Responsive Testimony of Frank J. Beling in the proceeding referenced above. The Attorney General urges close consideration of the testimony.

Respectfully submitted,

GENTNER F. DRUMMOND
ATTORNEY GENERAL OF OKLAHOMA



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CASE PUD 2025-000064 ENTRY NO. 124 FILED IN OCC COURT CLERK'S OFFICE ON 12/16/2025 - PAGE 2 OF 5

PUD 2025-000064
Summary of Responsive Testimony
of Frank J. Beling

CERTIFICATE OF SERVICE

On this 16th day of December 2025, a true and correct copy of the *Summary of Responsive Testimony of Frank J. Beling on Behalf of Gentner F. Drummond, Oklahoma Attorney General* was sent via electronic mail to the following interested parties:

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Deputy Attorney General

CASE PUD 2025-000064 ENTRY NO. 124 FILED IN OCC COURT CLERK'S OFFICE ON 12/16/2025 - PAGE 3 OF 5

*PUD 2025-000064
Summary of Responsive Testimony
of Frank J. Beling*

**Summary of the Responsive Testimony of Frank J. Beling
on Behalf of Gentner F. Drummond, Oklahoma Attorney General**

Mr. Frank J. Beling submitted pre-filed responsive testimony in the present Case on December 12, 2025. In his testimony, he discussed that a significant portion of the Public Service Company of Oklahoma's ("PSO" or "Company") forecasted need for accredited planning capacity is driven by new large loads, but that the Company also forecasts that it would have a need without new large loads.

Mr. Beling then described the Company's procurement process for new resources. In particular, he discussed how the Company handled Northeastern 5&6 ("NE 5&6") during the competitive bidding process. Mr. Beling noted that NE 5&6 was not bid into the 2023 RFP but was developed and submitted more than twelve months after the RFP due date. As a result of the timing, Mr. Beling testified that NE 5&6 did not fall within the competitive procurement guidelines for a Self-build Proposal; therefore, he recommended that the Commission deny the request for preapproval of that resource.

Next, Mr. Beling summarized how the Company handled BESS projects bid into its 2023 RFP process. Mr. Beling described that the Company disqualified all PPA BESS project bids, despite PPA BESS bids being allowed under and requested in the RFP document. He further noted that the BESS projects requested by the Company in its Application were among the worst-scoring options on its shortlist. Because the PPA BESS projects were not considered and because the requested BESS projects were among the worst scoring options in the Company evaluation, Mr. Beling concluded that the Company did not appropriately consider reasonable alternatives in its selection of those projects. He recommended that the Commission deny preapproval of the BESS projects.

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*PUD 2025-000064
Summary of Responsive Testimony
of Frank J. Beling*

Mr. Beling then addressed that wind resources are not the best type of resource to meet a need for planning capacity, but that wind resources can provide several other benefits to the Company's customers, including low energy cost and risk reduction. He stated that the evaluation criteria should be different when considering wind resources, and that wind resources should be added if they provide net savings to customers. Mr. Beling testified that, based on his alternate economic evaluation, it is forecasted to be highly likely that the requested wind resources will provide net savings to customers. Mr. Beling recommended that the Commission approve the Company's request for wind resources.

Subsequently, Mr. Beling described the Kiamichi CPA requested by the Company and explained that the same bidder also submitted bids for alternate configurations of the Kiamichi CPA that involved different terms and volumes. He summarized that the version of the bid selected by the Company was the worst-scoring version. Mr. Beling further provided an example that in the first contract year, the version of the bid selected had a price more expensive than the best version of the bid. He concluded that although the version the Company selected did score well in the evaluations, the Company should have selected the better-scoring version to reduce customer costs. Mr. Beling later recommended a consumer protection provision under which the Company would guarantee that it would not seek cost recovery for any costs above the cost of the lower-priced version of the bid that the Company did not select.

Later, Mr. Beling summarized the Company's evaluation of the 2023 RFP bids and described the Company's Price and Non-Price scoring framework. He recommended that it was reasonable to consider both Price and Non-Price, but that the Price component of the scoring should be more heavily weighted compared to the Non-Price component. Mr. Beling recommended several adjustments to the weighting factors used by the Company, and he described

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*PUD 2025-000064
Summary of Responsive Testimony
of Frank J. Beling*

the scoring framework I used in my alternative evaluation. Mr. Beling provided a comparison between the results of the Company evaluation to his alternative evaluation.

Next, he recommended several consumer protections for Company customers. Mr. Beling stated that, based on his recommendation to deny the preapproval for NE 5&6 and the BESS projects, no rider was needed for cost recovery. He also discussed several consumer protections if the Commission chose to approve a rider for cost recovery. First, Mr. Beling recommended a cost cap on NE 5&6 at the price of the bid. He also recommended a cost recovery cap on the Kiamichi CPA at the price of the better-scoring version of the bid that the Company did not select. He then made several suggestions regarding handling of CWIP costs if the Commission grants a CWIP rider for NE 5&6. Mr. Beling recommended that CWIP collections be tracked separately for each rate class and trued-up to ensure costs are shared fairly once the units are operational.

In the next section, Mr. Beling discussed the challenges of serving new large loads on the Company's system. He provided an example of how adding a large volume of resources in a short period of time can create upward rate pressure for existing customers and explained that this is not a fair or equitable outcome. Mr. Beling recommended that the Commission require the Company to provide a guarantee that adding resources to serve new large loads would not raise rates on existing customers. He then explained how outdated demand allocation factors can lead to cost shifts between customer classes and why it is important to update the factors frequently, especially during periods of high load growth.

Finally, Mr. Beling reiterated that updating allocation factors does not provide full protection of cost impacts from new large loads to customers. He recommended several consumer protections be put in place to support fair recovery of the Company's costs. Most importantly, Mr. Beling recommended the creation of a new Large Load Tariff.

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BEFORE THE CORPORATION COMMISSION OF THE STATE OF OKLAHOMA

APPLICATION OF PUBLIC SERVICE)
 COMPANY OF OKLAHOMA (PSO) FOR)
 AN ORDER OF THE COMMISSION)
 PREAPPROVING THE ACQUISITION AND) CASE NO. PUD 2025-000064
 COST RECOVERY OF GENERATION)
 FACILITIES TO ALLOW PSO TO MEET ITS)
 OBLIGATIONS PURSUANT TO OAC)
 165:35-25-3(e).)

**SUMMARY OF RESPONSIVE TESTIMONY
 OF ENRIQUE BACALAO ON BEHALF OF AARP**

Enrique Bacalao is the Manager of Bacalao Consulting Services, LLC, a firm specializing in public utility economic and financial consulting services. He received his bachelor's degree (economics) from Columbia University's Columbia College and Master of Business Administration degree (finance) from Columbia University's Graduate School of Business. He received a securities trading license for the United Kingdom from The Securities and Futures Authority on October 31, 1989, and a Certified Rate of Return Analyst ("CRRA") designation from the Society of Utility and Regulatory Analysts ("SURFA"), Certificate No. 93, on June 16, 2008.

As a London-based investment and commercial banker working between 1977 and 1998 with Bank of America, Union Bank of Finland and The Industrial Bank of Japan, he evaluated and justified the financial viability of energy projects, underwritten financings, arranged and syndicated transactions in the public and private capital markets, and advised project sponsors in the United Kingdom and Finland. As the Assistant Treasurer of Alliant Energy Corporation from 1998 to 2013, he was responsible for securing the capital required by the public utility holding company and by its operating subsidiaries, both regulated and unregulated, both those based in the United States and those based overseas, including in Australia, New Zealand, and China. He acted as the subject matter expert on cost of capital and capital structure for internal financial management decisions, for the evaluation and execution of corporate acquisitions and divestitures, and for the provision of expert testimony and for submission of financing applications before federal and state regulatory agencies, including the U.S. Securities and Exchange Commission's Public Utility Holding Companies Act ("PUHCA") Division and Division of Corporation Finance, the Federal Energy Regulatory Commission, and the state public utility regulatory agencies in Iowa, Wisconsin, Minnesota, and Illinois.

As a Staff member of the Public Service Commission of Wisconsin ("PSCW") from 2016 to 2022, he was promoted to Chief Economist based on the work conducted on behalf of the PSCW's Division of Energy Regulation and Analysis. On behalf of the PSCW's Division of Regional Energy Markets, he undertook an ongoing review of transmission planning and transmission cost allocation, working through the Organization of MISO States ("OMS") that represents the regulatory agencies in the Midcontinent Independent System Operator ("MISO")

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discussions regarding its regional wholesale energy market. He was selected to join MISO's Audit Committee by the OMS.

Since leaving the PSCW, he has worked as an independent consultant on behalf of public utility commission staffs, attorney generals' offices, and consumer advocacy groups. He has also served as a presenter at NARUC Staff Subcommittee on Accounting and Finance conferences, at SURFA, to the National Association of State Utility Consumer Advocates ("NASUCA"), and at the Wisconsin Public Utilities Institute ("WPUI"). He has taught graduate financial management courses at the University of Wisconsin and co-authored three professional publications.

Although Mr. Bacalao has not previously testified in Oklahoma, he has sponsored testimony on behalf of Wisconsin Power and Light Company and of Interstate Power and Light Company with the Federal Energy Regulatory Commission, the Public Service Commission of Wisconsin, the Iowa Utilities Commission, the Public Service Commission of Minnesota, and the Illinois Commerce Commission. He has also filed testimony with the PSCW as a member of the Commission's staff in his capacity as its Chief Economist.

Mr. Bacalao testified that PSO is requesting CWIP recovery of the projected construction financing costs. He testified that CWIP is the balance of PSO's investment in a plant project still being built during its projected three-year construction phase, prior to the assets being completed, placed into service, and moved into PSO's fixed assets accounts. CWIP recovery is a specific rate treatment that allows PSO to charge customers for funding these costs *during* construction. This timing change effectively shifts financial risk from PSO to its customers, because customers are required to underwrite PSO for assuming the risk of their investment during the construction phase without appropriate compensation for having to assume that financial risk.

He further testified that AFUDC represents the cost of financing a construction project as that increases during its building phase. It includes the net cost of PSO's borrowed funds and a reasonable return on other funds, such as equity, used to fund the construction costs. PSO is compensated for the funding costs and financial risk of that investment assumed during the construction phase of the project. Rather than allowing recovery of a return during construction, the return is calculated and added to the cost of the project, *i.e.*, *capitalized*, until the project is completed and put into service. That capitalized return is then earned by PSO, along with all other capital costs, through the recovery of depreciation expense over the life of the asset (being the return *of* capital, as opposed to the return *on* capital).

Mr. Bacalao testified that using the CWIP treatment, PSO would recognize the proposed plant as a rate base asset about three years before the plant is completed and operational, and would begin recovering the costs from customers three years earlier than it would under the AFUDC treatment. From a customer's perspective, that would spread the total cost over some 33 years under CWIP, compared to some 30 years under AFUDC.

He testified that PSO attests that CWIP would therefore smooth the cost of recovery over a longer period of time and consequently mitigate the rate shock associated with the incremental cost recovery that would occur when the proposed plant enters into service. Mr. Bacalao disagreed with this assertion, because PSO's assertion looks at nominal dollars that do not take into account

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the time value of money. The capital required to fund the construction is not cost-free, and consequently the timing and the cost of the cash flows required to build the generation project both determine the real value of the dollars required, as any serious financial analysis will confirm.

Mr. Bacalao testified that PSO is using its weighted average cost of capital ("WACC") to compute its CWIP recovery amounts. However, customers' cost of capital is higher than PSO's, and consequently the present value ("PV") of the intended avoidance of a rate shock bump in rate recovered associated with accelerating the financing charges by applying the proposed CWIP treatment diminishes over time. This was illustrated in **Table 1** of his testimony. The speed with which that time value erodes the avoided rate recovery bump proposed by PSO varies with the difference in the cost of capital and the economic life of the asset. In this case, the project is estimated to have a three-year construction period, followed by a three-decade economic life. As discussed in his testimony, the residential customers' cost of capital currently ranges between 9% and 15%, and is arguably higher. On that basis, CWIP ceases to be more attractive after about 5 to 6 years because the PV in current dollars of the total charges to be paid by customers becomes lower under the AFUDC treatment.

Mr. Bacalao testified residential customers' cost of capital is also, in almost all cases, likely to be higher than PSO's WACC, because they are highly unlikely to borrow to pay their CWIP financing cost charges. Even if they borrowed those funds, their marginal cost of debt would exceed PSO's, and, in addition, they might be unable to benefit from the income tax interest rate deduction that PSO is able to apply. These differences in aggregate allows PSO to lower its blended cost of funding compared to that of its residential customers. That also means residential customers are effectively assuming cost of equity level risk without appropriate compensation, and that this difference and its associated risk transfer accrues to PSO's benefit because their effective cost of funding is lower than it is for their residential customers. The net effect is that of lowering PSO's business risk profile at no additional cost to PSO, but at the expense of their residential customers.

In addition, PSO is able to begin to recover costs from residential customers three years earlier than would be the case with the AFUDC treatment. One should recognize the time value impact of the proposed CWIP treatment, as well as the possible incremental risk costs that residential customers might be exposed to because PSO would no longer have the financial incentive to avoid cost and scheduling overruns on the project, and because PSO might gain a financial incentive to add any additional construction costs to its rate base through CWIP, potentially adding rate recovery burdens to its customers by increasing its rate base.

Finally, he testified that the argument offered by PSO also fails to recognize the inter-generational inequity created by divorcing the residential customers' up-front payments from the residential customers' future projected benefits over the next three decades. The residential customers who are paying over the first three years are highly unlikely to be the same set of residential customers benefitting from that payment over the following three decades.

Mr. Bacalao testified PSO's application fails the used and useful test because the pre-approval request asks for the Commission's approval before there is a factual record of actual satisfactory completion and operational performance associated with the generation facilities that are the subject of this proceeding. Until these generation facilities meet the used and useful

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criterion, *i.e.*, that the proposed facilities have been completed and are now generating electricity, the Commission is being asked to base its approval exclusively on PSO's expectations, as opposed to also being based on verifiable established facts. He further testified that ordering residential customers to pay the costs of funding construction before those generation facilities have entered operation shifts the construction phase risks from PSO to its customers, without those customers being compensated for assuming those risks, or even having the opportunity to knowledgeably consider and voluntarily accept the unrewarded imposition of those risks.

Mr. Bacalao testified that residential customers rely on the Commission's judgment to ensure the charges being recovered through their monthly bills are, indeed, reasonable, prudent, and fair expenditures made on their behalf. Residential customers also rely on the Commission's judgment to ensure that any trade-offs that need to be balanced, such as balancing affordability against reliability of service, are based on its consideration of all relevant facts and trade-offs. Asking the Commission to pre-approve major expenditures before those generation facilities are operational means residential customers are deprived of the protections that a fully informed Commission evaluation of that expenditure offers them. The requested Commission pre-approval would be made outside the broader context that a full base rate case provides.

Mr. Bacalao testified PSO's application, that proposes that the cost of construction funding be provided by its customers through CWIP, divorces costs from benefits. First is a timing separation, in that customers are required to pay the costs some time before they begin to accrue any benefits associated with those costs. The magnitude of that timing separation will depend on the actual construction schedule, as opposed to the projected schedule, and that in turn is a function of the specific generation project and a number of important variables that are often beyond the public utility's control or even its ability to completely hedge or mitigate, such as supply chain disruptions and the shortage of experienced labor. Second is a fundamental change in the financial role of the residential customer in relation to the public utility. The conventional role is that of simply being a customer: the public utility provides a service and the customer promptly compensates the public utility for the cost of providing that service, typically through the payment of monthly bills, following a fully litigated base rate case. As a customer, therefore, there is a close timing relationship between costs incurred and benefits received. In stark contrast, PSO is proposing to modify that straightforward customer role in order to transform its residential customers into bankers. In addition to providing funds to cover its *current* expenditures in providing its current electric service, PSO is now asking the Commission to *force* residential customers to fund *future* expenditures PSO plans to make.

Mr. Bacalao testified that divorcing costs from benefits, gives rise to inter-generational inequity. A number of residential customers who may have construction cost charges allocated to them may see insufficient benefits, or even no benefits, by the time those generation facilities become operational some three or more years after Commission approval. A number of future residential customers, on the other hand, may end up being allocated a disproportionately small share of those construction financing costs and accrue a disproportionately large share of the future benefits, spread over three decades or more, by the time those generation facilities become operational. This creates an involuntary transfer of wealth among unrelated parties that cannot be intrinsically justified, and that creates an unnecessary source of social friction.

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Mr. Bacalao testified that two major categories of risks are proposed to be shifted from PSO to its customers: those associated with the generation projects and those associated with PSO. The project-related risks to be assumed include: actual costs exceeding budgeted costs; construction schedule exceeding the budgeted schedule; generation facilities failing to meet technical specifications; contractors or suppliers failing to meet contractual obligations; transmission interconnections not becoming available as planned; licenses and permits not being granted or being withdrawn; and operational or environmental material impediments arising unexpectedly, including weather, governmental, and grid or *force majeure* events. The PSO-related risks to be assumed through the proposed CWIP recovery treatment include: adverse financial developments; adverse operational developments; adverse regulatory developments; and unexpected material exposures arising from contractual or financial defaults associated with the proposed generation projects.

Mr. Bacalao testified it is not justified for residential customers to shoulder these risks because: residential customers are undercompensated for assuming the risks and providing the funding; residential customers are unlikely to be able to match other parties' ability to understand, assume, and hedge these risks, such other parties including the sellers and the new large load industrial customers PSO has been negotiating with; and to the degree that the associated CWIP financing cost recovery leads to increased monthly bills that are less affordable, in turn leading to higher levels of unpaid bills, the shifting of risks will end up being allocated to a diminishing, and increasingly concentrated, pool of residential customers who did not voluntarily accept these increased risks in the first place.

To protect customers from these risks, Mr. Bacalao testified the Commission can reject PSO's pre-approval case and review all the costs and risk associated with these projects in a base rate case. Second, if the Commission does grant pre-approval of any of PSO's requested projects, it can implement strict cost caps to hold PSO accountable for its projections.

Mr. Bacalao testified one can reasonably estimate the financial cost penalty incurred by customers as a consequence of CWIP. In performing this analysis, Mr. Bacalao concluded that, on a nominal basis, under the application's proposed CWIP treatment customers would appear to save approximately \$50,393,770. However, on a real PV basis that takes into account the time value of money, the AFUDC treatment would save customers \$46,181,298.

Mr. Bacalao testified PSO's application undermines the regulatory review process because there is a materially different degree of certainty when a regulatory review is based on facts that can be audited, unlike a regulatory review based, not on factual evidence, but instead exclusively on projections. The range of potential outcomes is far greater in the latter case, making the process of formulating decisions that are viewed as fair, prudent, and justifiable far more difficult, and raising the possibility that Commission decisions might be viewed as being, or even deemed to be, arbitrary and capricious. In addition, he testified that the ability to establish a fair balance among competing priorities is undermined as a result of the added uncertainty. This regulatory objective is better satisfied in the context of a fully litigated base rate case. Trade-off decisions among such considerations as safety, affordability, reliability and resilience, and those required to achieve a fair balance among the competing interests of the various interested parties, would be less sharply

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defined in the instant proceeding, and might consequently require periodic reconsideration and the subsequent amendment of prior decisions and Commission orders.

Mr. Bacalao testified that arguably the residential customer class has fewer resources available to audit and contest PSO's pre-approval proposal. Consequently, residential customers rely more on the Commission and its Staff to conduct a thorough and transparent review. To the degree this type of review is impaired, residential customers lose a degree of protection, of insight, and of the sense of a fair balance being achieved among competing considerations that is expected from a well-functioning regulatory process.

Mr. Bacalao testified that residential customers deserve particular consideration because the responsive testimony filed in January of this year by AARP witness Patrick Sullivan in PSO Case PUD 2025-000057 documented the significant rate increases experienced by residential customers in the past ten (10) years as a result of PSO's preceding seven (7) base rate cases, as well as additional prior non-rate case proceedings, and described the financial stress faced by Oklahoma residential customers, as reflected in economic data sets.¹ PSO confirmed that demand is coming from new large-load industrial customers, as opposed to growing residential customer load.² Yet despite this insight, PSO chooses to allocate a greater proportion of the costs to the residential customers than it does to the remaining retail customer classes, out of keeping with their causing the need for this investment.³

Mr. Bacalao testified that the pre-approval process is less transparent than a base rate case. In a less transparent process, he testified that it becomes likelier that cost and risk allocation might be unreasonably imposed on the residential customer class. Residential customers might conclude that their customer relationship with PSO is being abused, and that these involuntary cost recovery charges are not only unreasonable, they are also the reason why electric service is becoming increasingly unaffordable. In due course, they may come to suspect and object to any investment that increases their monthly bills, even those that have genuine merit and deserve residential customer support. In addition, such an impaired transparency and clarity would undermine the Commission's efforts to strike a fair balance in its decisions among the competing interests affected by its decisions in this proceeding.

Mr. Bacalso indicated that the discount rate applied in PSO's evaluation of its bids is based upon stale financial data. In support he referred to Response No. AARP 1-2. The response confirms that the discount rate applied in PSO's analysis evaluating the bids submitted in response to its RFP was the 6.69% WACC authorized by the Commission in 2023 in Case No. PUD 20222-000093. That renders the discount rate materially stale, given the changes in the financial markets that have subsequently occurred, which he reviewed in his Table 2.

Mr. Bacalao testified that customers are adversely impacted when financial signals are inaccurate, to the degree that financial market conditions have changed and the investment alternatives available to investors have also changed, thus impacting the opportunity cost that determines the PVs of both the costs and the benefits projected to occur in the future. Consequently,

¹ Responsive testimony of Patrick Sullivan, pages 5 - 11.

² Direct testimony of Matthew A. Horeled, page 6, lines 7-11

³ Direct testimony of Rebecca Schwartz, page 3, lines 6-11 and Exhibits RAS-1 and RAS-2

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residential customers are being asked to accept generation facility investments that have been incorrectly evaluated by applying stale discount rates in estimating their net present values (“NPVs”), the net amount between the PV of future costs and the PV of future benefits.

Mr. Bacalao testified a reasonably updated PSO WACC might lie between 6.80% and 7.29%, as summarized in his **Table 3**. He calculated values for a reasonably updated discount rate range between 8.93% and 7.30%. He testified that the difference that makes in the valuation of the self-build generation project ranges between \$13 million and \$43 million in NPV terms, as shown in **Exhibit EB-7** and summarized in **Table 4**. In other words, the generation asset is worth \$13 million to \$43 million less in current NPV dollars than has been presented by PSO.

Mr. Bacalao testified that the discount rate applied in evaluating bid in response to PSO’s RFP did not accurately reflect the business risk profiles of each of the projects being considered. He referred to Response No. AARP 1-2, which indicates that the discount rate applied was based on the authorized weighted average cost of capital for PSO as a company, which is reflective of the combined or blended business risk profiles of its various lines of business as an integrated electric utility company, which include, not just generation, but also transmission, distribution, and sales of electricity, as well as streetlight, installation, and meter reading services. The investments being considered are specifically for generation facilities. Generation operations are generally considered to have a higher business risk profile than distribution and other electric company business operations. So by using an authorized rate of return that reflects PSO’s complete portfolio of business operations, the discount rate is not strictly comparable, and most likely lower, than that of the proposed generation investments, with the effect of overstating the project’s NPV. In addition, there are seven separate investments that fall into three broad categories: self-built generation, power purchase agreements, and capacity contracts. Each of these should be evaluated individually using more strictly comparable individualized discount rates that more accurately reflect each one’s distinct business profile. These individualized discount rates require careful analysis before being estimated. The calculations incorporated into Mr. Bacalao’s testimony, absent such careful analysis, are intending only to illustrate the approximate orders of magnitude, as well as the sensitivity of the valuation analyses resulting from using the wrong discount rates.

Mr. Bacalao testified that if inaccurate discount rates are applied to any financial valuation analysis, the conclusions reached are at risk. If an incorrectly low discount rate is applied, the net present values will be incorrectly high. Conversely, an incorrectly high discount rate will understate the NPVs. Consequently, using PSO’s corporate cost of capital is likely to be lower than the appropriate generation-specific cost of capital, which will overstate the NPVs of the generation projects. In other words, using PSO’s corporate cost of capital is likely to make the generation projects appear less valuable than they will actually be. He then summarized the orders of magnitude of the overstatements in **Exhibit EB-7**.

CONCLUSIONS AND RECOMMENDATIONS

First, Mr. Bacalao recommended that the Commission deny PSO’s request for CWIP recovery and instead allow recovery of construction financing costs through AFUDC.

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Second, he recommended PSO's pre-approval application be rejected, with the instruction that the conventional methodology for funding the construction of generation facilities and for the recovery of associated costs from customers using the AFUDC treatment for those costs be applied to those customers that benefit from the proposed generation investments. Rather than using a Rider, he recommended that the financing cost recovery mechanisms associated with the proposed generation investment program be reviewed and approved in PSO's next rate case.

Third, to the extent the Commission does grant pre-approval of any of PSO's requested projects, he recommended it implement strict cost caps to hold PSO accountable for its projections.

Fourth, he recommended that the Commission consider directing that a new tariff be designed that would apply to a new class of customers characterized by their very large load requirements.

Finally, he recommended that the financial analysis that supports the PSO selection of successful bidders be repeated by replacing the stale 6.69% WACC authorized effective January 1, 2024, with updated individualized discount rates that more accurately reflect the specific business risk profiles of each individual type of generation project, based on updated financial market data that reflects more accurately the opportunity costs faced by the appropriate investors providing the required funding.

CERTIFICATE OF SERVICE

I hereby certify that on the 16th day of December, 2025 a true and correct copy of the above and foregoing was electronically served via the Electronic Case Filing System to those on the Official Electronic Case Filing Service List, to include the following persons:

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Adam J. Singer
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BEFORE THE CORPORATION COMMISSION OF THE STATE OF OKLAHOMA

APPLICATION OF PUBLIC SERVICE	)	
COMPANY OF OKLAHOMA (PSO) FOR	)	
AN ORDER OF THE COMMISSION	)	CASE NO. PUD 2025-000064
PREAPPROVING THE ACQUISITION	)	
AND COST RECOVERY OF GENERATION	)	
FACILITIES TO ALLOW PSO TO MEET	)	
ITS OBLIGATIONS PURSUANT TO OAC	)	
165:35-25-3(e)	)	

SUMMARY OF RESPONSIVE TESTIMONY OF

MARK E. GARRETT

ON BEHALF OF

OKLAHOMA INDUSTRIAL ENERGY CONSUMERS ("OIEC")

December 12, 2025

CASE PUD 2025-000064 ENTRY NO. 126 FILED IN OCC COURT CLERK'S OFFICE ON 12/16/2025 - PAGE 2 OF 6

Introduction. Mark Garrett is the President of Garrett Group Consulting, Inc., a firm specializing in public utility regulation, litigation, and consulting services. Mr. Garrett is appearing on behalf of Oklahoma Industrial Energy Consumers (“OIEC”). OIEC is an association of large energy consumers in Oklahoma, with members that purchase substantial quantities of electric power necessary to their operations. Because OIEC members operate in highly competitive business environments, OIEC advocates that the Commission establish electric rates at the lowest and most reasonable cost. Mr. Garrett addresses PSO’s request for approval to acquire and build new generating facilities pursuant to Oklahoma’s pre-approval statute, including its request for recovery of construction work in progress (“CWIP”) during the construction of the projects, and the use of a rider mechanism for recovery of post-construction costs associated with the projects. In his testimony, Mr. Garrett demonstrates that the Commission should reject PSO’s proposed rider and CWIP costs and that the wind project costs should be allocated on a demand basis.

Project Overview. PSO proposes to add up to 1,299 MW of Southwest Power Pool (SPP) accredited capacity through a portfolio of seven agreements resulting from its 2023 all-source RFP and one self-build natural gas project (the NE 5 & 6 Project).¹ The portfolio consists of three Purchase and Sale Agreements for battery energy storage systems (“BESS”), three wind Purchase Power Agreements (“PPAs”), one Capacity Purchase Agreement (“CPA”), and the self-build NE 5 & 6 gas project.² The total estimated cost of these resources is \$1.255 billion, with an expected annual retail rate impact of \$157.1 million by 2029.³ PSO’s current rate base is approximately \$4.5 billion, meaning the proposed investments would increase rate base by roughly 28%.⁴ PSO seeks preapproval under 17 O.S. § 286(C), as amended by Senate Bill 998 (“S.B. 998”) to recover the costs of the BESS projects and NE 5 & 6 through a newly proposed Energy Security Rider (“ESR”), while recovering wind PPA and CPA costs through the Fuel Cost Adjustment (“FCA”).⁵

PSO’s proposed ESR recovery should be rejected. Mr. Garrett testifies that the Company’s request to implement the ESR should be rejected. His testimony demonstrates the following:

- a. The Company’s justifications for rider recovery are unsubstantiated.
- b. S. B. 998 authorizes rider recovery of CWIP only, it does not authorize PSO’s requested rider recovery of non-CWIP costs after the plant is placed in service.

¹ See Direct Testimony of Matthew Horeled (Horeled Direct), at p. 3.

² See Direct Testimony of Scott T. Bolan (Bolan Direct), at p. 3.

³ See Horeled Direct, at p. 12.

⁴ See Schedule B in PSO’s 2024 rate case application, Case No. PUD 202400086; $(\$1.255B / \$4.5B = 28\%)$.

⁵ See Direct Testimony of Rebecca Schwarz (Schwarz Direct), at p. 4.

- 1
2 c. The ESR, as proposed, contravenes sound ratemaking policy and
3 interferes with the Commission's constitutional duty to set just and
4 reasonable rates.
5
6 d. If the Commission approves any rider recovery in this case, it
7 should also implement important customer safeguards to establish
8 just and reasonable rates. These safeguards include: (1)
9 establishing a load growth rider or load growth regulatory liability
10 to pass on the benefits of load growth between cases to ratepayers;
11 and (2) a reduction of PSO's ROE in its next rate case to reflect
12 the shift of risk from shareholders to ratepayers as result of the
13 elimination of regulatory lag.

14 **The Company's justifications for rider recovery are unsubstantiated.** PSO claims
15 the ESR is necessary for financial stability, rate stability, customer protection, and
16 consistency with precedent. Mr. Garrett addresses each argument:
17

18 **(1) Financial Stability:** The Company presents no evidence that rider
19 recovery is required to avoid economic harm. By contrast, PSO's own forecasts
20 indicate extraordinary growth in sales and profits, driven by load growth. Energy
21 sales are projected to increase by 76% between 2024 and 2030, while net income
22 is projected to grow by more than 120% during the same period.⁶ These projected
23 income increases far exceed the requested ESR collections, demonstrating that
24 there is no financial necessity for rider recovery.
25

26 **(2) Rate Stability:** Spreading ITC benefits through an ESR is not a valid
27 justification for rider recovery once projects are in service. Moreover, the ITCs
28 associated with the wind agreements could be amortized back to ratepayers
29 through the FAC.
30

31 **(3) Customer Protection:** The rider's true-up mechanism offers little
32 protection because it creates the risk of over- or under-recovery in the first place,
33 operates with minimal scrutiny, and does not assess the prudence or
34 reasonableness of costs incurred—protections that only a full rate case provides.
35

36 **(4) Regulatory Precedent:** Rider recovery authorized in the Green
37 Country case does not establish binding precedent, and Senate Bill 998 expressly
38 limits rider recovery to CWIP for gas plants during construction, requiring all
39 post-in-service generation costs to be recovered through a traditional rate case.
40

⁶ See supporting data and calculations provided in *Exhibit MG-2*.

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1 In his testimony, Mr. Garrett demonstrates that rider recovery circumvents the traditional
2 rate case safeguard. Recovering \$1.25 billion of new generation investment outside of a
3 general rate case would bypass the Commission's comprehensive review of prudence,
4 revenues, capital structure, and overall rate impacts. Traditional rate cases exist to
5 prevent piecemeal ratemaking and to ensure that increased costs are evaluated alongside
6 increased revenues — which is particularly important where load growth is generating
7 significant additional profits for the utility.

8
9 **PSO's proposed rider is inconsistent with Title 17 O.S. 286 (C).**

10 As amended by S. B. 998, 17 O.S. § 286(C) authorizes rider recovery only for
11 Construction Work in Progress ("CWIP") costs during construction of new gas
12 generation facilities. The statute does not authorize rider recovery after a plant is placed
13 in service, nor does it authorize rider recovery for BESS facilities once operational.
14 Unlike Subsections A (transmission) and B (environmental), Subsection C does not
15 provide for post-in-service rider recovery. Accordingly, non-CWIP generation costs
16 must continue to be recovered through a general rate case.

17
18 **The proposed ESR rider interferes with sound ratemaking practices.**

19 According to the National Regulatory Research Institute's (NRRI) white paper authored
20 by Ken Costello,⁷ public utility commissions traditionally approve riders only under
21 "extraordinary circumstances." Commissions typically treat riders as exceptions to the
22 rules governing cost recovery and place the burden on a utility to demonstrate why
23 certain costs warrant special treatment. According to the NRRI white paper, the
24 necessary circumstances for rider approval occur when costs are:

- 25 (1) Largely outside the control of the utility;
26 (2) Unpredictable and volatile;
27 (3) Substantial and recurring; **and**
28 (4) Causing severe financial consequences to the company.

29 Riders reduce regulatory lag and, thus, eliminate an important cost-control feature of
30 utility regulation. Therefore, Commissions do not normally approve riders unless all of
31 these four conditions are met. PSO's generation costs here do not meet any of these
32 criteria. The new generation costs are entirely within management's control, as PSO is
33 deciding both the type and timing of the assets it intends to add. Moreover, the costs are
34 not unpredictable and volatile. Instead, management knows precisely what the costs will
35 be and when they will occur, making them both predictable and completely stable.
36 Finally, the costs of the projects are not so high as to cause severe financial harm to the
37 Company, primarily because they can be readily addressed in a general rate case
38 proceeding once the assets are in service. Moreover, as shown in *Exhibit MG-2*, PSO
39 projects a massive increase in net income over the next 6-year period attributable to load
40 growth. These significant projected income increases make rider recovery completely
41 unnecessary.

42

⁷ Costello, Ken, NRRI, "How Should Regulators View Cost Trackers?" published in September 2009.

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1 **If any rider recovery is approved, important customer safeguards must be**
2 **implemented to ensure just and reasonable rates.** CWIP recovery substantially
3 reduces investor risk by eliminating construction, timing, and regulatory lag risks. If
4 CWIP recovery is allowed, the authorized Return on Equity ("ROE") must be reduced to
5 reflect this lower risk profile. If the Commission were to approve the full ESR—
6 including recovery of post-in-service costs—the appropriate ROE would approach the
7 risk-free rate, as investors would bear virtually no regulatory or financial risk.
8 Authorizing a full-risk ROE under a risk-free recovery mechanism would result in unjust
9 and unreasonable rates.

10
11 **Unprecedented growth requires a sharing of both costs and benefits.** PSO's need for
12 new capacity is driven by unprecedented load growth, particularly from data centers.
13 While SB 998 shifts most incremental costs of growth (generation, transmission,
14 environmental, and distribution) to ratepayers between rate cases, PSO proposes to retain
15 all incremental revenues and profits during the same period. This imbalance is
16 fundamentally unfair. If riders are used to shift growth-related costs to customers, the
17 Commission should also implement a revenue growth rider or regulatory liability to shift
18 incremental profits from load growth to ratepayers between rate cases.

19 **Senate Bill 998 raises constitutional concerns and does not authorize broad post-**
20 **construction rider recovery that PSO requests.** Mr. Garrett testifies that mandatory
21 CWIP interferes with the Commission's constitutional duty to ensure just and reasonable
22 rates. The Commission must be able to determine prudence, fairness, and public interest.
23 A statutory mandate that removes this discretion raises serious concerns under the
24 Takings Clause and due process protections, particularly when customers are required to
25 finance facilities that are not yet used and useful and are being built primarily to serve
26 future load. Mr. Garrett recommends that the Commission reject PSO's CWIP request.
27 Mr. Garrett also suggests that the Commission should urge the Legislature (1) to repeal
28 or amend SB 998 to restore Commission discretion, and to require a showing of financial
29 need, and impose time limits on CWIP recovery, and (2) to enact measures that allow
30 large customers to provide a portion of their own generation need, which would take
31 pressure off the utility to build facilities it is not financially equipped to build and
32 remove the unfairness of forcing captive ratepayers to finance facilities built to serve
33 other customers.

34
35 **Wind project costs should be allocated on a demand basis.** Mr. Garrett recommends
36 that all wind PPA and CPA costs be allocated using PSO's last-approved production
37 demand allocator, consistent with Commission precedent. Allocation on an energy basis
38 would render these resources uneconomic for high-load-factor customers.

1 **Recommendations and Conclusion.**

2 Mr. Garrett recommends that the Commission:

- 3 1. Deny ESR rider recovery for CWIP generation costs because the
4 legislature's mandatory CWIP recovery provision enacted in S.B. 998
5 interferes with the Commission's constitutional duty to set just and
6 reasonable rates.
- 7 2. Deny ESR rider recovery for non-CWIP, post construction costs, as rider
8 recovery for these costs is not authorized under S. B. 998, and as such,
9 they should be recovered through a general rate case.
- 10 3. Submit a request to the legislature that it repeal or amend S.B. 998 to
11 restore Commission's discretion and to enact provisions requiring a
12 utility to make a showing of financial need for any rider recovery.
- 13 4. If CWIP recovery is approved, reduce PSO's authorized ROE to reflect
14 the significant reduction in investor risk and increase in ratepayer
15 burden.
- 16 5. Implement a growth rider or regulatory liability in light of the
17 unprecedented growth forecast to return load-growth-related profits to
18 customers between rate cases.
- 19 6. Encourage legislation allowing large customers to self-supply a portion of
20 their generation needs.
- 21 7. Require demand-based allocation of all wind PPA and CPA costs.

22 In conclusion, PSO's requests in this Application would unfairly shift onto current
23 customers all of the burdens of massive new load growth without any of the benefits.
24 The Commission should reject mandatory CWIP recovery in this case, and request that
25 the legislature repeal or amend S.B. 998 because it interferes with the Commission's
26 constitutional duty to set utility rates that are just, reasonable and in the public interest.
27 Moreover, the Commission should reject PSO's request for rider recovery of non-CWIP
28 costs which are not authorized under S.B. 998. Finally, PSO's requested ESR, as
29 proposed, would eliminate regulatory safeguards, shift risks unfairly to customers,
30 overcompensate shareholders, and result in rates that are neither just nor reasonable, it
31 should therefore be rejected by the Commission at this time.

BEFORE THE CORPORATION COMMISSION OF THE STATE OF OKLAHOMA

APPLICATION OF PUBLIC SERVICE	)	
COMPANY OF OKLAHOMA (PSO) FOR	)	
AN ORDER OF THE COMMISSION	)	CASE NO. PUD 2025-000064
PREAPPROVING THE ACQUISITION	)	
AND COST RECOVERY OF GENERATION	)	
FACILITIES TO ALLOW PSO TO MEET	)	
ITS OBLIGATIONS PURSUANT TO OAC	)	
165:35-25-3(e)	)	

SUMMARY OF RESPONSIVE TESTIMONY OF

SCOTT NORWOOD

ON BEHALF OF

OKLAHOMA INDUSTRIAL ENERGY CONSUMERS ("OIEC")

December 12, 2025

CASE PUD 2025-000064 ENTRY NO. 127 FILED IN OCC COURT CLERK'S OFFICE ON 12/16/2025 - PAGE 2 OF 4

1 My name is Scott Norwood. I am an energy consultant and President of Norwood
2 Energy Consulting, L.L.C., which is located in Austin, Texas. I am an electrical engineer
3 with over 40 years of experience in the electric utility industry in the areas of power
4 plant operations, electric resource planning and procurement, and regulatory consulting.
5 I have filed testimony in more than 280 electric utility regulatory proceedings since
6 founding my company in 2004, including cases involving electric restructuring, base
7 rate, fuel recovery, power plant certification and demand-side management matters.

8 I am testifying on behalf of Oklahoma Industrial Energy Consumers ("OIEC").
9 OIEC is an association, consisting of a diverse group of industrial and other large
10 consumers of energy in Oklahoma, which is involved in regulatory and legislative
11 matters primarily involving natural gas and electric power. Electric power costs can
12 constitute a significant percentage of industrial operating costs. Electric power supplies
13 are generally purchased from utilities pursuant to standard tariffs filed at the Oklahoma
14 Corporation Commission ("Commission" or "OCC"). Industries served by PSO often
15 operate in highly competitive business environments and, thus, OIEC is interested in the
16 Commission determining rates for PSO that will achieve reliable power supply at the
17 lowest reasonable cost. To this end, OIEC is interested in ensuring that PSO's request for
18 pre-approval of the acquisition prices and cost recovery mechanisms for the proposed
19 generation and purchased power resources ("Proposed Resources") are reasonable and
20 necessary, beneficial to customers, not unduly risky, and likely to maintain rates at the
21 lowest reasonable level necessary to provide reliable service to customers.

22 I have testified in numerous past base rate and fuel proceedings before the OCC
23 over the last 22 years. In addition to my work in Oklahoma, over the last 30 years I have
24 filed testimony in regulatory proceedings before state commissions in Alaska, Arkansas,
25 Florida, Georgia, Iowa, Illinois, Louisiana, Michigan, Missouri, New Jersey, Ohio,
26 Texas, Virginia, Washington, and Wisconsin. I filed testimony on behalf of OIEC in
27 many past PSO regulatory proceedings. Through this past work, I am familiar with the
28 proposals of PSO to acquire generating facilities and purchased power resources, and
29 various issues related to the forecasted costs, operating performance and risks of
30 ownership of such resources.

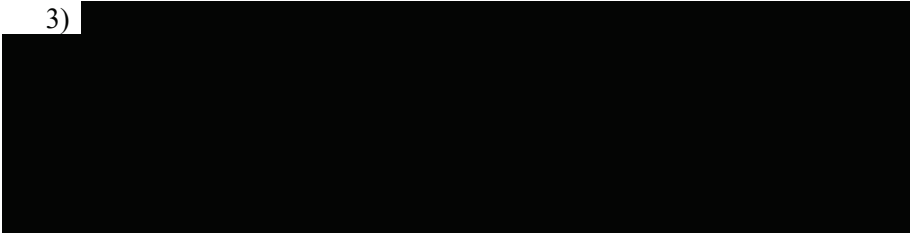
31 The purpose of my testimony is to present my findings and recommendations
32 regarding PSO's request for pre-approval of a portfolio of proposed resources including
33 a Capacity Purchase Agreement ("CPAs") supplied from an existing gas-fired plant,
34 three Purchased Power Agreements ("PPAs") supplied from wind energy resources, and
35 four Purchase and Sale Agreements ("PSA's") supplied from three battery energy
36 storage systems ("BESS") and a natural gas-fired simple cycle combustion turbine
37 generating facility to be located at PSO's existing Northeastern Generating Station site
38 ("the Proposed Resources"). Together PSO's Proposed Resources would provide a
39 combined total of 871 MW of accredited summer capacity for serving a portion of the
40 forecasted capacity requirements of the Company's system over the next four years.

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1 My testimony focuses on the need for and cost-effectiveness of PSO's Proposed
2 Resources. My major findings and recommendations are as follows:

3
4 1) PSO forecasts that it will need approximately 1,776 MW of accredited
5 capacity by 2029 (excluding the Proposed Resources) to meet its system peak
6 demand and reserve margin requirements. This forecasted capacity need is
7 projected to grow to 2,778 MW in 2030 and to 3,124 MW in 2031. The
8 Company attributes the growing need for capacity on its system to a
9 combination of factors, including retirements of existing natural gas-fired
10 generating units, expiration of purchased capacity agreements, changes in the
11 Southwest Power Pool's planning reserve margin policy, and peak demand
12 growth related to new data center ("DC") customers over the next five years.
13 Although there is some uncertainty regarding the forecasted peak demand
14 growth associated with new DC customers, PSO's forecasted capacity needs
15 in 2029 and beyond appear to be sufficient to justify the 863 MW of
16 accredited capacity that would be provided by the Proposed Resources.

17 2) PSO's selection of the Proposed Resources, except for the Northeastern
18 Unit 5 and 6 CTs, resulted from the Company's 2023 All Source Request for
19 Proposals ("2023 RFP"), a bid refresh that was conducted in September of
20 2024, and subsequent negotiations with shortlisted bidders. PSO's 2023 RFP
21 attracted 318 bids and the Company's bidding and bid evaluation processes
22 were subject to oversight by an Independent Evaluator ("IE"), Bates White
23 Economic Consulting, which was retained by the OCC. Bates White prepared
24 a report ("IE Report") that was submitted to the Commission in October of
25 2025, which documented and critiqued PSO's 2023 RFP bid selection process.
26 I generally agree with most of the IE's conclusions, expressed concerns and
27 recommendations regarding PSO's bid evaluations and resource selections.

28 3) 

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35 Notwithstanding my concerns, I recommend that the
36 Commission conditionally grant PSO's request for pre-approval of the
37 Kiamichi 5-year, 150 MW CPA based on the reasonable cost of this proposed
38 resource. However, as a condition for approval of this CPA transaction, and to
39 ensure PSO's customers obtain the lowest available cost resources, I
40 recommend that the Commission require PSO to re-initiate negotiations with
41 Tenaska to acquire any remaining available capacity from the Kiamichi plant
42 or from other suppliers that submitted qualified CPA bids, and which were
43 available for longer periods of time.

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1 4) PSO's selection of the long-term (15-year) PPAs supplied from the
2 [REDACTED]
3 [REDACTED]

4 However, I recommend that the Commission grant conditional pre-approval of
5 these [REDACTED] resources subject to the Company justifying its decision
6 to reject the [REDACTED] that were offered as alternatives to
7 the selected 15-year bids.

8 5) I recommend that the Commission reject PSO's request for approval of
9 the Northeastern Units 1 and 2, Rock Falls and Dover BESS PSAs due to the
10 very high capital cost of the projects, the Company's elimination of all BESS
11 PPA proposals, the risk of cost increases due to schedule delays or factors
12 such as import tariff impacts, and the uncertainty that exists regarding these
13 projects related to the lack of operating history of 6-hour battery projects;

14 6) I recommend that the Commission grant PSO's request for pre-approval
15 of the PSA for the Northeastern Units 5 and 6 gas-fired combustion turbine
16 units, which would have ranked 2nd if it had been included in the Company's
17 final shortlist of 27 bids received in response to the 2023 All-Source RFP.
18 However, I recommend that PSO's customers be protected from paying any
19 additional costs arising from the Rogers County Board of Adjustment denial
20 of PSO's application for a special exemption to its zoning ordinance which
21 could prohibit any additional generating resources from being constructed at
22 the Northeastern Generating Station unless the Company is able to
23 demonstrate that the proposed Northeastern Units 5 and 6 CTs remain as the
24 best available options for customers from a cost and overall basis after related
25 project delay or cancellation costs are considered.
26

27 This concludes the summary of my responsive testimony for this case.
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CONFIDENTIAL

BEFORE THE CORPORATION COMMISSION OF THE STATE OF OKLAHOMA

APPLICATION OF PUBLIC	)	
SERVICE COMPANY OF	)	
OKLAHOMA (PSO) FOR AN ORDER	)	
OF THE COMMISSION	)	
PREAPPROVING THE	)	CASE NO. PUD 2025-000064
ACQUISITION AND COST	)	
RECOVERY OF GENERATION	)	
FACILITIES TO ALLOW PSO TO	)	
MEET ITS OBLIGATIONS	)	
PURSUANT TO OAC 165:35-25-3(e).	)	

REDACTED

SUMMARY OF THE RESPONSIVE TESTIMONY OF
DAVID E. DISMUKES, PH.D.
ON BEHALF OF
THE PETROLEUM ALLIANCE OF OKLAHOMA

December 16, 2025

CASE PUD 2025-000064 ENTRY NO. 128 FILED IN OCC COURT CLERK'S OFFICE ON 12/16/2025 - PAGE 2 OF 5

CONFIDENTIAL

1 Introduction and Overview of the Company Proposal

2 Dr. David E. Dismukes is a Consulting Economist with the Acadian Consulting Group
3 (“ACG”). Dr. Dismukes filed responsive testimony on behalf of The Petroleum Alliance of
4 Oklahoma (“The Petroleum Alliance”) to provide an expert opinion on the request for pre-approval
5 for the acquisition of generation resources filed by the Public Service of Oklahoma (“PSO” or “the
6 Company”), and to comment on various topics related to the PSO request for proposal (“RFP”)
7 bidding and evaluation process, as well as the resources for which the Company is seeking pre-
8 approval.

9 Dr. Dismukes summarized the Company’s pre-approval request for 1,299 megawatts
10 (“MW”) across eight different supply resources including one natural gas combined cycle capacity
11 purchase agreement (“CPA”), three wind power purchase agreements (“PPAs”), three battery
12 energy storage system (“BESS”) purchase and sale agreements (“PSA”), and a self-build natural
13 gas combustion turbine PSA. The company expects strong near-term demand growth, driven
14 almost entirely by commercial and industrial customers, and requires additional capacity to meet
15 these higher demand levels. PSO expects to have a summer capacity deficiency of 1,766 MW by
16 2029.

17 Project Selection Deficiencies

18 Dr. Dismukes argued that PSO selected non-economical BESS projects. He noted that the
19 selected BESS resources cost roughly \$3,192 per kW of accredited capacity, more than twice the
20 cost of the Company’s natural gas self-build option at \$1,237 per kW. Dr. Dismukes explained
21 how this cost disparity is consistent with industry reports showing BESS units as far more
22 expensive than conventional gas technologies.

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1 Dr. Dismukes criticized PSO's RFP scoring methodology, arguing that it places excessive
2 weight on non-price factors. PSO allocates 40 percent of total bid scores based on qualitative or
3 non-price factors which reduced scoring transparency, increased subjectivity, and weakened the
4 role of cost-efficiency in a competitive solicitation. He contrasted this approach with a recent all-
5 source solicitation by Oklahoma Gas and Electric ("OG&E") which limited non-price factors to
6 30 percent, thereby placing greater emphasis on objective, quantitative measures.

7 Dr. Dismukes further contended that PSO's non-price evaluation criteria was not clearly
8 defined and was inconsistent with the Company's stated goal of objectivity when ranking bids. He
9 explained that key scoring categories like the "proposal risk and project quality" category included
10 a broad range of scoring factors without explaining how those factors are quantified or weighted
11 within the scoring category. Dr. Dismukes argued that this lack of specificity provided PSO with
12 substantial discretion to emphasize or discount certain attributes across bids, effectively shaping
13 outcomes while maintaining the appearance of objectivity.

14 Dr. Dismukes also asserted that PSO ultimately disregarded its own scoring results when
15 selecting projects. He pointed to a Texas-based [REDACTED]

16 [REDACTED]

17 [REDACTED]

18 [REDACTED] Despite this superior performance under PSO's stated evaluation criteria, the
19 Company excluded the project solely due to its location, notwithstanding that resources from
20 Texas were explicitly eligible under the RFP, and a penalty for being located outside of Oklahoma
21 was already incorporated into the scoring framework. Dr. Dismukes concluded that bypassing
22 higher-ranked, lower-cost resources in favor of the lower-ranked [REDACTED] undermined the

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1 credibility of the competitive process. He further argued that PSO should have selected more
2 economical resources or deferred a portion of its capacity acquisition to a future RFP cycle.

3 Dr. Dismukes argued that PSO's RFP contains explicit technology bias favoring energy
4 storage resources. He explained that PSO reserved Company-owned land at multiple sites
5 exclusively for BESS projects. Dr. Dismukes argued that this provided a structural advantage to
6 BESS bidders by reducing development risk, site acquisition costs, and interconnection uncertainty
7 for BESS projects relative to competing resource types. He concluded that these preferences are
8 inconsistent with the principles of an all-source solicitation, undermine technology-neutral
9 competition, and distort bid outcomes in a manner that disadvantages non-BESS resources.

10 Dr. Dismukes also testified that PSO failed to account for heightened cybersecurity risks
11 associated with BESS resources in its RFP scoring. He noted that PSO itself acknowledged
12 elevated cybersecurity concerns tied to the communication and control features of certain BESS
13 components. He concluded that PSO's failure to incorporate cybersecurity risk into its qualitative
14 scoring artificially inflated BESS project scores, distorted the comparative evaluation of resources,
15 and disadvantaged non-BESS bidders.

16 Dr. Dismukes stated that PSO's non-price scoring included an economic development
17 component, but the Company did not quantify or differentiate economic leakage, local spending
18 shares, or realistic multiplier effects across technologies. As a result, the scoring system assigned
19 similar economic development value to resources with drastically different local economic
20 impacts, effectively overstating the economic development benefits of technologies like BESS and
21 understating the benefits of thermal generation. Dr. Dismukes argued that this distorted bid
22 scoring and by extension the resource selection process.

23 **Underperformance of Recent Wind Generation Investments**

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1 Dr. Dismukes called attention to PSO’s recent experience with underperforming wind
2 generation investments as evidence of the risks associated with approving new resources with
3 uncertain long-term performance. He cited multiple PSO wind facilities that experienced
4 significant defects, component failures, and blade liberation events within a few years of entering
5 service, resulting in more than \$7 million in direct losses and reduced energy and capacity
6 availability. Referencing litigation filed by American Electric Power (“AEP”) against General
7 Electric (“GE”), Dr. Dismukes emphasized that these failures illustrate how technical and
8 operational risks can materialize early and impose substantial costs on ratepayers. In light of these
9 uncertainties, Dr. Dismukes concluded that the Commission should exercise heightened scrutiny
10 over PSO’s proposed resource selections because the Company is seeking approval of relatively
11 new technologies in the selected BESS resources that carry greater long-term performance and
12 cost uncertainties.

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BEFORE THE CORPORATION COMMISSION OF THE STATE OF OKLAHOMA

APPLICATION OF PUBLIC	)	
SERVICE COMPANY OF	)	
OKLAHOMA (PSO) FOR AN ORDER	)	
OF THE COMMISSION	)	
PREAPPROVING THE	)	CASE NO. PUD 2025-000064
ACQUISITION AND COST	)	
RECOVERY OF GENERATION	)	
FACILITIES TO ALLOW PSO TO	)	
MEET ITS OBLIGATIONS	)	
PURSUANT TO OAC 165:35-25-3(e).	)	

REDACTED

SUMMARY OF THE REBUTTAL TESTIMONY OF
DAVID E. DISMUKES, PH.D.
ON BEHALF OF
THE PETROLEUM ALLIANCE OF OKLAHOMA

January 16, 2026

CASE PUD 2025-000064 ENTRY NO. 146 FILED IN OCC COURT CLERK'S OFFICE ON 01/16/2026 - PAGE 2 OF 4

CONFIDENTIAL

1 Introduction

2 Dr. David E. Dismukes, a Consulting Economist with Acadian Consulting Group
3 (“ACG”), filed rebuttal testimony on behalf of The Petroleum Alliance of Oklahoma (“The
4 Petroleum Alliance”). Dr. Dismukes’ testimony focused on rebutting a claim made by the Public
5 Utility Division (“PUD”) of the Oklahoma Corporation Commission (“Commission”) that the
6 Public Service Company of Oklahoma’s (“PSO” or “the Company”) request for proposal (“RFP”)
7 scoring framework favored natural gas facilities. He also addressed concerns raised by the PUD,
8 Oklahoma Attorney General (“Attorney General”), and AARP regarding the risk that large-load-
9 driven capacity procurements may place on existing ratepayers.

10 RFP Scoring

11 Dr. Dismukes rebutted the PUD’s claim that PSO’s RFP scoring guidelines allegedly
12 favored natural gas resources through higher dispatchability and resource diversity scores, and the
13 failure to examine the effect of changing natural gas prices, rendering the overall scoring outcomes
14 unreliable. He explained that the PUD failed to articulate why the dispatchability and resource
15 diversity scores were inappropriate or unreasonable in a capacity-focused solicitation. Dr.
16 Dismukes noted that the PUD did not propose alternative scoring frameworks or dispute the
17 fundamental system value of dispatchable capacity. He also noted that for the resource diversity
18 score, natural gas resources were assigned the same score as wind facilities and a lower score than
19 solar, undermining the PUD’s claim that this scoring category favored natural gas facilities.
20 Moreover, Dr. Dismukes stated that the PUD’s claim that the Company failed to properly examine
21 the effect of changing natural gas prices is directly contradicted by the Company’s RFP which lists
22 “exposure to potential gas transportation and firm supply costs” as a factor within their non-price
23 scoring framework. Furthermore, [REDACTED]

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1 [REDACTED]
2 [REDACTED]
3 [REDACTED]
4 Dr. Dismukes rebutted the PUD's claim that PSO improperly constrained competition by
5 excluding BESS power purchase agreements ("PPAs") due to cybersecurity concerns, thereby
6 making the NE 5&6 project more competitive. He argued that the PUD failed to provide any
7 supporting evidence on the impact excluding BESS PPAs would have had on the ultimate selection
8 decisions. Dr. Dismukes also pointed out that any reduction in competition within the RFP process
9 affected all bids, not just a single natural gas bid, yet the PUD does not argue that the RFP results
10 as a whole should be rejected on this basis. Moreover, [REDACTED]
11 [REDACTED]
12 [REDACTED]
13 [REDACTED]

14 **Large Load Procurement Risk**

15 Dr. Dismukes also addressed concerns raised by the PUD, the Attorney General, and
16 AARP regarding the risks associated with procuring capacity to serve anticipated large load
17 customers that have not yet executed firm service contracts. He agreed that large-scale capacity
18 procurement undertaken in anticipation of speculative load growth can expose existing ratepayers
19 to risks, including stranded assets, underutilization, and cost overruns. To mitigate these risks, Dr.
20 Dismukes testified that targeted cost-allocation mechanisms such as sleeving arrangements or new
21 large load tariffs could be employed to ensure that financial and performance risks are
22 appropriately assigned to the customers driving the need for new capacity. He stated that such
23 approaches are consistent with cost causation principles and could allow Oklahoma to capture

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- 1 economic development opportunities without shifting undue risk to existing ratepayers. Dr.
- 2 Dismukes recommended that the Commission consider evaluating these mechanisms in a separate
- 3 proceeding, potentially through expedited rulemaking.

BEFORE THE CORPORATION COMMISSION OF THE STATE OF OKLAHOMA

APPLICATION OF PUBLIC SERVICE	)	
COMPANY OF OKLAHOMA (PSO)	)	
FOR AN ORDER OF THE	)	
COMMISSION PREAPPROVING THE	)	CAUSE NO. PUD 2025-000064
ACQUISITION AND COST	)	
RECOVERY OF GENERATION	)	
FACILITIES TO ALLOW PSO TO	)	
MEET ITS OBLIGATIONS PURSUANT	)	
TO OAC 165:35-25-3 (e).	)	

SUMMARY OF THE REBUTTAL TESTIMONY OF

MATTHEW A. HORELED

ON BEHALF OF

PUBLIC SERVICE COMPANY OF OKLAHOMA

JANUARY 2026

CASE PUD 2025-000064 ENTRY NO. 159 FILED IN OCC COURT CLERK'S OFFICE ON 01/16/2026 - PAGE 2 OF 20

1 Mr. Matthew A. Horeled, Vice President of Regulatory and Finance for Public
2 Service Company of Oklahoma (PSO or Company), provided Rebuttal Testimony
3 on behalf of PSO.

4 According to Mr. Horeled, PSO has significant future load growth and
5 needs capacity to meet the obligations of its customers. The parties came to
6 different conclusions regarding how best to meet the future capacity needs of the
7 PSO system. PSO proposed three battery energy storage systems (BESS) projects,
8 a capacity purchase agreement (CPA), three wind purchase power agreements
9 (PPAs), and a self-build gas-fired generation facility to be located at the
10 Northeastern Units plant site. All the proposed resources have support from an
11 intervening party. Mr. Horeled testified that an example of the various positions of
12 the parties was Oklahoma Industrial Energy Consumers (OIEC) witness Norwood
13 recommending that Northeastern Units 5 and 6 (NE 5&6) be approved with some
14 pricing conditions. However, the Public Utility Division (PUD) and the Attorney
15 General (AG) recommended that NE 5&6 not be approved because the project was
16 not part of the Request for Proposal (RFP) competitive bidding process. The other
17 projects received similarly conflicting support/opposition from the intervenors.

18 In response to a question that asked if the fact that NE 5&6 were not part of
19 the RFP a sufficient reason to deny preapproval, Mr. Horeled testified that in his
20 opinion, the recommendations of the AG and PUD advocated form over substance
21 regulation, which is not in the best interest of customers or the Company. The
22 legislature created the benefit of a proceeding where stakeholders could participate
23 in a generation preapproval process. The legislature wisely did not dictate the

1 method to be used to determine if preapproval should be granted. The legislature
2 only requires that reasonable alternatives be examined by the Commission and did
3 not dictate how the reasonable alternatives were to be examined. The legislature
4 did not require form over substance regulation and the Commission should not
5 accept the recommendations of the parties that advocate such regulation.

6 Mr. Horeled further testified that it was in the best interest of both customers
7 and investors for PSO to provide customers sufficient Southwest Power Pool (SPP)
8 accredited capacity at a reasonable market-based cost. It is not in the best interest
9 of customers, or investors, for PSO to have unreasonable levels of capacity at
10 inflated prices that can lead to loss of customers and stranded costs.

11 Mr. Horeled further testified that PSO is the only party in this proceeding
12 that has the obligation to serve the customers located in its service territory. PSO
13 does not take that responsibility lightly, nor does PSO try to “game the system”
14 when planning for the needs of customers. Recommendations to put PSO in an
15 economic straitjacket by capping cost recovery for the life of an asset under the
16 guise of customer protection is reckless regulation that will prevent PSO from
17 moving forward with much needed projects.

18 Mr. Horeled further testified that the issues of large load tariffs and cost
19 allocations can all be addressed in PSO’s recently filed base rate case.¹ PSO has
20 proposed several tariff provisions to be added to the Large Power and Light (LPL)
21 tariff to require loads of 75 MW and above to meet certain financing requirements.
22 According to Mr. Horeled, PSO believes that the safeguards found in the proposed

¹ Case No. PUD 2025-000075.

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- 1 LPL tariffs will address what appears to be a common goal of both PSO and the
- 2 intervenors. That goal is to avoid procuring needless capacity while treating all
- 3 customers fairly.
- 4 The following witnesses provide Rebuttal Testimony on behalf of PSO:

Witness	Rebuttal Summary
Matthew Horeled	Addresses the necessity of the requested resources and cost recovery.
Scott Bolan	Addresses how Company's All-Source RFP considered and evaluated all types of resources equally, the RFP scoring system was comprehensive and appropriate, and contingency adders were applied to all proposals consistently and fairly.
Paul Demmy	Explains PSO has a capacity need for all selected resources, selected BESS's final rank was competitive, the RFP analysis included sufficient sensitivity analysis, the economic score appropriately accounts for the dispatchability and diversity, and the Company's overall RFP scoring and selection was reasonable.
Beth Lozier	Provides BESS O&M update since direct testimony was filed and explains future BESS capital and O&M should not be capped due to risks and factors outside the Company's control.
Michael Dilley	NE 5&6 is a viable project, a cost cap for NE 5&6 is not necessary and imprudent, and projected O&M for NE 5&6 is supported in testimony.
Dr. Shelley Hagerman	Explains lack of project design difference in technology of 6-hour BESS vs 4-hour BESS, significant BESS installation growth, PSO's measures taken to mitigate BESS degradation, and PSO's relevant experience to inform cost projections.

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Rebecca Schwarz	Explains rider-specific allocation mechanisms may appropriately align costs between base rate cases, additional CWIP tracking is unnecessary, ESR true-ups and Commission review provide customer protections, CPAs and PPAs are appropriately allocated, why ITCs should be amortized over the life of the resource, and corrected and updated rate impact analyses.
Bryan Trapp	Addresses ITC transfer discount, amortizing ITCs over the useful life of the asset, and ITC transfer notification.

1 In response to AG witness Beling and PUD witness Givens, Mr. Horeled testified
2 that AG witness Beling states on page seven of his Responsive Testimony,
3 beginning at line one:

4 I note that the Company's submission of NE 5&6 did not fit
5 into the timeline for competitive bidding outlined under
6 utility rules. Given the Company's failure to follow the
7 competitive procurement process, I recommend that the
8 Commission deny preapproval of the NE 5&6 resource.

9 He further testifies at page 48 beginning on line 10:

10 I recommend that the Commission *order the Company to*
11 *strictly adhere to the competitive procurement rules* outlined
12 in subchapter 34 of the Electric Utility Rule and I
13 recommend that the Commission should deny any
14 application that does not strictly adhere to the rules. The
15 Company's recent request for approval of the Green Country
16 generation facility and NE 5&6 in this Application show
17 repeated occurrences of acting outside the competitive
18 bidding process. (*Emphasis Supplied.*)

19 PUD witness Givens argues that the Commission should not compare the
20 NE 5&6 project against bids received in the 2024 (sic) All Source RFP because he
21 assumes there were other bidders with the same project that could not submit bids.²

² Responsive Testimony of PUD witness Givens, P. 14, L. 13 to P. 15, L. 3.

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1 These recommendations are what Mr. Horeled termed form over substance
2 regulation. Because the NE 5&6 project was not part of the formal RFP conducted
3 pursuant to the Commission's competitive bidding rules, witnesses Givens and
4 Beling advocate the Commission ignore the evidence that PSO has presented as to
5 how the NE 5&6 project compares to other proposed projects in the market. There
6 is no statute, rule, or prior Commission order that supports the recommendations
7 made by AG witness Beling and PUD witness Givens. Furthermore, these
8 recommendations threaten the Company's ability to move at the speed of business
9 and meet its obligation to serve.

10 Mr. Horeled testified that as stated in his Direct Testimony, Title 17, Section
11 286(c) requires the Commission to consider reasonable alternatives in making its
12 decision on preapproval. The statute does not require a project to be part of a
13 competitive bidding process. Perhaps the best explanation of this legal concept is
14 found in the recent Commission order³ in what is commonly called the PSO Green
15 Country case.⁴ Although the facts are somewhat different than the current case, the
16 Commission addressed the issue of whether the Green Country generation plant
17 could be compared to bids received in PSO's 2023 RFP (the same RFP as in the
18 current case). Beginning on page eight of the Order there is a discussion of the
19 Competitive Bidding Rules. The Commission found:

20 Nevertheless, the competitive bidding rules are not
21 mandatory, nor do they automatically create a presumption
22 of prudence in cases filed under 286 (c). It does not mean
23 that a utility cannot file an application under Section 286 (c)
24 seeking preapproval of a project just because the project
25 does not comply with the competitive bidding rules.

³ Order No. 749854 dated June 4, 2025.

⁴ PUD 2024-000057.

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1 Mr. Horeled further testified that it appears that AG witness Beling chose to
2 disregard the Commission's Green Country order when he recommended that the
3 Commission "order the company" to strictly follow the Commission's Competitive
4 Bidding Rules.

5 The Commission clearly rejected form over substance regulation in the
6 Green Country case. As stated earlier, neither statute, the Commission's rules, nor
7 prior Commission orders support the concept of ignoring evidence presented by an
8 applicant in a Section 286(c) filing. There is no authority for the concept that a
9 project must be part of a formal RFP to meet the statutory requirement of a project
10 being compared to reasonable alternatives. These are baseless conclusions by AG
11 witness Beling and PUD witness Givens that are contrary to Commission
12 precedent. Mr. Horeled encouraged the Commission to review the substantial
13 evidence presented by PSO pursuant to Section 286(c) and preapprove NE 5&6 as
14 being a prudent investment when compared to the other reasonable alternatives.
15 According to Mr. Horeled, PAO witness Dismukes recommends rejection of
16 preapproval for the BESS projects due to flaws in the bid selection scoring process⁵
17 and because, in his opinion, battery technology is relatively new.⁶

18 Mr. Horeled further testified that PSO witness Bolan addresses the bid
19 scoring process and PSO witness Hagerman addresses the BESS technology issues
20 raised by PAO witness Dismukes. The same bid scoring and selection process that
21 Dr. Dismukes criticizes was considered in the Green Country case. The
22 Commission has also taken into consideration other bid scoring procedures, such

⁵ Responsive Testimony of PAO witness Dismukes, P. 5, L 19-21.

⁶ Responsive Testimony of PAO witness Dismukes, P. 6, L. 15-19.

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1 as those provided by AG witness Beling in both the Green Country case and
2 presumably in this case as well. The Commission should reject PAO witness
3 Dismukes' recommendations. Moreover, PSO witness Hagerman demonstrates that
4 battery technology is decidedly not new or untested, as evidenced by the vast
5 quantity of battery storage online in Texas.

6 Mr. Horeled addressed OIEC witness Garrett who made the following
7 recommendations that are concerning to PSO:

- 8 • That the Commission should deny ESR rider recovery for all generation investment
9 after the assets are placed in service;
- 10 • That the Commission implement a growth rider or a growth regulatory liability
11 account to pass the benefits of load growth between rate cases;
- 12 • That the Commission reduce PSO's allowed Return on Equity (ROE) in PSO's next
13 base rate case;
- 14 • That the Commission reject PSO's construction work in progress (CWIP) request
15 for the reason that it interferes with the Commission's constitutional duty to ensure
16 just and reasonable rates;
- 17 • That the Commission request the legislature to enact legislation to allow large
18 customers to provide a portion of their own generation needs.

19 Mr. Horeled further testified that as in the past, Mr. Garrett praises the
20 impact of regulatory lag and how the lag is fair to both customers and utility in that
21 it allows the utility to enjoy enhanced earnings between base rate cases. He
22 contradicts himself by then advocating for a growth rider to capture any benefits of
23 increased sales between base rate cases. Mr. Garrett once again relies upon the
24 2009 white paper written by Ken Costello as the foundation for his arguments. The
25 current Commission has addressed the issue of the use of riders in prior preapproval
26 cases and the Commission specifically rejected OIEC's arguments in the Green
27 Country case.

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1 According to Mr. Horeled, in PSO's recent Green Country case⁷ the
2 Commission addressed the issue of rider recovery in preapproval cases, as well as
3 Mr. Garrett's claim in that case that rider recovery was contrary to Oklahoma law.
4 The Commission found in their Order:

5 The Commission rejects the parties' arguments regarding
6 PSO's proposed rider because Section 286 (C) specifically
7 requires the Commission to create cost recovery rules and
8 generally contemplates mechanisms such as riders and
9 trackers for affected costs. First, it is simply untrue that
10 approving a rider under Section 286 (C) violates Oklahoma
11 law. (Paragraph 38.)

The Commission went on to make the following finding in Paragraph 41:

12 The Legislature has modified traditional ratemaking
13 principles with respect to needed generation facilities under
14 Section 286 (C). Undoubtedly, the purpose of this
15 modification is to reduce the risk of a regulated utility
16 making financially significant investments that would
17 otherwise impose financial strain on the utility and expose it
18 to the risk of sizeable disallowances after material funds
19 have been expended. It is consistent with such a policy to
20 recognize that rider recovery may be warranted in specific
21 cases brought under Section 286 (C).⁸

22 PSO believes the Commission has interpreted Section 286(c) correctly as to
23 how the use of rider recovery should be applied to utilities making substantial
24 investments in generation facilities to meet the needs of their customers and the
25 State of Oklahoma.

26 Mr. Horeled also testified that Mr. Garrett's recommendation to deny ESR
27 recovery was not consistent with his desire for a growth rider. If his goal is to
28 transfer any upside in revenues due to growth from Company to customer, he is

⁷ PUD 2024-000057.

⁸ Order No. 749854.

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1 contradicting his argument in support of regulatory lag. Neither he, nor any other
2 party, has presented evidence as to what a growth rider might contain and when it
3 should be in place. Therefore, there is no evidence in the record supporting Mr.
4 Garrett's request according to Mr. Garrett.

5 Mr. Horeled disagreed with Mr. Garrett's recommendation that PSO's ROE
6 should be lowered, because the ROE of a utility company is properly considered in
7 a base rate case.

8 Mr. Horeled further testified that in his regulatory experience, Mr. Garrett's
9 recommendation that a state agency disregard a statutory requirement, is unique to
10 say the least. Refusing to follow a statute based upon the constitutional claims of
11 a witness in a Commission proceeding does not seem a prudent course of action. In
12 Mr. Horeled's opinion the statute requiring CWIP for gas-fired generating facilities
13 does result in rates that are fair, just and reasonable for both the customer and the
14 utility.

15 In response to Mr. Garrett's recommendation that the legislature should
16 allow large customers to provide a portion of their generation needs, Mr. Horeled
17 testified that in his opinion, when the legislature amended 17 O.S.151(b), it
18 addressed the issue of a customer being able to provide its own generation. It is his
19 understanding the statute allows any customer the ability to provide their own
20 generated power if the electric service is provided on the premises directly to the
21 facility and the entity uses "a natural gas component in their power generation
22 capacity."

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1 Mr. Horeled did not agree with PUD witness Purvis testimony supporting
2 an annual cost of service be required to adjust the class production demand
3 allocator. In his opinion the use of formula-based rates or the use of future test years
4 would allow a review of the cost of service and would be a better regulatory vehicle
5 for making sure all customer classes were treated fairly. As stated earlier, PSO has
6 recently filed a base rate case. That case includes new generation facilities that are
7 currently not in base rates. The cost allocation issue, and if an annual determination
8 needs to be made, can be addressed in the base rate case.

9 Mr. Horeled did not agree with PUD witness Purvis recommendation to
10 require PSO to guarantee future RECs, ITCs, and other projected benefits. Again,
11 placing 100% of the risk of future government policy changes, as well as other
12 possible changes, on PSO is unreasonable. As part of this case the parties have the
13 opportunity to review how PSO made its projections as to the potential benefits of
14 RECs, off-system sales and ITCs. Mr. Horeled testified that if the Commission finds
15 those projections to be reasonable based upon what PSO, and this Commission,
16 know at the time of the decision, then those projections should be used in
17 determining the value of a project. If not, then the projections should be rejected by
18 the Commission at this time. To require PSO to guarantee the projections is to avoid
19 the responsibility of making a determination now as to the reasonableness of the
20 projections based upon the evidence presented.

21 According to Mr. Horeled, PUD witness Purvis recommends that PSO
22 should not be able to recover capital and O&M costs above an amount set in this
23 case based upon PSO's estimates for NE 5&6 and the BESS projects. In essence,

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1 to guarantee the capital and O&M costs for the decades that make up the life of the
2 projects. PSO cannot move forward if the Commission approves PUD witness
3 Purvis' recommendation.

4 Mr. Horeled further testified that PSO is the only party in this proceeding
5 that is subject to the Commission's rule requiring it to have adequate supplies of
6 capacity to serve the public and maintain its generation capabilities to meet SPP
7 standards. There are many variables that are beyond the control of PSO that can
8 change the cost to operate a generating facility such as natural disasters, changes in
9 governmental policies, or changes in SPP requirements. A utility cannot guarantee
10 the future.

11 The proposed guarantees are not sound regulatory policy because they
12 ignore the role of Chapter 70 base rate cases. PSO has proposed a rider to recover
13 the costs from the time the assets are commercial and providing service until the
14 costs can be included in base rates. The request to fix cost recovery or revenue
15 streams at this time, rather than determining the proper level of O&M and capital
16 in future base rate cases, is unreasonable and certainly unnecessary because any
17 change in rates in the future must be approved by the Commission.

18 Mr. Horeled testified that it would be financially irresponsible for PSO to
19 assume the risk of absorbing costs that the Company could incur due to natural
20 disasters and changes in political goals. A review of O&M and capital investments
21 will be performed in future rate cases and will offer sufficient protection for both
22 customers and PSO.

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1 PUD made a similar recommendation in case PUD 2024-000057. The
2 Commission specifically held “that PSO should be held accountable for its
3 projections in future proceedings” and directed “its staff to monitor Green Country
4 in appropriate cases, including fuel adjustment clause reviews and general rate
5 cases” regarding O&M and capital investments, among other items.⁹ PSO believes
6 the Commission’s directive to its staff in Green Country provides the proper
7 regulatory framework.

8 In response to PUD witness Purvis testimony regarding large load tariffs,
9 Mr. Horeled testified that PSO has proposed changes to its large customer tariffs in
10 PSO’s recently filed Chapter 70 base rate case.¹⁰ Therefore, there is no need for the
11 Commission to order PSO to take action in this case.

12 Mr. Horeled further testified that PUD witness Givens testifies beginning at
13 page 21, line 14, that if the Commission approves NE 5&6 and the BESS projects,
14 that PSO be ordered to include these projects in a depreciation study in its next
15 Chapter 70 base rate case and to include future interim and terminal net salvage in
16 the study. As stated previously, PSO has recently filed a base rate case. The
17 depreciation study prepared by PSO witness Cash is based upon 2024 data. PSO
18 will include NE 5&6 and the BESS projects in its depreciation study that will be a
19 part of the next base rate case filed after the current base case.

20 Mr. Horeled further testified that PUD witness Givens recommending that
21 the Commission ignore evidence based upon form (not being part of the formal
22 RFP) as compared to substance (second ranking as compared to the bids received)

⁹ Order No. 749854, P. 9, Paragraph 34.

¹⁰ Case No. PUD 2025-000075.

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1 ignores the realities of the marketplace. PSO witness Dilley described what events
2 occurred that led to the proposal for NE 5&6 to be withdrawn from the bidding
3 process as a non-conforming bid.¹¹ The Commission is free to give what weight to
4 PSO's evidence they believe is merited. To argue that the evidence should be
5 ignored, rather than considered, is form over substance regulation.

6 According to Mr. Horeled, PUD witness Scalf agrees with PSO's proposal
7 to opt-out of the normalization requirements and PSO's proposed accounting
8 treatment for the ITCs. However, Mr. Scalf also recommends that until the ITCs are
9 sold, the ITCs be amortized over a five-year period through the ESR.¹² Mr. Scalf
10 also recommends that the cash benefits of ITC sales be flowed to customers through
11 the ESR.¹³ PSO witnesses Trapp and Schwarz discuss how the five-year
12 amortization conflicts with customers receiving the cash benefits through the ESR.

13 Mr. Horeled summarized PUD witness Mossburg by stating the he testifies
14 that PSO does not have a need for NE 5&6, that NE 5&6 is not as developed as the
15 short-listed bids, and that NE 5&6 can be bid into the 2026 RFP that PSO has
16 recently had a technical conference.¹⁴ Mr. Mossburg testifies as to what he
17 considers deficiencies in the bid scoring process. Mr. Mossburg also testifies as to
18 how other regulatory bodies have addressed the large load customer issue and
19 suggests the Commission open a docket to consider alternatives. PSO witness
20 Demmy addresses PSO's need for capacity and the reasonableness of PSO's load
21 forecast. PSO witness Dilley addresses the viability of NE 5&6 including the cost.

¹¹ Direct Testimony of PSO witness Dilley, P. 20, L. 8.

¹² Responsive Testimony of PUD witness Scalf, P. 24, L. 7-8.

¹³ Responsive Testimony of PUD witness Scalf, P. 19, L.18.

¹⁴ Technical conference took place December 10, 2025.

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1 PSO witness Bolan addresses PUD witness Mossburg's criticism of the bid scoring
2 process. As stated earlier, PSO has recently filed a base rate case that addresses the
3 large load issue and therefore does not need to be addressed in this case. Mr.
4 Horeled addressed Mr. Mossburg's testimony from a policy perspective.

5 According to Mr. Horeled, PUD witness Mossburg's testimony is more of a
6 "wait and see" strategy that is a luxury those responsible for providing electric
7 service do not have. As stated earlier, PSO has proposed in its recently filed base
8 rate case new requirements in its tariffs for large loads that are meant to treat all
9 customers fairly by requiring financial commitments. Furthermore, PSO only
10 includes a conservative 50% capacity of Letters of Agreement (LOA) and 80%
11 capacity of Contracts for Electric Service (CES) in its economic load forecasting.
12 In Mr. Horeled's experience at PSO, every LOA has become a CES. Although Mr.
13 Mossburg claims that millions of dollars is of little consequence to a business
14 seeking a location,¹⁵ that has not been PSO's experience. PSO cannot ignore
15 customer demand.

16 Mr. Horeled further testified that Mr. Mossburg attempts to ignore the facts
17 in this case by relying on a load forecast provided in June 2025 before this case was
18 filed,¹⁶ and he completely ignores the load forecast provided in the direct testimony
19 of PSO witness Demmy. This is inappropriate, because customer demand has
20 continued to develop in magnitude and certainty since that time.

21 Since Mr. Horeled filed his direct testimony, PSO has signed an additional
22 Letter of Agreement with one potential customer seeking capacity of 1,000 MW.

¹⁵ PUD witness Mossburg Responsive Testimony, P. 15, L. 5-12.

¹⁶ PUD witness Mossburg Responsive Testimony P. 9, L. 14.

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1 There are two customers whose LOAs were included in his direct testimony that
2 have subsequently signed full Contracts for Electric Service and provided financial
3 security. Three more customers have already signed Contracts for Electric Service
4 and are in the process of providing their required financial security. Mr. Mossburg's
5 testimony ignores the timeline on which real customers develop projects and
6 demand electric service. It is important to note that all other parties recognize PSO's
7 need for additional capacity.

8 In response to a question as to why PSO cannot just wait and bid NE 5&6
9 into the upcoming 2026 RFP, Mr. Horeled responded that the simple answer is the
10 timing. The current RFP was issued January 2, 2026, and contemplates an initial
11 state regulatory filing on August 14, 2026. The Commission would have the
12 statutory 240 days to issue an order which would result in an order on or about April
13 12, 2027. NE 5&6 would not be in service until after summer 2029, which would
14 not be soon enough to meet the capacity needs of the PSO system as described by
15 PSO witness Demmy. The "wait and see" approach ignores the increase in cost that
16 would occur due to the delay. The cost of turbines and labor are certainly not
17 predicted to decrease in price over the next several years.

18 Mr. Horeled further testified that on July 21, 2025, FERC approved SPP's
19 Expedited Resource Adequacy Study (ERAS) process, creating a one-time,
20 accelerated pathway for new resources to help meet urgent reliability needs through
21 2030. The ERAS process empowers load responsible entities like PSO to nominate
22 qualified generation projects, such as NE 5&6, for fast-track review, targeting the
23 region's most pressing resource adequacy challenges. SPP estimates it will be ready

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1 to grant generator interconnection agreements to ERAS participants before the end
2 of March 2026. PUD witness Mossburg ignores the ERAS process in his discussion
3 of the maturity of the NE 5&6 project.

4 In response to Mr. Mossburg's testimony regarding various regulatory
5 treatments of large load customers, Mr. Horeled testified that PSO has addressed
6 the issue in the recently filed base rate case of how to treat all customers fairly by
7 requiring financial commitments and a new system contribution charge from large
8 load customers.

9 Mr. Horeled testified that AARP witness Bacalao's responsive testimony on
10 page 10, beginning on line 1, states that Senate Bill 998 requires the Commission
11 to permit a return on CWIP investments for gas generation facilities in a
12 preapproval case and that PSO is taking advantage of the statute. He then
13 recommends the Commission reject "PSO's preapproval proposal"¹⁷ including the
14 CWIP request for Northeastern 5&6. He also recommends using an updated, project
15 specific discount rate and characterizes PSO's weighted average cost of capital used
16 in the financial analysis as "stale".¹⁸ PSO witness Schwarz addresses CWIP
17 recovery and other financial arguments.

18 Mr. Horeled testified that he read Mr. Bacalao's testimony as
19 acknowledging that the requirements of Section 286(c) exist, but he then
20 recommends the Commission not follow the law. His arguments against CWIP,
21 such as it creates an inter-generational inequity,¹⁹ are not relevant to the

¹⁷ AARP witness Bacalao Responsive Testimony, P.13, L. 9.

¹⁸ AARP witness Bacalao Responsive Testimony, P. 25, L. 7.

¹⁹ AARP witness Bacalao Responsive Testimony, P.16, L.16.

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1 requirements found in the statute. Mr. Bacalao's testimony would be of interest and
2 relevant if the Commission was not required by law to allow a return on CWIP. This
3 case is PSO's application filed pursuant to the preapproval statute. As such, Mr.
4 Bacalao's testimony should be largely disregarded according to Mr. Horeled.
5 Mr. Horeled further testified that the Commission has recently rejected AG witness
6 Beling's recommendation that only projects that are formally bid in an RFP
7 pursuant to the Commission's competitive bidding rules may be considered by the
8 Commission.

9 Mr. Horeled testified that Mr. Beling's first recommendation was to order
10 PSO to comply with the Commission's competitive bidding rules. Mr. Horeled
11 addressed that issue earlier. The second recommendation was to place a hard cap
12 for cost recovery of NE 5&6 of \$540 million if the Commission grants preapproval.
13 Mr. Horeled testified that he addressed cost caps in his earlier rebuttal to PUD
14 witness Purvis.

15 According to Mr. Horeled, Kiamichi had more than one bid configuration.
16 Mr. Beling recommends that the Commission only allow cost recovery no greater
17 than the pricing of the first 5 years highest scoring alternative configuration of the
18 bid. That bid alternative is no longer commercially available to PSO. PSO will not
19 finalize the CPA unless full cost recovery of the requested Kiamichi CPA is
20 approved by the Commission. The contract is either in the public interest, and
21 subject to full cost recovery, or it should be rejected by the Commission.

22

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1 In response to a question of Mr. Horeled's understanding to the fuel-related
2 revenue requirement rate impact described in PSO witness Schwarz's testimony,
3 Mr. Horeled testified that an error was found when preparing rebuttal in the
4 calculation of the fuel-related revenue requirement and rate impact. According to
5 Ms. Schwarz, the original calculation used one-twelfth of the monthly Kiamichi
6 CPA contract kilowatts rather than the full contracted amount. Correcting this error
7 increases the estimated customer impact as described in Ms. Schwarz's testimony.
8 According to Mr. Horeled, correcting this error only partially gives a better estimate
9 of projected cost to customers because there are other updates that could be made
10 to better estimate the future rate impacts for customers.

11 The future rate impact on customers is made up of both cost increases from
12 the various generation contracts and projects and the offsets to those cost increases
13 derived from future load growth. Mr. Horeled testified that as would be expected,
14 the current large load/economic development situation has changed since PSO filed
15 this case last September. The pace of that change, or what he sometimes calls the
16 speed of business, is significant. For example, two loads that when fully ramped up
17 will total approximately 1100 MW that were parties to LOA are now parties to CES
18 which require financial commitments.

19 Mr. Horeled testified that the economic development forecast was partially
20 adjusted to include the change from LOA to CES for the two loads mentioned
21 earlier. As shown in Ms. Schwarz Rebuttal Testimony, when accounting for load
22 growth projections and economic development forecasts at the time of the filing,
23 the estimated average retail rate increase in 2029 was originally 6.92%, as

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1 compared to the corrected 7.43%. After incorporating the adjusted load forecast
2 changes, the updated estimated average retail rate increase for 2029 is 6.95%. Mr.
3 Horeled further testified that by the time this case goes to hearing, it is expected
4 that other changes to potential new loads will have occurred that will further reduce
5 the estimated customer impact.

BEFORE THE CORPORATION COMMISSION OF THE STATE OF OKLAHOMA

APPLICATION OF PUBLIC SERVICE	)	
COMPANY OF OKLAHOMA (PSO) FOR	)	
AN ORDER OF THE COMMISSION	)	
PREAPPROVING THE ACQUISITION AND	)	CASE NO. PUD 2025-000064
COST RECOVERY OF GENERATION	)	
FACILITIES TO ALLOW PSO TO MEET	)	
ITS OBLIGATIONS PURSUANT TO OAC	)	
165:35-25-3(e).	)	

SUMMARY OF THE REBUTTAL TESTIMONY OF

SCOTT T. BOLAN

FOR

PUBLIC SERVICE COMPANY OF OKLAHOMA

January 2026

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1 Mr. Bolan is the Director – Regulated Infrastructure Development for American Electric Power
2 Service Corporation. In his Rebuttal Testimony, Mr. Bolan first addressed the claims by Attorney
3 General (AG) witness Beling and Petroleum Alliance of Oklahoma (PAO) witness Dismukes that
4 PSO’s All-Source RFP reflected a bias towards Battery Energy Storage System (BESS) resources.
5 Mr. Bolan stated that the Company’s All-Source RFP considered bids for all resource types on an
6 equal basis. It also reflected the realities of the capacity scarcity situation within the Southwest
7 Power Pool. Inherently the scoring approach rewards resource types that fulfill a growing capacity
8 need, while acknowledging the value of energy.

9 Mr. Bolan then addressed PAO witness Dismukes’ assertion that the RFP is biased towards
10 individual geographic sites being set aside for BESS projects. Mr. Bolan testified that the
11 Company sought to maximize the value of existing assets with its strategy. These opportunities
12 present less development risk as PAO witness Dismukes points out. The fact that BESS was the
13 pre-defined technology for these sites is due to the incremental capacity recognition that BESS
14 provides to the pre-existing sites, Dover, Rock Falls, and Northeastern. BESS resources require a
15 smaller land footprint than other technologies. To refer to these opportunities as creating an unlevel
16 playing field is a misrepresentation. The Company offered the development community a
17 competitive bidding opportunity within an all-source RFP that ultimately selected several different
18 resource types, not just BESS.

19 Mr. Bolan testified regarding the Attorney General’s recommendation for denial of the
20 BESS projects because the Company did not identify a cybersecurity risk at the time of issuance
21 of the RFP. As discussed in Mr. Bolan’s Direct Testimony, the cybersecurity risk associated with
22 BESS resources is related to hacking concerns from foreign entities based on communication
23 capabilities of BESS components sourced from certain manufacturers. The Company became

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1 aware of these risks after the RFP was issued, but before the scoring phase began. As a result of
2 this risk, PSO decided to eliminate BESS PPA proposals from consideration.

3 Mr. Bolan then addressed PAO's claim that by only considering BESS PSA proposals the
4 Company is simply transferring cybersecurity risk as opposed to mitigating risk. Mr. Bolan
5 testified that under a BESS PSA, the Company can manage and significantly reduce the
6 cybersecurity risk as compared to a BESS PPA. Under a PPA, the project owner has control over
7 equipment suppliers used. PSO would have the most incentive and ability to address the risk while
8 undertaking any maintenance or repair work on the BESS resource.

9 Mr. Bolan then responded to PAO's witness Dismukes criticism of the RFP project
10 selection because one of the selected resources ranked 20th on the bid scoring results, and therefore
11 should not have been selected. Mr. Bolan provided a comprehensive response showing that eight
12 projects in the top twenty were selected. However, eleven of the projects in the top twenty
13 represent withdrawn bids, breakdowns in negotiations, and expected cost increases. A summary
14 of the bids that were no longer possible for selection was provided in Table 1 to Mr. Bolan's
15 Rebuttal Testimony, and provided to the parties as part of the Company's response to Data Request
16 OIEC 1-25.

17 Mr. Bolan testified in response to Public Utility Division (PUD) witness Mossburg's claim
18 that the RFP scoring system favored natural gas-fired resources located in Oklahoma. The
19 Company reasonably recognized the value of dispatchability and location in its non-price scoring
20 factors. Considering the existing generation fleet and PSO's responsibility to provide its customers
21 with reliable electric service, it is prudent to reward resources that can meet the real-time customer
22 demand while also being located in close proximity to the load it serves. Northeastern 5 & 6 (NE
23 5&6) provides these advantages as a natural gas facility located within PSO's service territory.

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1 Mr. Bolan also addressed PUD witness Mossburg's criticism of PSO for adding a 10%
2 contingency to all third-party new build proposals when it is "highly likely" that the bidder had
3 already included the contingency. Mr. Bolan testified that including a 10% contingency adder for
4 all third-party RFP bids is a reasonable practice for several reasons. The third-party bidders to the
5 RFP do not typically provide a cost breakdown for their bid, but rather, provide an "all-in" price.
6 It is not readily apparent to PSO whether a contingency has been included, and therefore, as a
7 means of protecting customers from potential understatement of costs, a contingency is added in
8 the evaluation. If a bidder elected to show a reasonable contingency included in its price, an
9 additional contingency would not be included in the evaluation. With regard to the NE 5 & 6
10 evaluation, the self-build team provided a detailed cost breakdown, which included a breakout of
11 contingency estimates. Therefore, an additional contingency was not needed, because the
12 information was known and included.

13 Mr. Bolan next addressed AG witness Beling's alternative non-price scoring analysis. Mr.
14 Bolan testified that AG witness Beling's modifications do create a different shortlist. However,
15 his proposed approach is based on the same categorical framework, but with different weighting.
16 Where the Company sees a growing value in Oklahoma generation and resource dispatch
17 capability, others are more inclined to minimize those benefits. PSO is uniquely positioned to
18 assess the value of those traits as the Company that has provided generation, transmission and
19 distribution services within Oklahoma for decades. Further, PSO finds AG witness Beling's
20 position with regard to weighting of in-state projects to be counter to the position taken by Attorney
21 General Drummond at the time he reviewed PSO draft 2023 RFP. General Drummond's office
22 issued a letter to PSO expressly stating "[t]he Attorney General will not support investment being
23 made out-of-state, without considerable evidence that in-state projects were not feasible. The

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1 economic impact of this investment. . .could be significant. Every effort should be made to support
2 Oklahoma jobs, communities, and schools.”

3 Mr. Bolan responded to PAO witness Dismukes statement that the Company passed on Bid
4 314 solely because it is in Texas. Mr. Bolan stated this was not true. The Company utilizes
5 capacity purchase agreements as a short-term measure, due to their lack of energy. The Company
6 selected an alternative short term capacity bid that was both more economical and located within
7 Oklahoma.

8 Mr. Bolan then addressed PUD witness Mossburg’s claim that PSO should not select NE
9 5&6 because all other projects are in more advanced stages of development, backed by signed
10 contracts, and have been through a full procurement process. Mr. Bolan stated that this nature of
11 progress would be considered on par with the projects that were submitted into the RFP. The
12 Company’s self-development team is negotiating with major equipment providers and conducting
13 competitive selection for vendors. All projects in development would be at a similar point, as
14 developers do not typically obtain project financing until a project is ready to go into construction,
15 which does not happen until a project has regulatory approval. NE 5&6 is utilizing the SPP ERAS
16 program to expedite the interconnection process. These factors combined with PSO’s site control
17 represent a project opportunity with as much certainty as any other offered into the RFP.

18 Mr. Bolan next testified regarding OIEC witness Norwood’s recommendation that the
19 Commission should only approve the 5-year Kiamichi CPA if the Company re-instates
20 negotiations with the seller for more capacity. OIEC witness Norwood does not offer a viable
21 solution with this recommendation. PSO believes it is prudent to execute the 5-year Kiamichi CPA
22 and be able to adapt to changing circumstances and opportunities. Capacity purchases need to be
23 combined with energy-based solutions to best serve PSO’s customers. Suggesting solutions that

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1 only leave the Company exposed to both a growing energy deficit and further price exposure sets
2 the stage for long-term failure. PSO examines the market through all-source RFPs and selects
3 portfolios of diverse solutions that protect against risk.

4 Mr. Bolan responded to OIEC witness Norwood's recommendation that the Commission
5 approve the wind PPAs only if PSO justifies its decision to reject the 20-year PPAs. Mr. Bolan
6 testified that the Company provided justification that the terms of the selected PPAs were
7 reasonable and prudent. Of the three selected wind PPAs, one did not submit a 20-year bid. A
8 second was originally selected for purchase, but after protracted negotiations, the Company
9 determined a 15-year PPA was a better option based on information learned in the due diligence
10 phase. In the case of the third PPA, the 15-year bid scored better than the 20-year bid.

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APPLICATION OF PUBLIC SERVICE	)	
COMPANY OF OKLAHOMA (PSO) FOR	)	
AN ORDER OF THE COMMISSION	)	
PREAPPROVING THE ACQUISITION AND	)	CASE NO. PUD 2025-000064
COST RECOVERY OF GENERATION	)	
FACILITIES TO ALLOW PSO TO MEET	)	
ITS OBLIGATIONS PURSUANT TO OAC	)	
165:35-25-3(e).	)	

SUMMARY OF THE REBUTTAL TESTIMONY OF

PAUL N. DEMMY

FOR

PUBLIC SERVICE COMPANY OF OKLAHOMA

January 2026

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1 Mr. Demmy is the Resource Planning Lead for American Electric Power Corporation. In
2 his Rebuttal Testimony, Mr. Demmy first addressed the concerns of Public Utility Division (PUD)
3 witness Mossberg and Oklahoma Industrial Energy Consumers (OIEC) witness Norwood, who
4 stated PSO does not have a capacity need for all resources in the filing. PUD witness Mossburg
5 relied on an outdated load forecast from a June 2025 presentation that predated the current filing.
6 He compared that outdated forecast to Contracts for Electric Service (CES) identified in the filing
7 and concluded that PSO did not require all of the resources requested for preapproval. Based on
8 this comparison, Mr. Mossburg selected one specific resource, NE 5 & 6, and asserted it was
9 unnecessary.

10 Mr. Demmy testified that the Company does have a need for all of the Proposed Resources,
11 and then some. PUD witness Mossburg's Table 2 incorrectly stated PSO's capacity need is 180
12 MW in year 2030 without new customers and from an outdated load forecast. If PUD witness
13 Mossburg would have used the most recent load forecast provided in discovery, as Attorney
14 General (AG) witness Beling did in Table 1 of his testimony, without new potential customers, the
15 Company would have a need of 514 MW in year 2030 and 814 MW by 2031. Mr. Demmy
16 demonstrated in this testimony that the Company correctly stated its need of 1,131 MW. The
17 correct need of 1,131 MW is greater than the forecasted accredited 863 MW in year 2029 of
18 resources requested for approval in this filing.

19 Mr. Demmy also describes how OIEC witness Norwood testified that PSO's capacity
20 requirement includes a 6% Planning Reserve Margin ("PRM") Risk Adder on top of the SPP's
21 required PRM for all years of its capacity needs forecast. Mr. Norwood is simply incorrect. As
22 stated in Mr. Demmy's direct testimony, PSO did not include a PRM risk adder in its projection
23 of its capacity need in this proceeding.

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1 Mr. Demmy next testified in response to concerns raised regarding the capital cost of the
2 Proposed Resources. Both OIEC witness Norwood and Petroleum Alliance of Oklahoma (PAO)
3 witness Dismukes point out that the proposed BESS resources' high relative capital cost when
4 compared to NE 5&6. However, the economic evaluation of resources is not solely based on capital
5 cost. There are other costs associated with resources, such as operations and maintenance (O&M)
6 costs, fuel costs, and potential tax credits which will vary widely between generation technologies.
7 Resources also have unique economic benefits such as energy, capacity, and potential renewable
8 energy credits. If the Company solely based selection of resource on capital cost alone, it could
9 end up relying only on one technology type, which will result in a lack of resource diversity.

10 Mr. Demmy testified that both OIEC and PAO fail to mention that PSO will receive and
11 pass through to customers Investment Tax Credits (ITCs) which will offset a minimum of 30% of
12 capital cost. Further, the economic dispatch modeling demonstrates that the BESS had a higher
13 capacity factor, at approximately 20%, versus the 11% leveled capacity factor at NE 5&6. This
14 is a meaningful difference in the energy value. BESS also has a high capacity accreditation, which
15 is important given the Company's extremely large and near-term need for capacity, and can be
16 placed in service quickly. The only appropriate way to compare resources is to combine an
17 economic score, which factors in all costs and benefits, with a non-price score, which factors in
18 risks and reliability benefits not accounted for in the economic score, as the Company did.

19 Mr. Demmy also addressed concerns raised about the price contingency adder. PUD
20 witness Mossburg noted a 10% contingency price adder was added to all RFP bids except for the
21 NE 5&6 project. As a result, he states that that project's score was too high relative to the other
22 bids. The Company disagrees with the premise behind Mr. Mossburg's position on this matter.
23 Mr. Demmy provided a calculation which demonstrates that NE 5&6 would still be a very

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1 attractive project even with a 10% additional cost included. This added cost would not have
2 changed the Company's decision to seek approval of the project. It would also not have changed
3 which other shortlisted resources were selected and included in the Company's Application.

4 Mr. Demmy next addressed PUD witness Mossburg's claim that PSO did not examine the
5 effect of changes in natural gas prices on the bid rankings. Mr. Demmy's direct testimony stated
6 that PSO did evaluate different fuel and energy prices using Base, High, and Low fundamental
7 forecasts. The results containing these different price scenarios were sent to PUD witness
8 Mossburg while he was performing his evaluation as the RFP's Independent Monitor.

9 Mr. Demmy also testified regarding PAO's claim that differences between required useful
10 lives somehow creates an inherent bias that favored energy storage. Mr. Demmy disagreed with
11 PAO witness Dismukes' opinion that a 20-year design life on storage creates some inherent bias.
12 Mr. Dismukes offers no evidence of how this biased the selection of resources in favor of BESS.
13 It would take modeling of additional years after year 20 to support this assertion, and Mr. Dismukes
14 has not provided any such analysis.

15 Mr. Demmy testified regarding concerns raised by PUD and the AG over the points
16 assigned to non-prices scores for dispatchability and diversity, where they state it is double
17 counting or bias towards certain technology. Mr. Demmy disagreed with these assertions and
18 pointed out that the reliability value and energy price risk mitigation provided by dispatchable
19 resources is what is not accounted for in the economic score.

20 Next, Mr. Demmy responded to PAO witness Dismukes' claim that non-price scores can
21 lack transparency, leading to bias favoring certain technologies. Mr. Dismukes further claimed
22 that higher cost resources can be selected due to qualitative non-price scores. Mr. Demmy
23 explained that the non-price scores are meant to capture desirable qualities and characteristics of

1 resources. When combining non-price score with an economic score, the most desirable outcome
2 will be achieved. Selecting only the lowest cost resources may leave customers with an undesirable
3 outcome such as being overly reliant on one technology or not having enough dispatchability
4 resources when needed.

5 Mr. Demmy also addressed the claims by AG witness Beling regarding certain assumptions
6 in the Company's RFP scoring analysis, including the number of points assigned to price and non-
7 price factors, and treatment of capacity value, among other items. Mr. Beling prepared an
8 alternative analysis based on his own assumptions. Mr. Demmy provided further evidence
9 supporting the fact that the Company's RFP scoring assumptions and resulting resource selections
10 were reasonable and provide a better recognition of the importance of reliability when making
11 resource selection decisions.

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APPLICATION OF PUBLIC SERVICE)
COMPANY OF OKLAHOMA (PSO) FOR)
AN ORDER OF THE COMMISSION)
PREAPPROVING THE ACQUISITION AND) CASE NO. PUD 2025-000064
COST RECOVERY OF GENERATION)
FACILITIES TO ALLOW PSO TO MEET)
ITS OBLIGATIONS PURSUANT TO OAC)
165:35-25-3(e).)

SUMMARY OF THE REBUTTAL TESTIMONY OF

BETH E. LOZIER

FOR

PUBLIC SERVICE COMPANY OF OKLAHOMA

January 2026

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1 Ms. Beth E. Lozier, employed by AEPSC, a wholly owned subsidiary of AEP,
2 as Project Director, testified on behalf of Public Service Company of Oklahoma
3 (“PSO” or “Company”).

4 In her rebuttal testimony, she rebutted positions taken by:

- 5 • PUD witness Givens, who states that there is “confusion in the record”
6 regarding the O&M activities that will occur at the BESS facilities. She
7 explains that there is no confusion in the record, but rather an update since the
8 time that her direct testimony was filed.
- 9 • PUD witness Purvis, who proposes that the capital and O&M budgets should
10 be capped. She explains that there are factors outside of the Company’s control
11 that can affect the capital and O&M budgets. She also explains the types of
12 costs that are included in BESS O&M, as well as potential risks to the
13 generation assets if the Company does not perform the necessary maintenance
14 activities.

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BEFORE THE CORPORATION COMMISSION OF THE STATE OF OKLAHOMA

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COMPANY OF OKLAHOMA (PSO) FOR	)	
AN ORDER OF THE COMMISSION	)	
PREAPPROVING THE ACQUISITION AND	)	CASE NO. PUD 2025-000064
COST RECOVERY OF GENERATION	)	
FACILITIES TO ALLOW PSO TO MEET	)	
ITS OBLIGATIONS PURSUANT TO OAC	)	
165:35-25-3(e).	)	

SUMMARY OF THE REBUTTAL TESTIMONY OF
DR. SHELLY C. HAGERMAN
FOR
PUBLIC SERVICE COMPANY OF OKLAHOMA

January 2026

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1 Dr. Shelly Hagerman, Director of Distributed Energy Resources Orchestration (DERO)
2 for American Electric Power Service Corporation (AEPSC), testified on behalf of
3 Public Service Company of Oklahoma (PSO or the Company).

4 Her rebuttal testimony demonstrated that the positions of Witness Norwood and
5 Witness Dismukes that Battery Energy Storage System (BESS) is an unproven
6 technology and lacks operating history were not sufficiently justified to merit denial
7 of the proposed BESS projects for the key reasons:

- 8 1. The technology in the 6-hour BESS project designs are not different from the
9 commonly deployed in 4-hour BESS installations.
- 10 2. Significant growth in BESS installations in ERCOT as well as a substantial
11 pipeline of BESS in SPP's interconnection queue indicate a maturing
12 technology and investor confidence.
- 13 3. PSO has taken multiple measures to mitigate financial impacts and risks of
14 degradation beyond projection and to achieve the projected useful life.
- 15 4. PSO has relevant operational and maintenance experience to inform cost
16 projections.

17 Finally, her rebuttal testimony also explained why Witness Dismukes' reference to a
18 FERC waiver sought by AEP is both wrong and irrelevant to PSO's petition for
19 approval for the BESS projects to meet its capacity needs.

BEFORE THE CORPORATION COMMISSION OF THE STATE OF OKLAHOMA

APPLICATION OF PUBLIC SERVICE	)	
COMPANY OF OKLAHOMA (PSO) FOR	)	
AN ORDER OF THE COMMISSION	)	
PREAPPROVING THE ACQUISITION	)	CASE NO. PUD 2025-000064
AND COST RECOVERY OF	)	
GENERATION FACILITIES TO ALLOW	)	
PSO TO MEET ITS OBLIGATIONS	)	
PURSUANT TO OAC 165:35-25-3(e).	)	

SUMMARY OF THE REBUTTAL TESTIMONY OF

REBECCA A. SCHWARZ

ON BEHALF OF

PUBLIC SERVICE COMPANY OF OKLAHOMA

January 2026

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1 Rebecca A. Schwarz, Director, Regulatory Pricing and Analysis in the
2 Regulatory Services Department for American Electric Power Service Corporation
3 (AEPSC), filed Rebuttal Testimony in this case on behalf of Public Service Company
4 of Oklahoma (PSO or the Company).

5 Mr. Schwarz's noted the Attorney General (AG) and the Public Utility Division
6 (PUD) asserted in responsive testimony that PSO should recalculate class demand
7 allocation factors more frequently than during general rate cases because new
8 generation facilities are being driven by large-load growth, and that failure to do so
9 may result in cost shirting between customer classes.ⁱ

10 Ms. Schwarz responded, testifying that it is reasonable to suggest that more
11 frequent recalculation of class demand allocation factors could better reflect evolving
12 load characteristics, particularly during periods of significant large-load growth and for
13 riders recovering incremental infrastructure costs associated with the Company's
14 expanding system. In theory, more frequent updates could reduce the potential for
15 allocation factors to lag underlying system changes.

16 Ms. Schwarz noted that the AG suggested in responsive testimony that
17 reallocating costs associated with new generation resources through riders would
18 prevent cost shifting between customer classes.ⁱⁱ Ms. Schwarz testified in response that,
19 yes, it may help prevent cost shifting. Ms. Schwarz testified that reflecting updated
20 class allocation factors in the proposed rider to recover the costs of new generation
21 resources can be an effective tool to align cost recovery with evolving system
22 conditions between base rate cases. When new system investments are driven by
23 discrete changes—such as significant large-load growth—a rider-specific allocation

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1 can more directly align those incremental costs to the customer classes contributing to
2 the need for the resource. In that sense, rider-based allocation can serve as a targeted
3 mechanism to address incremental cost causation when changes occur rapidly or
4 outside the normal base case cycle.

5 Ms. Schwarz noted that the AG and PUD propose that PSO track return on
6 CWIP by customer class and later true up those amounts when facilities are placed in
7 service asserting this would better align recovery with allowance for funds used during
8 construction.ⁱⁱⁱ Ms. Schwarz testified that she disagreed with this recommendation for
9 multiple reasons. Ms. Schwarz testified that the proposal to track CWIP return by
10 customer class and later true up those amounts is inconsistent with how riders and true-
11 up mechanisms are applied in practice. Riders are designed to recover costs at the
12 system level, using allocation factors approved in the most recent cost-of-service study.
13 When a true-up occurs, it reconciles total dollars collected versus actual costs incurred,
14 not class-specific balances. Class-level responsibility is determined in a base rate case
15 or through dynamic updates to class allocators in rider updates. Furthermore, the
16 Company has made a proposal in its recent base case filing (PUD 2025-000075) that
17 addresses the AG's and PUD's concern in this regard. Company witness Vaughan in
18 that case has proposed a system contribution charge that would apply to new large load
19 customers during the period between when they sign their contracts for electric service
20 and when they begin taking service from the Company. The proposed charge is meant
21 to address this very issue. If approved in that case, the system contribution charge, and
22 its ultimate inclusion in the Company's revenue requirement, would make the AG's and
23 PUD's concern in this area in this case moot.

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1 Ms. Schwarz testified that she did not agree with OIEC's argument that the ESR
2 does not provide meaningful customer protections.^{iv} Ms. Schwarz testified the annual
3 true-up mechanism provides real customer protection by ensuring customers pay no
4 more than actual, prudently incurred costs. Over-recoveries are refunded and under-
5 recoveries deferred, preventing large imbalances that could otherwise accumulate until
6 a future rate case. Rider filings are subject to Commission review. This process offers
7 ongoing oversight, not "minimal scrutiny", and complements the comprehensive
8 review that occurs in a base rate case.

9 Ms. Schwarz further testified that she did not agree with OIEC's
10 recommendation that CPA and PPA costs should both be allocated on a demand basis.¹
11 Ms. Schwarz testified that CPA costs are appropriately allocated on a demand basis
12 because they secure firm capacity to meet peak demand and ensure reliability.
13 Renewable PPA costs, however, are energy-related and have consistently been treated
14 in Oklahoma as fuel-type costs recovered through the Fuel Cost Adjustment (FCA) on
15 a kilowatt-hour basis.

16 Ms. Schwarz testified that the Oklahoma Corporation Commission has directly
17 addressed this issue. In Cause No. PUD 2009-00031, involving PSO's Blue Canyon
18 wind PPAs, the Commission rejected the OIEC's recommendation to allocate costs on
19 a demand basis and instead classified the contracts as energy contracts. In adopting the
20 Administrative Law Judge's findings, the Commission held:

21 "Wind contracts are energy contracts and should therefore be
22 allocated to customers by use of an energy allocator and recovered
23 through the fuel adjustment clause as purchased power."

¹ Garrett, pp. 19-0.

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1 Accordingly, allocating renewable PPA costs on a demand basis would be
2 inconsistent with established Commission precedent and would shift costs onto lower
3 –load factor customers.

4 Ms. Schwarz disagreed with the suggestion of OIEC that the Company solely
5 relied on the Green Country Case to justify its request for the ESR. Ms. Schwarz
6 testified that while the Green Country case demonstrates that the Commission has
7 approved riders for significant generation investments, the Company’s justification for
8 the ESR is based on established history of Commission resource approvals, including
9 the Renewable Resources Rider (RRR) in Cause No. PUD 2022-000121. These riders
10 share the same core purpose: timely cost recovery, while providing meaningful
11 customer protections through annual true-ups and Commission oversight, and also
12 smoothing rate impacts by avoiding the need to defer recovery until the next base rate
13 case—a delay that would compound carrying costs and result in a larger rate increase
14 that customers ultimately bear. Green Country is one example, not the sole basis for the
15 ESR proposal.

16 Ms. Schwarz testified that she does not agree with PUD witness Givens
17 recommendation to exclude O&M costs (excluding property tax) from the ESR.^v Ms.
18 Schwarz testified the ESR is intended to recover incremental, project-specific O&M
19 directly tied to the new facilities, such as plant-level labor, vendor contracts, and site
20 maintenance. PSO’s approved RRR and DRR riders include non-fuel O&M as part of
21 the revenue requirement until assets move into base rates. Excluding these costs would
22 cause under-recovery.

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1 Ms. Schwarz testified that she did not agree with PUD's recommendation to
2 levelized ITC benefits over a five year period until the ITC is sold rather than over the
3 life of the resource.^{vi} Ms. Schwarz testified that while PUD's recommendation is
4 intended to accelerate customer benefit, it creates significant volatility after the initial
5 five-year period. Once ITC benefits expire, customers would face a steep increase in
6 the cost-of-service of the underlying asset which would undermine rate stability. In
7 contrast, allocating benefits over the useful life of the resource provides a smoother rate
8 trajectory and passes the tax credit benefits back to customers ratably over the life,
9 aligning with principles of gradualism.

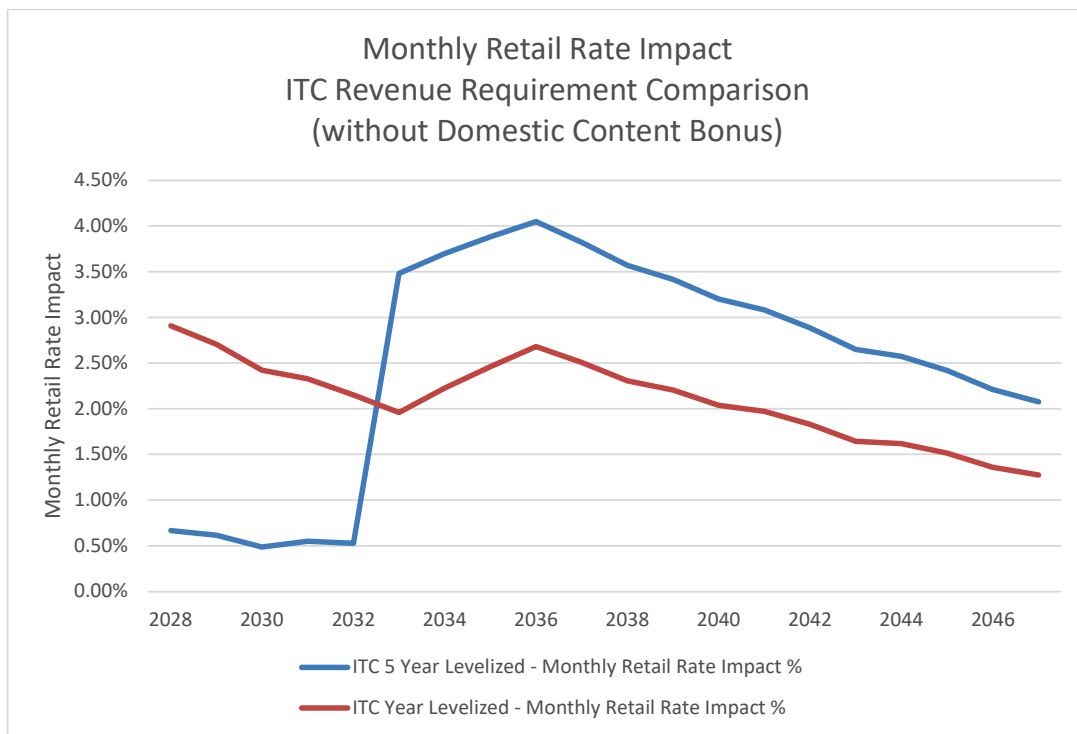
10 Ms. Schwarz testified that PUD incorrectly assumes that a shorter amortization
11 period is needed to protect customers if PSO opts out of normalization and monetizes
12 the ITCs. When the ITC is monetized, PSO will reduce rate base by the unamortized
13 ITC balance. This reduction gives customers the benefit of a lower rate base, which
14 means they benefit from lower carrying costs regardless of the amortization period.
15 Using a lifetime amortization simply spreads the ITC benefit evenly over the project's
16 operating life, rather than front-loading the credit and then causing customer rates to
17 rise once the shorter amortization period ends.

18 Ms. Schwarz provided testimony concerning the impact on monthly retail rates
19 when comparing the five-year amortization to ratably amortizing the ITC over the
20 resources life. Ms. Schwarz testified that as shown in Figure 1, the five-year
21 amortization results in significant volatility in percentage impacts for all customers,
22 whereas the lifetime ratable amortization approach provides a much smoother
23 trajectory. During the first five years, the five-year method averages only 0.57%,

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1 creating the appearance of short-term savings. However, once ITC benefits expire, the
 2 year six rate impact jumps to 3.48%, leading to a more significant increase in residential
 3 customer rates. In contrast, the ratable amortization of the ITC over the resources'
 4 useful life maintains a consistent and gradual pattern, averaging 1.97% over the entire
 5 period, with only modest year-to-year variation. This stability better aligns with
 6 principles of gradualism and stability of rates.

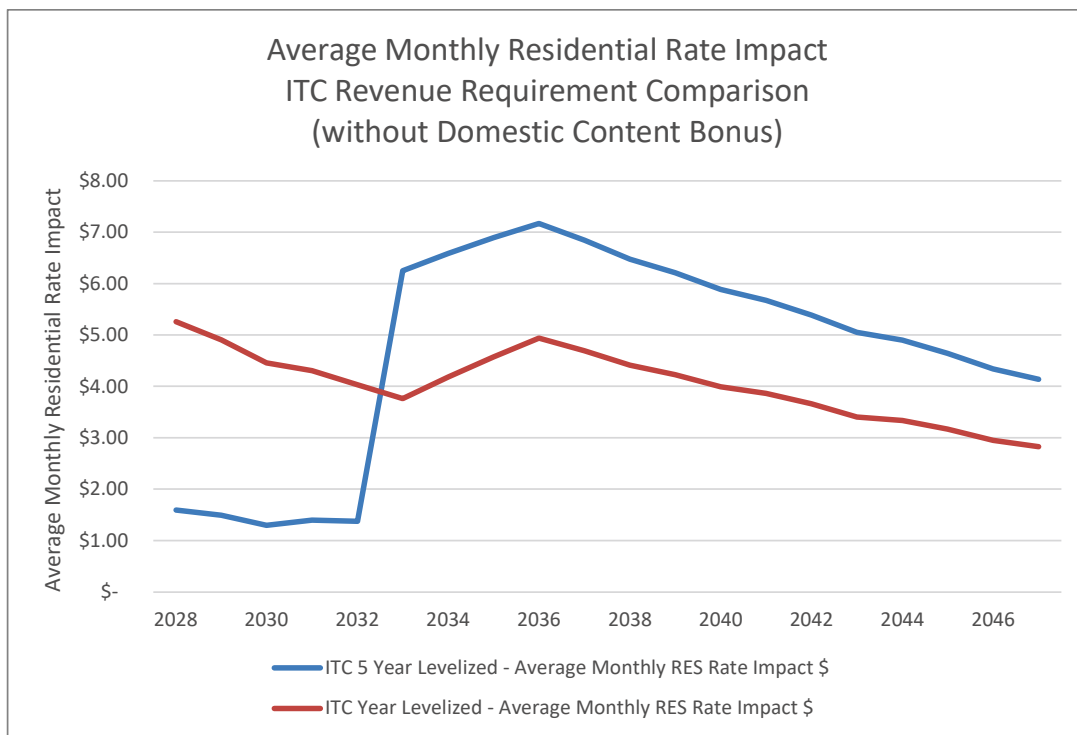
RAS Figure 1



7 Ms. Schwarz provided testimony as to how the residential rate impacts differ under the
 8 five-year amortization compared to ratably amortizing the ITC over the resources' life. As
 9 shown in Figure 2, the five-year amortization creates a pronounced swing in monthly

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1 residential bills compared to the amortization of the ITC over the resources' useful life
 2 approach. During the first five years, customers pay an average of only \$1.43 per month. Once
 3 ITC benefits expire, the monthly rate impact increases substantially to \$6.25 per month in year
 4 six, peaking above \$7.00 per month before gradually declining. This represents more than a
 5 fourfold increase after the initial benefit period ends, exposing customers to significant rate
 6 volatility. In contrast, ratably amortizing the ITC over the resources' useful life maintains a
 7 steady and predictable pattern, averaging \$4.05 per month across the entire period, with only
 8 modest variation year to year. This stability avoids the extreme swings inherent in the five-year
 9 method and better aligns with principles of gradualism and affordability for customers.

RAS Figure 2

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1 Ms. Schwarz testified that during preparation of rebuttal testimony, the
2 Company identified an error in the calculation for the Kiamichi CPA used to produce
3 the fuel-related revenue requirement and rate impact. Specifically, the Company
4 mistakenly used one-twelfth of the monthly contract kilowatts instead of the full
5 contracted amount. As a result, the amount originally reported was only one-twelfth of
6 the actual contracted value.

7 Ms. Schwarz testified that this correction changed the estimated total company
8 residential and retail rate impacts for the selected facilities. As described in more detail
9 below, correcting the error in the Kiamichi CPA calculation increases the fuel-related
10 revenue requirement and associated rate impacts. The original calculation understated
11 the contracted capacity by using only one-twelfth of the monthly contract kilowatts
12 instead of the full amount. A detailed breakdown of the corrected revenue requirement
13 and rate impacts can be found in Exhibits RAS-1R and RAS-2R.

14 Ms. Schwarz testified that the Company developed an updated rate impact to
15 account for changes in the economic development large load forecast. Ms. Schwarz
16 testified since the initial filing, updates to large-load customer contract commitments
17 have led to a higher economic development load forecast, as discussed in Company
18 witness Horeled's rebuttal testimony. To incorporate these changes, the Company has
19 prepared an updated rate impact analysis based on the revised forecast, as detailed
20 below. A detailed breakdown of the updated rate impacts is provided in Exhibits RAS-
21 3 (excluding the domestic content bonus ITC) and RAS-3DC (including the domestic
22 content bonus ITC).

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1 Ms. Schwarz testified that Figure 4 provides the corrected estimated total
 2 Company net rate impacts, with the original as-filed figures shown in Figure 3. The
 3 updated forecast reflects a forecasted total Company net revenue requirement of
 4 approximately \$169.1 million in 2029 (previously \$157.2 million). Of this amount,
 5 approximately \$169.0 million is attributable to the PSO retail jurisdiction (updated
 6 from \$157.1 million). This corresponds to a 9.19% increase in the total bill for retail
 7 customers (updated from 8.54%). When accounting for load growth projections and
 8 economic development forecasts at the time of the filing, the estimated average retail
 9 rate increase in 2029 is 6.69% (updated from 6.22%). After incorporating the revised
 10 load forecast changes, the estimated average retail rate increase for 2029 is 6.28%.

RAS Figure 3: (As Filed)

Year	Total Fuel and Non-Fuel Retail Rate Impact (Million \$)	Average Retail Rate Impact – Current Revenues (%)	Average Retail Rate Impact – with Forecasted Economic Development & Load Growth (%)
2026	\$15,175,299	0.83%	0.83%
2027	\$30,110,670	1.64 %	1.55%
2028	\$102,739,679	5.59%	4.90%
2029	\$157,121,954	8.54%	6.22%

CASE PUD 2025-000064 ENTRY NO. 165 FILED IN OCC COURT CLERK'S OFFICE ON 01/16/2026 - PAGE 11 OF 13**RAS Figure 4: (Corrected and Updated)**

Year	Total Fuel and Non-Fuel Retail Rate Impact (Million \$)	Average Retail Rate Impact (%)		
		Current Revenues	Forecasted Economic Development & Load Growth	Forecasted Economic Development & Load Growth (Updated)
2026	\$15,783,299	0.86%	0.86%	0.86%
2027	\$36,719,917	2.00%	1.89%	1.89%
2028	\$114,271,847	6.21%	5.45%	5.23%
2029	\$169,000,458	9.19%	6.69%	6.28%

1 Ms. Schwarz further testified that Figure 6 provides the corrected estimated net
2 rate impact for a typical residential customer consuming 1,100 kWh per month, with
3 the original as-filed figures shown in Figure 5. In 2029, once all facilities are
4 operational, the forecasted impact reflects a net increase of \$15.39 per month
5 (previously \$14.33), representing a 10.30% increase in the total monthly bill
6 (previously 9.59%). This estimate incorporates the combined effects of the selected
7 facilities. When factoring in load growth estimates and economic development
8 forecasts at the time of the filing, the total estimated typical residential customer bill is
9 forecasted to increase by \$11.10 per month (previously \$10.34), representing a 7.43%
10 increase (previously 6.92%). After incorporating the revised load forecast changes, the
11 estimated typical residential customer bill is forecasted to increase by \$10.38 per
12 month, representing a 6.95% increase.

CASE PUD 2025-000064 ENTRY NO. 165 FILED IN OCC COURT CLERK'S OFFICE ON 01/16/2026 - PAGE 12 OF 13**RAS Figure 5: (As Filed)**

Year	Typical Residential Rate Impact (%)	
	Current Revenues	Forecasted Economic Development & Load Growth
2026	0.76%	0.76%
2027	1.64%	1.54%
2028	6.32%	5.61%
2029	9.59%	6.92%

RAS Figure 6: (Corrected and Updated)

Year	Typical Residential Rate Impact (%)		
	Current Revenues	Forecasted Economic Development & Load Growth (Corrected)	Forecasted Economic Development & Load Growth (Updated)
2026	0.80%	0.80%	0.80%
2027	2.03%	1.92%	1.91%
2028	7.01%	6.22%	5.98%
2029	10.30%	7.43%	6.95%

CASE PUD 2025-000064 ENTRY NO. 165 FILED IN OCC COURT CLERK'S OFFICE ON 01/16/2026 - PAGE 13 OF 13**RAS Figure 7: (Corrected and Updated)**

Year	Typical Residential Average Monthly Bill (\$)		
	Current Revenues	Forecasted Economic Development & Load Growth (Corrected)	Forecasted Economic Development & Load Growth (Updated)
2026	\$1.19	\$1.19	\$1.19
2027	\$3.03	\$2.86	\$2.86
2028	\$10.47	\$9.29	\$8.94
2029	\$15.39	\$11.10	\$10.38

ⁱ Responsive Testimony of Beling, pp. 10–12 and Responsive Testimony of Purvis, p. 23.

ⁱⁱ Responsive Testimony of Beling, pp. 51–52.

ⁱⁱⁱ Responsive Testimony of Beling, pp. 13–14 and Responsive Testimony of Purvis p. 24.

^{iv} Garrett, p. 11 and pp. 24-25.

^v Givens, pp. 20-21.

^{vi} Scalf, p. 24.

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BEFORE THE CORPORATION COMMISSION OF THE STATE OF OKLAHOMA

APPLICATION OF PUBLIC SERVICE)
COMPANY OF OKLAHOMA (PSO) FOR)
AN ORDER OF THE COMMISSION)
PREAPPROVING THE ACQUISITION AND) CASE NO. PUD 2025-000064
COST RECOVERY OF GENERATION)
FACILITIES TO ALLOW PSO TO MEET ITS)
OBLIGATIONS PURSUANT TO OAC)
165:35-25-3(e).)

SUMMARY OF THE REBUTTAL TESTIMONY OF

BRYAN A. TRAPP

ON BEHALF OF

PUBLIC SERVICE COMPANY OF OKLAHOMA

January 2026

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1 Mr. Bryan A. Trapp, Director of Tax Planning & Operations for American
2 Electric Power Service Corporation (AEPSC), provided Rebuttal Testimony on behalf
3 of Public Service Company of Oklahoma (PSO or the Company).

4 Mr. Trapp testified that the purpose of his rebuttal testimony in this
5 proceeding was to respond to the portions of the Responsive Testimony offered by
6 David Scalf on behalf of the Public Utility Division (PUD) that relate to Investment
7 Tax Credits (ITC) anticipated to be generated by the Battery Energy Storage Systems
8 (BESS).

9 Mr. Trapp noted that PUD witness Scalf, in his Responsive Testimony, stated
10 the discount for ITC transfers are 6% to 15%.¹ While agreeing that the overall range
11 provided by Mr. Scalf is accurate, Mr. Trapp provided confidential testimony of the
12 discount rate the Company would anticipate given AEP's investment grade credit
13 rating and full indemnification of the transfer.

14 Mr. Trapp provided a summary of the Company's proposal for the timing at
15 which ITCs should be credited to customers. Mr. Trapp stated that, as was discussed in
16 the Direct Testimony of Company witness Schwarz, the Company is proposing to
17 amortize the ITC over the useful life of the underlying asset which generated the ITC.
18 The amortization would begin when PSO sells the ITC and therefore has realized the
19 cash benefit of the ITC. Mr. Trapp testified that customers would be provided with
20 a credit to rate base equal to the unamortized ITC.

¹ Responsive Testimony of David Scalf, pg. 8, lines 13-14

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1 Mr. Trapp noted that PUD witness Scalf does not agree with the Company's
2 proposal regarding timing for crediting ITCs. Mr. Trapp stated that Mr. Scalf's
3 alterative recommendation is two-fold. First, rather than amortizing the ITC over the
4 life of the underlying asset, Mr. Scalf recommends the ITC be credited to customers
5 contemporaneously to the sale of the ITC. Second, Mr. Scalf recommends until the
6 ITC is sold, the ITC should be amortized and credited to customers over a 5-year
7 period.

8 Mr. Trapp testified that he does not agree with PUD witness Scalf's
9 recommendation regarding timing for crediting ITCs to customers. As supported in the
10 testimony of Company witness Schwarz, the Company maintains its recommendation
11 that the ITC should be amortized over the life of the underlying asset. This spreads the
12 benefits of the ITC to help mitigate the rate impact on customers by avoiding a front-
13 loaded structure. Customers are provided a benefit for the unamortized balance through
14 the reduction of rate base.

15 Mr. Trapp also testified that he does not agree with Mr. Scalf's recommendation
16 to amortize the ITC over a 5-year period until it is sold as it is both flawed and
17 unnecessary. First, as Mr. Scalf states in his testimony, his recommendation could
18 result in the Company being required to provide more benefits to customers than ITC
19 generated.² Second, because the recommendation is to amortize the ITC before it is
20 sold, it seeks to provide a customer benefit for the ITC before the Company has realized
21 any benefit for the ITC. The Company realizes no cash benefit for the ITC until it is

² Scalf Responsive Testimony at page 21, Lines 13-15.

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1 sold. Third, Mr. Scalf's recommendation appears to stem from the thought that there
2 could be a long lag in the generation of the ITC and its sale. Mr. Trapp testified that
3 Mr. Scalf's recommendation seems to miss the fact that the sale is required to occur no
4 later than the date on which the tax return is filed for the tax year in which the credit is
5 generated; long before the end of the 5-year period which he recommends the ITC be
6 amortized.

7 Mr. Trapp noted that PUD witness Scalf recommended the Company undertake
8 the following actions in the event of an ITC sale: notify PUD of the sale amount,
9 amortization of the ITC sold, the discount incurred on the sale of the ITC, and the party
10 to which the ITC was transferred thirty days prior to completion of the sale.³

11 Mr. Trapp testified that the Company does not fully agree with this
12 recommendation. Mr. Trapp stated PSO does not believe that the counterparty of the
13 transaction is useful information to the PUD and these transactions are typically
14 subject to confidentiality agreements. Also, given the timing and structure of these
15 transactions, Mr. Trapp recommended the information should instead be provided 30
16 days prior to closing or when administratively feasible.

³ *Id.* at pg. 22, lines 2-8

BEFORE THE CORPORATION COMMISSION OF THE STATE OF OKLAHOMA

APPLICATION OF PUBLIC SERVICE)
COMPANY OF OKLAHOMA (PSO) FOR)
AN ORDER OF THE COMMISSION)
PREAPPROVING THE ACQUISITION) CASE NO. PUD 2025-000064
AND COST RECOVERY OF)
GENERATION FACILITIES TO ALLOW)
PSO TO MEET ITS OBLIGATIONS)
PURSUANT TO OAC 165:35-25-3(e).)

AMENDED REBUTTAL TESTIMONY OF

MICHAEL J. DILLEY

ON BEHALF OF

PUBLIC SERVICE COMPANY OF OKLAHOMA

January 2026

TESTIMONY INDEX

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I. INTRODUCTION

1 **Q. PLEASE STATE YOUR NAME AND POSITION.**

2 A. My name is Michael J. Dilley, and my business address is 1 Riverside Plaza, Columbus,
3 Ohio 43215. I am currently Director of Projects for American Electric Power Service
4 Corporation (AEPSC). AEPSC is a wholly owned subsidiary of American Electric
5 Power Company, Inc. (AEP). AEP is the parent company of Public Service Company
6 of Oklahoma (PSO or the Company).

7 **Q. ARE YOU THE SAME MICHAEL J. DILLEY WHO FILED DIRECT**
8 **TESTIMONY IN THIS CASE?**

9 A. Yes, I am.

10 **Q. WHAT IS THE PURPOSE OF YOUR REBUTTAL TESTIMONY?**

11 A. The purpose of my rebuttal testimony is to respond to portions of the testimony of
12 Oklahoma Corporation Commission's Public Utility Division (PUD) witnesses Frank
13 Mossburg and John Givens, and Oklahoma Attorney General (AG) witness Frank J.
14 Beling.

15 Specifically, I respond to Mr. Mossburg's allegations about the Northeastern
16 5&6 Project (NE 5&6, or the Project), and Mr. Beling's recommendations for a cost
17 cap of \$540 million on NE 5&6. I also refute Mr. Givens's assertions that the
18 projected amounts of Operations and Maintenance (O&M) for NE 5&6 are
19 unsupported.

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II. EXECUTIVE SUMMARY

1 In my rebuttal testimony, I respond to portions of the testimony of Public Utility
2 Division (PUD) witnesses Frank Mossburg and John Givens, and Oklahoma Attorney
3 General (AG) witness Frank J. Beling.

4 Specifically, I respond to Mr. Mossburg's allegations that the Northeastern
5 5&6 Project (NE 5&6 or the Project) is in an early development phase and thus does
6 not provide the same guarantees for cost and performance like the RFP projects. I
7 present evidence regarding the development of the cost estimate, such as the number
8 of key pieces of major equipment that have been secured and are under contract.

9 I also explain how Mr. Mossburg's assertions regarding the Project's status in
10 the interconnection process are inaccurate. In addition, the Project cost estimate
11 includes a contingency that was informed through development of a project specific
12 risk register to establish a risk-based contingency value and is representative of a
13 reasonable amount of contingency required for a project of this type, size, and
14 complexity.

15 I also explain why Mr. Beling's recommendations for a cost cap of \$540
16 million on NE 5&6 is not necessary and imprudent, given the confidence the
17 Company has with the capital cost estimates, but taking into account that as with all
18 major power generation projects, there are potential unknown risks that could
19 increase costs but that cannot be precisely accounted for in a cost estimate. The
20 Company must be granted flexibility to prudently manage its investment in NE 5&6
21 in order to provide reliable, economic, compliant, and safe service to its customers.

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1 I also explain that PSO benefits from the length of time it has operated various
2 generating assets, including natural gas facilities, and the associated subject matter
3 experts. The Company can hold itself accountable to the estimated Project cost for
4 NE 5&6. The estimated cost transparency and managing to that estimated cost should
5 mitigate any concerns cited by Mr. Beling.

6 Finally, I refute Mr. Givens's assertions that the projected amounts of
7 Operations and Maintenance (O&M) for NE 5&6 are unsupported.

III. NE 5&6 PROJECT ESTIMATE

8 **Q. PUD WITNESS MOSSBURG STATES THAT NE 5&6 IS IN AN EARLY**
9 **DEVELOPMENT PHASE AND THUS DOES NOT PROVIDE THE SAME**
10 **GUARANTEES FOR COST AND PERFORMANCE LIKE THE RFP**
11 **RESOURCES.¹ HOW DO YOU RESPOND?**

12 **A.** The NE 5&6 cost estimate was developed with support from a reputable third-party
13 engineering firm, Burns & McDonnell, that has extensive experience engineering,
14 designing, and constructing power generation projects across the United States. The
15 cost estimate was further informed and updated with lessons learned and input from a
16 similar project in Southwestern Electric Power Company (SWEPCO) that is further
17 along in engineering and design. In addition, key pieces of major equipment have been
18 secured and are under contract, including the General Electric (GE) gas turbines, main
19 power transformers, and high voltage breakers, which represents a fairly significant
20 portion of the total Project cost estimate. Furthermore, the Project has developed a risk

¹ Mossburg Responsive Testimony, pg. 23, lines 11-13.

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1 register with a risk-based contingency value that also supports a reasonable cost
2 estimate. A risk register is a simple, organized list that records anything that could go
3 wrong (or unexpectedly well) on a project, what the consequences would be, how likely
4 it is to happen, and what the project team will do about it. Think of it as the Project's
5 risk inventory and action plan. The project risk register helps the team spot issues early,
6 prioritize the ones that matter most, plan actions to reduce impact, and track whether
7 those actions are working—so the project is safer, more predictable, and less likely to
8 go over budget or schedule.

9 The Project will be actively managed throughout the lifecycle utilizing prudent
10 project management practices, processes, and procedures.

11 **Q. MR. MOSSBURG ALSO CRITICIZES THE LACK OF A FINAL**
12 **ENGINEERING, PROCUREMENT, AND CONSTRUCTION (EPC)**
13 **CONTRACT, INCOMPLETE INTERCONNECTION PROCESS, NO**
14 **DEFINITIVE AGREEMENT FOR TURBINE SUPPLY, AND A**
15 **MEMORANDUM OF UNDERSTANDING (MOU) BETWEEN PSO AND GE**
16 **THAT ONLY SETS OUT TERMS THAT WILL FORM THE BASIS OF AN**
17 **AGREEMENT, BUT IS NOT THE FINAL AGREEMENT.² HOW DO YOU**
18 **RESPOND?**

19 A. Mr. Mossburg implies the NE 5&6 Project is not as mature as the RFP projects in this
20 proceeding. I disagree. NE 5&6 is not an early-stage project. First, as mentioned above,
21 there are executed agreements for the GE gas turbines, the main power transformers,

² Mossburg Responsive Testimony, pg. 28, lines 2-13.

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1 high voltage circuit breakers as well as the engineering and design services. Second,
2 the Project withdrew its interconnection application in the 2024 Definitive
3 Interconnection System Impact Study (DISIS) queue study in the Fall of 2025 and was
4 accepted by Southwestern Power Pool (SPP) to participate in the one-time Expedited
5 Resource Adequacy Study (ERAS). This will effectively move up the interconnection
6 timeline - if SPP stays on schedule - with interconnection and network upgrades timing
7 and costs available this month, and an executed interconnection agreement by March
8 2026. Third, the Project has an executed agreement for engineering and design. PSO
9 will not use an EPC delivery model, instead it will deliver the Project through a multi-
10 prime execution delivery model. Pursuant to this model, labor and material
11 procurements will be competitively bid in phases as they are designed and executed. A
12 benefit of this model is that PSO will competitively source all facets of the Project,
13 especially the procurement and construction phases, which will help get the best result
14 for customers.

15 Accordingly, I find Mr. Mossburg's concerns regarding the maturity of the NE
16 5&6 Project to be unfounded.

17 **Q. IN RESPONSE TO MR. MOSSBURG'S CONCERNS,³ DID THE COST OF NE**
18 **5&6 INCLUDE ANY CONTINGENCY FOR RISK?⁴**

19 A. Yes. The Project cost estimate includes contingency that was informed through
20 development of a project specific risk register to establish a risk-based contingency
21 value, as discussed above, that was developed by the Project team and is representative

³ Mossburg Responsive Testimony, pg. 27, lines 8-17.

⁴ Mossburg Responsive Testimony, pg. 27, lines 8-17.

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1 of a reasonable amount of contingency required for a project of this type, size, and
2 complexity.

3 **Q. MR. MOSSBURG TESTIFIES THAT THE PROJECT CAN BID INTO PSO'S**
4 **PLANNED 2026 ALL SOURCE RFP.⁵ DO YOU AGREE?**

5 A. Mr. Mossburg fails to recognize that NE 5&6 will help fulfill PSO's capacity and
6 energy needs by the summer of 2029 date as addressed by Company witness Demmy.
7 If the Project is denied here and bid into the 2026 RFP, its in-service date would likely
8 be at risk and not meet the planned commercial operation date (COD).

9 **Q. MR. MOSSBURG NOTES PSO'S 2023 RFP REQUIRED AN ONLINE DATE**
10 **FOR THE GENERATING PROJECTS BY THE END OF 2028; HOWEVER,**
11 **THE SPP INTERCONNECTION QUEUE FOR NE 5&6 LISTS A PROPOSED**
12 **IN-SERVICE DATE OF NOVEMBER 1, 2029.⁶ PLEASE EXPLAIN.**

13 A. As previously discussed, NE 5&6 withdrew its interconnection application in the 2024
14 DISIS queue study in Fall 2025 and was accepted by SPP to participate in the one-time
15 ERAS process, which means PSO expects the interconnection agreement to be
16 executed in March 2026. If the Project team had remained in the 2024 DISIS queue
17 study, an executed interconnection agreement would not be available until December
18 2026 at the earliest.

19 As a result, the Project team intentionally submitted a COD later than planned
20 for schedule flexibility purposes with the understanding that this date can be advanced
21 with the proper notifications and discussions with SPP and the Transmission Operator.

⁵ Mossburg Responsive Testimony, pg. 25, footnote 39.

⁶ Mossburg Responsive Testimony, pg. 25, footnote 39.

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1 Conversely, an earlier date could have been chosen, but would have required similar
2 efforts to update and potentially push out. In short, the Project team will further
3 negotiate this date during the tendering process where the Generator Interconnection
4 Agreement is formally negotiated between SPP and the Transmission Operator.

IV. NE 5&6 CAPITAL COST CAP

5 **Q. AG WITNESS BELING ASSERTS THAT THE NE 5&6 CAPITAL COST**
6 **SHOULD BE LIMITED TO \$540 MILLION BY A PREAPPROVAL COST**
7 **RECOVERY CAP.⁷ DO YOU AGREE WITH HIS RECOMMENDATION?**

8 A. No, I do not agree with Mr. Beling's recommendation to cap capital expenditures for
9 the Project. The capital costs are based on the best information available at the time the
10 NE 5&6 estimate was created, and as mentioned above, were developed with support
11 from Burns & McDonnell, which has extensive experience engineering, designing, and
12 constructing power generation projects across the United States. In addition, and as
13 referenced in my direct testimony on page 12 starting on line 13, AEP has a long history
14 of safe project management and construction of large-scale complex utility projects
15 which includes the construction of power plants, environmental retrofits and upgrades,
16 and the execution of renewable projects. The cost estimate was also informed from a
17 similar gas turbine project that the project team is developing for SWEPCO. This
18 project, as I mentioned above, is further along in engineering and design and has been
19 adjusted to reflect the additional scope definition. As with all major power generation
20 projects, there are potential unknown risks that could increase costs that cannot be

⁷ Beling Responsive Testimony, page 49, lines 10-18.

1 precisely accounted for in a cost estimate, such as market disruption events associated
2 with supply chain, labor availability, hyperinflation, and changes in law. Although a
3 [REDACTED] dollar contingency is included in the cost estimate to minimize the impact
4 for some of these unknowns, it does not account for all of them nor does it account for
5 extreme circumstances. As such, additional risk events and costs could occur and the
6 Company must be granted flexibility to prudently manage its investment in NE 5&6 in
7 order to provide reliable, economic, compliant, and safe service to its customers.

8 In addition, many of the events listed above that can affect a cost estimate are
9 outside the Company's control, and Mr. Beling fails to recognize that even those
10 projects bid into the Company's 2023 All-Source RFP are subject to price increases due
11 to similar circumstances and unknowns.

12 Given the above, I find AG witness Beling's recommendation to cap capital
13 expenditures to be unreasonable, as his proposed cap would hinder PSO's ability to
14 manage known unknowns that would need to be addressed in the future for reliable,
15 economic, compliant, and safe operations for NE 5&6.

16 **Q. ARE THERE OTHER REASONS WHY THE COMMISSION SHOULD NOT**
17 **IMPOSE A COST CAP ON THE NE 5&6 CAPITAL INVESTMENTS?**

18 A. Yes. Placing a cap on the Company's capital investments for NE 5&6 would not be
19 appropriate nor prudent. Regarding the NE 5&6 capital estimates, PSO benefits from
20 the length of time it has operated various generating assets, including natural gas
21 facilities, and the associated subject matter experts. Also, the Company can leverage
22 AEPSC's experience and expertise over the years including, but not limited to,
23 generating asset new builds and major environmental controls retrofits. More

1 importantly, the Company holds itself accountable to the estimated project cost for NE
2 5&6.

V. NE 5&6 OPERATIONS AND MAINTENANCE EXPENSES

3 **Q. PUD WITNESS GIVENS SUGGESTS THAT O&M IS UNSUPPORTED IN THE**
4 **RECORD FOR NE 5&6.⁸ DO YOU AGREE?**

5 A. No. Highly Sensitive Confidential Exhibit MJD-2 Workpaper provided in this
6 proceeding has a significant amount of support for the O&M expenses found in Exhibit
7 MJD-2. This very detailed O&M estimate was created in a similar way as was the
8 estimate for capital costs that I discussed above. Specifically, the estimate:

- 9 • Reflects the input from and expertise of Burns & McDonnell.
- 10 • Reflects AEP's long history of safe project management and construction of
- 11 large-scale complex utility projects.
- 12 • Was informed by our experience from a similar gas turbine project that the
- 13 project team is developing for SWEPCO.
- 14 • Used historical and forecasted O&M from other PSO gas plants, including
- 15 Northeastern.

⁸ Givens Responsive Testimony, page 16, line 11.

VI. CONCLUSION

1 **Q. DO YOU HAVE ANY FURTHER COMMENTS?**

2 A. My testimony does not address all topics in this proceeding. The fact that I have not
3 expressed an opinion in this rebuttal testimony should not be interpreted as agreeing to
4 another party's testimony. My testimony should also be read in conjunction with the
5 other PSO witnesses.

6 **Q. DOES THIS CONCLUDE YOUR REBUTTAL TESTIMONY?**

7 A. Yes, it does.